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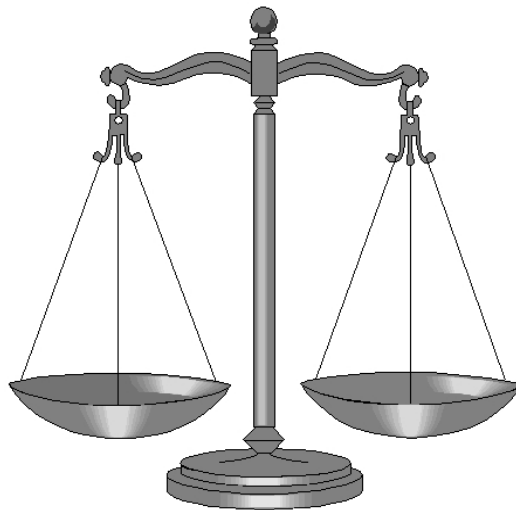
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FACULTY OF LAW

LAW OF CONTRACTS II MODULE I

(LAWS 312)



WRITERS: FITSUM G/MICHAEL

GETAHUN WALELGN

MAY, 2009

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General Introduction

Dear distance learner: first of all we would like to welcome you to the course of law of contracts II. In the first part of the course, i.e. law of contract I, you have studied well about obligations in general and contractual obligations in particular. Under contractual obligations you have availed yourself with the basic concepts and rules as to the formation of contracts and effects of a lawfully formed contract. In detail you have seen that there are essential validity requirements for the formation of contracts. These are, as you might recall, capacity, consent object and form requirements, if any. If a contract is formed without giving due notice and respect to the mandatory rules as to the above mentioned essential requirements, the contract will be subjected to the rules of invalidation and in some circumstances it may be declared *void abinitio*, for instance, where its object is unlawful or immoral.

A lawfully formed contract once fulfilling all the essential requirements will have effect and enforced by the law as traditional contract law is enforcing of agreements which are the free will of the parties to that transaction because contracts are laws for the parties who formed them. This is clearly provided under Article 1731 of the civil code of Ethiopia, as you might recall it from the moral principle of “a man’s word is his bond” or “*Pacta sunt servanda*”. The effect of contracts is clearly and exhaustively discussed in relation to interpretation of contracts, variation of contracts, performance and non-performance of contracts. To make it clear, let us illustrate the above mentioned effects of contracts.

Due to legal language is rarely mastered by lay man, issues of ambiguity, non-clarity or vagueness may arise in the course of performance of contractual obligations. In such cases the judges have a delegated power of interpreting the contract.

Clear guidelines and principles are laid down under the civil code and the way the judges will ascertain the common intention of the parties are clearly discussed in the Module II of Law of contracts I. (You are advised to refer them back to refresh your memory.)

There are also instances where the balance of the contract may be upset by factors beyond the control of the parties to the contract with no fault on the part of either the contracting parties or one of them. In such cases, in principle, the parties may vary the terms of their agreement (obligations), if either they have prior stipulation to that effect or agreed later on. But if there is no such an agreement or the parties fail to agree later on the contract will remain effective and enforce. In principle the court has no power to vary or modify a contract of the parties. The court is strictly warned and prohibited from altering and modifying terms and conditions of the contract. In particular the court may not make a contract for the parties under the guise of interpretation or vary terms of the contract to maintain its balance. However, there are exceptional circumstances on which the courts may lend their hand to make these contracts balanced between the parties. But this power is provided in exceptional circumstances as you may see it from the provisions of the civil code starting from Articles 1766-1770. You have also seen issues as to performance and non performance with the available remedies for the victim of non performance.

Having all these in mind, you are hereby invited to enjoy part two of the course, Law of Contracts II, Module I.

In this part, you will find yourself acquainted with the methods and mechanisms of protecting your right if the contract is affected by a defect in consent or if you need to cancel the contract for different reasons.

Law of Contracts II is divided in to six chapters. The first chapter deals with the extinction of obligations; chapter two is about special provisions relating to contracts; the third chapter discusses plurality of debtors and creditors; the forth chapter tries to discuss the important principle of guaranteeing an obligation, Surety ship. Third parties in relation to contracts are treated under chapter four. Finally, proof in relation to contracts will be discussed.

Module Introduction

Law of contracts II is divided in to two parts. Each part contains three chapters. The first part of this work, Module I, comprises of three chapters. Issues and rules as to extinction of obligations will be discussed under chapter one. In particular, rules as to invalidation and cancellation of contracts, termination of contracts and remission of debts, Novation, setoff, merger and limitation of actions as ways of extinction of obligation will be covered under this chapter.

The second chapter will try to discuss special provisions as to contracts .As we have discussed time and again; one of the functions of contract law is filling the gap which might be created because of the failure of the parties to anticipate forthcoming contingencies. Bearing this in mind the Civil Code provides certain gap filling provisions. These gap filling provisions are found scattered in the civil code.

All the same the civil code cannot exhaustively deal with all the contingencies, which may come up with the formation of a contract. It rather tries to cover the most frequent contingencies for which the parties do not agree or agree less vividly. Special terms of obligations or contracts are rationed to deal with gap filling provisions; it includes certain mandatory provisions, though.

The most frequent areas where the parties do leave gaps or agree less clearly are stipulation as to time, earnest, liability, alternative obligation and condition. These areas are to be discussed under this chapter. The third and last chapter to this material is about plurality of Debtors and Creditors.

A number of self assessment questions and plenty of examples are forwarded by the writers of this module so as to enable you best understand what the heart of the course looks like and understand its relevance and application in your daily life. Also included are real cases from recent decisions of the Cassation Division of the Federal Supreme Court hoping that you will analyze them in light of the theoretical background given in the module.

Finally, review questions with answer keys are provided for you which may show you the way to solve hypothetical and real cases that might be brought before you seeking your decision. You are required, therefore, to attentively read, analyze and clear any shadow of doubt that may arise pertaining to the course. You are once again advised to read the module diligently and bring your doubts in your tutorial session. Come up with your own Civil Code during tutorial.

General objectives:

By the end of the course, you will be able to:

- ❖ distinguish between invalidation and cancellation and explain their effect
- ❖ distinguish and differentiate between void and voidable contracts
- ❖ explain termination and its effects
- ❖ explain and discuss Novation, remission of debts, setoff, merger and limitation of actions as grounds of extinction of obligations and their legal effects

Have a nice study time!!!

CHAPTER ONE

EXTINCTION OF OBLIGATIONS

Introduction

✎ **Dear distance learner: Do you recall the definition of Contract under the civil code?**

Article 1675 defines it as: an agreement whereby two or more persons as between themselves create, vary or extinguish obligations of proprietary nature. We have seen how parties can create and vary a contract, and now let you pay your attention to how such obligation can be extinguished.

As contracts can be created by the parties, they can be varied, modified or extinguished by the same. It is obvious that an already formed contract which fulfills the essential validity requirements create obligations of proprietary nature among or between the parties who have signed it and produce an effect thereof. These obligations, however, rarely exist forever without being extinguished. Usually after the formation of the contract, the contractually created obligations become extinguished because of different reasons. Having in mind what is said above, it is worth at this point defining what extinction of obligation means. In the ordinary sense of the term “*extinction*” connotes disappearance. In contract law it is reserved to designate the stoppage of already formed contractual obligations. The next question that should come in to one’s mind is that how such obligation will be extinguished.

Article 1806 & 1807 of the civil code provides the way on which such an obligation will be extinguished.

Objectives:

Up on successful completion of this chapter, you will be able to:

- ❖ Identify the grounds of extinguishment of obligations;
- ❖ Explain how performance of contracts extinguish obligations;
- ❖ Analyze the meaning and effects void and voidable contracts;
- ❖ Distinguish invalidation and cancellation and explain the effects of each;
- ❖ Identify the various types of termination and their effects;
- ❖ Describe the prerequisites for novation;
- ❖ Explain positive and negative conditions of set-off;
- ❖ Discuss the grounds of merger of status between the creditor and the debtor;
- ❖ Explain the provisions governing limitation of actions; and
- ❖ Solve real and hypothetical cases involving any combinations of the above concepts.

Article 1806- obligation performed

An obligation shall be extinguished where it is performed in accordance with the contract

Article 1807- other causes of extinction

An obligation shall be extinguished where:

- a) the contract in which it is provided is invalidated or cancelled or*
- b) the parties or one of them enforce a provision made in the contract for the termination of the contract or*
- c) the parties agreed to substitute a new obligation for the original obligation or*
- d) the debtor's obligation is set-off by an obligation owing from the creditor to the debtor or*

- e) the position of creditor and debtor are merged in the same person or*
- f) performance of the contract has not been demanded within a fixed period*

From the above mentioned provisions we can understand that an already formed contract will be extinguished by proper performance, invalidation, cancellation, termination, novation, setoff, merger and period of limitation. This in one way or another may be because of one of the parties breached his contractual duty or because of factors beyond the control of the contracting parties prevent the performance of it. For these above mentioned reasons and by the above mentioned ways, a contract may be extinguished.

1.1. Performance of contracts

Dear colleague! Do you remember what performance means? What are the standards of performance? We would like to recommend you to refer it back from your law of contracts I, module II.

The most common way of extinguishing obligations is through performance of contracts. In other words, contractual obligations are normally extinguished through performance in accordance with the contract and the law.

Performance of obligation is not only an effect of contracts but also a ground of extinction of obligation. As performance is discharging of the resultant obligations each party owed each other, such must be made, however, in accordance with the terms of the contract and mandatory provisions of the law. It shall be therefore performed according to and in line with the agreement without any discrepancy, if it shall bring the contractual obligation to end.

Examples

(1) Delivery of a Toyota car by the seller to the buyer upon receiving the agreed price discharges the obligation of the seller and the buyer and thereby the obligation will be extinguished.

(2) A and B entered into a contract whereby A will sell his house to B, for a certain price. If the buyer has paid the price and the seller has delivered the house or handed over the documents evidencing ownership of it, we can say that the contract is performed according to the contract. And it is true that the obligation of both parties is extinguished.

(3) A and B entered into a contract for painting A's house. In the contract it is agreed that B will paint the house within five days and deliver it to A. B has indeed painted the house and it took him five days. A has paid the agreed sum; we can say that the contract is performed and the obligation created by that contract ceases to exist. The obligation owed by the parties is extinguished.

In the above examples there is a performance which is in accordance with the contract whose effect would extinguish the obligation. Among the various ways of extinction of obligations, performance of contract is the common and most desirable one. This is why the law dealing with extinction of obligations provides performance as one ground of putting an end to obligations, even, in the first place.

1.2. Invalidation and cancellation of contracts^{*1}

Invalidation of contract is one of the means by which contractual obligations are extinguished. It will happen when there is defect in the formation of the contract. If a party that is incapable concludes a contract or if he has concluded it under deceit, duress or mistake the contract will be subject to the rules of invalidation.

The first provision of this section governing invalidation provides the rule as follows:

Article 1808-Who may require invalidation

- 1) *A contract which is affected by a defect in consent or by the incapacity of one the party may only be invalidated at the request of that party.*
- 2) *A contract whose object is unlawful or immoral or a contract not made in the prescribed form may be invalidated at the request of any contracting party or interested third party.*

Before discussing the above cited provision, one has to bear in mind as to the traditional distinction in Romano Germanic law that differentiated between *relative and absolute nullities*. The distinction rests on the idea that certain grounds of invalidation are set out in the **interest of the victim** of the contractual vices where as others are provided *in the general interest of the public*.

The consequence is that *a confirmation* of the contractual defect is possible in the first case, and not in the second one, and also the limitation period to bring an action of invalidation is shorter in relative nullity than for absolute nullity.

* It has to be emphasized from the very outset that there is translation problem in the Amharic Version of the Civil Code about invalidation and cancellation. The code arbitrarily used invalidation and cancellation interchangeably. For example, if you see the caption of Article 1808, it speaks about the party who is entitled to require invalidation (ውልን ማፍረስ ማን ስለሚጠይቅ). But the content of this same article used Cancellation to refer to invalidation. Therefore, you have to understand Invalidation to mean የውል መፍረስ and Cancellation የውል መሰረዝ throughout the civil code.

✎ **What do we mean by relative and absolute nullities? What are the grounds for each and the effect thereof?**

Article 1808 of the civil code with respect to invalidation distinguishes between two kinds of cases, as do Western legal systems.

The **first** is the case where the contracts invalidity results from a **vice in consent or incapacity** where as **the second is a more general provision in respect of lawfulness, morality or violations of compulsory formalities**. We can see here that this provision enlightened by the reminder governing the two types of nullities mentioned above.

where the contracts invalidity results from a vice in consent or capacity problem, its purpose is to protect one and only one of the contracting parties i.e. *the victim of error, fraud or duress* or the person whose want, simplicity of mind, senility or manifest of business inexperience has been exploited. This is in conformity with the provision of **Article 1696**, especially. In such a case only the person that the law intends to protect can invalidate the contract. The other party cannot invalidate it and the invalidity of the contract will not be effective for him unless the victimized party chooses it to be invoked. In other words, another contracting party cannot sue for the invalidation.

To the victim one has to add, of course, *his legal representative* especially in case of *incapacity*. Such action will also be open to his heirs and legatees by universal title. Finally, one may recall **Article 1993** of the code which allows creditors to act as “a representative of” his defaulting debtor, that is not in his capacity as a creditor but as a replacement for the absence of action by the debtor.

A traditional limitation is embodied in the Latin maxim “*nemo auditor propria turpitudinem an allegiance*”. This is to mean that no one is heard who claims his own base

actions. Where a person has intentionally let the contract be vitiated, it would be immoral to open the right of invalidating such a contract at his request.

The expression “*at the request of*” confirms the necessity of application to the court and brings it to the attention of the court and the court cannot on its own motion invalidate the contract. So, application to that effect is a pre requisite for invalidation. Once again, however, one has to be reminded that under the Ethiopian contract law anybody who wants to invalidate the contract cannot do so. It shall be the party who is affected by the invalid contract that can ask for invalidation, which we usually call the victim, especially where the invalidation is under Article 1808(1) of the code. In case of sub (2) of the same provision “*any interested person*” may apply for it.

The other basic reason to entitle the party that is affected by invalid contracts the power invalidating the contract is to protect the interest of that party. The other party whose consent was not affected or who is capable is considered to the full information or rational behavior. This does not, however, mean that no one other than the party who is affected by the contract can invalidate the contract. Representative of a party who gave his consent either by defect in consent or under incapacity can invalidate the contract. Representatives of the party that is potential to be adversely affected by the invalid contract might be in a position of enforcing the rights of the party. If, for example, a minor enters into a contract, the minor may not necessarily invalidate the contract by himself. His tutor can invalidate it, as his tutor is his legal representative.

Where the contract is invalidated for some other reason, on the other hand the parties' positions are: either one of them, or any other interested person, can invalidate the contract. This is to say that where the nullity is under **Article 1808(2)** the invalidation application (at the request) is open to any contracting party. This means that the list of persons mentioned above is to be referred to, but here on behalf of any party to the

contract and not only the one whose private interests are violated. The provision goes further to extend the right to “*any interested party*”. This covers any person with the direct and personal interest in the invalidation of the contract. In other words, even a third party may have an interest in the invalidation, where his future right may be affected. One can also mention the spouse of the contracting party where the contract affects their common property.

To help you better understand, let’s see the following illustrations:

Examples:

- 1) “A” enters in to a contract with “B” because of an error induced by B’s fraud. In this case, A can request the court for invalidation; but B cannot. Because the victim, in this case, is A and not B.
- 2) “A” and “B” entered into a contract of partnership, but they do not put the contract in writing as the law requires. Either of them can ask for invalidation.

In addition to these hypothetical examples, see also the decisions passed by the Federal Supreme Court Cassation Division in File No.14554 and 14637 about the party that is entitled to apply for invalidation of defective contracts. (These two cases are annexed to this module.)

The issue of who has an interest to allege a nullity of the type covered under Article 1808 can be explained further in two dimensions, which are linked to the idea of the protection of the general interest. The first is whether the public prosecutor can sue for invalidation of a contract between two private parties. Here the public prosecutor is there for protection of the public interest.

Under the contract law of Ethiopia, we have seen so many provisions which are mandatory and the non observance of which is unlawful for they are against the interest

of the public and enforcing such agreements will be undermining the legal system itself. In such cases, one has to ask that can the public prosecutor ask for invalidation.

One, in order to answer or attempt to answer the question by basing his argument on the basis of **Article 42 of the Civil Procedure code** which opens this possibility of intervention without making a limitative list, what is required is only that the prosecution service is entitled to such action by the law. The provision of the civil procedure code reads as follows:

Article 42-intervention by the public prosecutor

The public prosecutor shall intervene where ever his intervention is required by the law, in particular in cases relating to:

- a) civil status(Arts. 116,122,156 Civ.code)*
- b) capacity (234,354,377 civil code)*
- c) marriage (592,608,609, 612 Civ.code)*
- d) bankruptcy (975,978,980, 998, 1004, 1007 of Civ.code)*

The question worth raising here is whether this requirement of legislative authorization (his intervention is required by the law) be satisfied by the notion of “interested party”.

One may respond to this, as the writers would agree, that the prosecutor and the prosecution stand for the general interest of the public and the prosecutor should be allowed to intervene in such a case so as to request invalidation of the contract. So, one could consider the public prosecutor as an interested party for the invalidation of such a contract.

One may argue that since contract involves private relationship of persons there is no reason to allow the public prosecutor (the government) to intervene in such a private

affair of individuals. In principle, a contract is an agreement for the private individuals and will be effected only in between them.

But when we see the economic importance of it, it would be tempting to leave it for the decision of the private individuals. Even from another angle of securing the peace and order of the society and keeping the dignity of the legal system, some mandatory rules, the non observance of which may entail nullity is incorporated in contract law to prohibit parties from entering into undesirable behaviors such as unlawful and immoral obligations. If in a given contract it is found that the object is unlawful or immoral in view of the interest of the general public, the public prosecutor should be allowed to request invalidation of the contract by putting himself as interested party. Because as to the opinion of the writers there is good reason and would be purpose in invalidating this contract. For one reason, unlawful or immoral transactions which are prejudicial to the interest of the general public should be discouraged and killed from the root and for the other reason, waiting the contracting parties to request for such invalidation would undermine the legal system itself, if the contract between them is simply performed with no problem on the part of neither. In conclusion, therefore the writer would agree in that the public prosecutor is allowed to be an interested third party, particularly for the cases of Article 1808(2).

Activity 1.1

A, a poor man, decides to sale one of his kidneys by auction because he is jobless and wants to support his family. The last offer made is 10,000 dollar by foreign buyer. Neither the buyer nor the seller wants the invalidation of the contract. Can the public prosecutor refer the contract to the court for avoidance stating that it is illegal and immoral?

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Another difficult question is whether the judge himself may raise the issue of cause of invalidity where he sees one that a party has not seen or raised. This is to say that whether the judge can raise the issue of cause of invalidation on its own motion.

Let us see the examples from the book of Baissus:

Example

A asks for the refund of 2000 birr he claims he has loaned to B, a woman. B does not dispute she owes the money but states she cannot repay. In the course of her examination, it appears that the money was handed over to get her consent to sexual relation. It is when B, decided to break off the relation that A, out of revenge sued her for the repayment of the so called loan. May the judge raise of his own account the issue of morality of the cause of payment?

The problem here lies on that if the judge intervenes directly in to the debate and stands risk of being accused of partiality which he is strictly warned of by different legislations, in particular the Constitution and the judges' code of conduct.

One may ask that "is he an interested party?" Probably he is not. But, is he to tolerate before him an obviously invalid contract whose object is unlawful or is concluded by an incapable? And even could he lend the majesty of the law to enforce it?

Let me remind you a statement under law of contract I module I, page 130, *“no sensible legal system would enforce a bargain that undermines its authority or its basic objectives. Rather the court shall either invalidate such bargains or make them “void abinitio”.*

The dilemma lies whether impartiality of the judge or his direct intervention in raising the issue so as to keep the honor and dignity of the legal system.

The solution here is procedural. The judge has to bring the question in to debate. He will do so by requiring a party to give evidence and by asking the appropriate question. For instance, he will have the minor answer to the question *“what age were you on the day of the conclusion of the contract”* or in an alternative is simply to ask the prosecution service to intervene the debate on such point provided that the public has interest in the suit.

1.2.1. Void and Voidable contracts

In considering invalidation of a contract and its causes, we need to see the distinction between void and voidable contracts.

Do you know what void and voidable contract mean?

It is obvious that a defect in the formation of the contract will make it either void or voidable. A void contract is an empty one does not achieve its intended legal consequences.

Provisions that cover the requirements whose absence renders the contract void vividly shows the ineffective nature of such transaction. Under Article 1714- it has been clearly stated that the contract shall be of no effect by law not by invalidation, if the obligation of the parties or one of them cannot be ascertained with sufficient precision.

Article 1715- again renders a contract ineffective or *void abinitio* where its object is absolutely and insuperably impossible. Similar rules and principles which make the contract *void abinitio* are incorporated under Article 1716, which shows that the contract is no more effective.

Examples

- 1) A and B entered in to a contract whereby A undertakes to sale for B the moon. Here the object of the contract is absolutely impossible and the impossibility is insuperable.
- 2) A and B entered in to a contract where A has promised to kill C, the enemy of B. Here the object of the contract is unlawful.
- 3) A and B entered in to a contract for the sale of house and it is made orally.

In none of the above illustrations the contract exists from the very beginning. Their object being impossible or unlawful, they are void contracts. But if A, a minor concludes a contract with B, until invalidated the contract still will have effect unless invalidated.

In conclusion, a contract which is incapable of having effect according to its apparent purport is said to be a void contract and is considered as nonexistent from the very beginning. Even one could not call it as a contract. Whereas, one which may take effect but is liable to be deprived of its effect at the option of one of the parties is said to be a voidable contract. In other words, this is to say that it will have effect until invalidated.

1.2.2. When to ask invalidation

✍ **When do you think is the appropriate time to ask for invalidation?**

Articles 1809 – party may refuse performance

A party who is entitled to require the invalidation of the contract may at any time refuse to perform it

Article 1810- action for invalidation

- 1) *No contract shall be invalidated unless an action to this effect is brought within two years from the ground for invalidation having disappeared.*
- 2) *Where a contract is unconscionable and the party injured was of age, the action shall be brought within two years from the making of the contract.*

There has to be a time limit for assertion of the invalidity of the contract as long as the situation is unchanged and the contract has not been performed. There is no time limit within which an action for invalidation is brought before court of law. Any one entitled to assert the invalidity of the contract may, at any time, refuse to perform it. The phrase **“at any time”** refers to the above fact.

Example

A sells B a house by deceiving him to believe that the house is suitable for both purposes of business and living. B can require the invalidation of the contract within two years of the time when he pays the agreed price. If he has not paid, he can refuse to pay at any time.

The Ethiopian contract law adopts a very short time limit with in which an action for invalidation may be brought, i.e. two years from the day on which the ground for invalidation disappears.

Professor Rene David stated regarding the issue that in practice, the only case where this limitation is likely to be important is where the invalidity results from a vice in consent, since normally this is the only case where the ground for invalidation would disappear. He further states that since other cases are not covered **by Article 1810**, there solution depends on the general provision on limitation of actions. As opposed to the above conclusion **Jean Mark Baissus**, the writer of a commentary on general contract law provisions, stands opposing the above conclusion by adding incapacity. He states that there does not seem any textual ground to exclude **incapacity**. The expression “within two years from the ground of invalidation having disappeared” may also cover the coming of age of the minor. He therefore disagrees with the interpretation of Professor David which restricts the application of **Article 1810** of the code to the vices of consent.

It is therefore quite clear that the short term limitation will only concern invalidity based on **Article 1808(1)** whilst the ordinary limitation period of ten years (**Article 1845 of the same code**) covers the situations provided under **Article 1808(2)**. The distinction can be justified by the fact that the protection of private interests should have less bearing on the general security of commercial transactions than violations which concern the general interest.

Concerning the beginning of the limitation period, one sees that the day chosen will be the one when the ground for invalidation disappears. For instance where the duress ceases, the mistake is discovered or the incapacity ends.

But one must not forget, however, the possibility of an interruption or a suspension of such limitation periods, as stated under the contract within two years after he attains the age of eighteen. He has five years from the formation of the contract.

The beginning of the two years period is different when the ground of invalidation is unconscionable nature of the contract. Article 1810(2) says in wording as:-

Article 1810(2)

Where a contract is unconscionable and the party injured was of age, the action shall be brought within two years from the making of the contract.

Here the point from which we count the time is not the time at which the ground disappears but the time of formation.

Example

A and B conclude a contract for the sale of TV set for 5000 birr where the actual value is 3500 birr. The contract was concluded because B has no business experience or simple minded. B can ask for invalidation of the contract within two years from the formation of the contract.

The limitation rule only operates as long as the situation between the parties is unchanged, although the contract was concluded. As long as the contract is not performed, there is no time limit for a party to claim the ground of invalidity to refuse performance.

See the following examples

- 1) A sells B a picture at high price, having fraudulently made him think it was a masterpiece. B can require the invalidation of the contract within two years of the

time when he pays the agreed price. If he has not paid, he may refuse it any time to perform.

- 2) A and B concluded a contract of partnership orally. Both A and B can at any time refuse to carry out the contract.

The ground for the contract's invalidity will disappear only in the unlikely event that a new law is enacted changing the formal requirements for partnership contract, allowing it to be made orally, as A and B did.

Both parties can require the invalidation of acts done in performance⁴ of the contract at any time prior to the expiry of the ordinary period of limitation (i.e. 10 years).

1.2.3. Confirmation of contracts

- ✎ **What do you think confirmation of contracts is? Do you recall the difference between absolute and relative nullities?**

The presence of invalid contract does not necessarily mean that it will be invalidated and the obligation thereby extinguished. There are circumstances on which the contract will be upheld. Confirmation by the aggrieved party is one among the circumstances. We have mentioned earlier that a big difference between absolute and relative nullities was the possibility of confirmation by the victim party. Confirmation is where the aggrieved party, having gained knowledge of the defect affecting the contract, decides nevertheless to maintain such contract.

The rule set under Article 1811(1) reads as follows:

Article 1811- confirmation of contracts

- 1) *The party whose consent was vitiated may waive his right to require the invalidation of the contract where the cause which vitiated the consent has disappeared.*
- 2) *When the contract was made in a special form, waiving as mentioned in sub (1) shall be made in the same form.*

According to **Article 1811**, the part whose consent was vitiated may waive his right to require invalidation where the cause which vitiated his consent has disappeared.

The confirmation can set free the contract from invalidation if the confirmation was made after the cause which vitiated the consent disappeared.

Example

- 1) A, a 15 years old child can confirm the contract he has concluded without having the capacity to do so and avoid the invalidation after he attains the full age of eighteen years.
- 2) A and B concluded a contract of sale of house. The contract was concluded under duress by pointing a pistol on B's head. Here confirmation is possible after the duress has been disappeared.

We have to be reminded that a double condition is imposed for confirmation of defective contract.

- ❖ It concerns only defects or vices in consent
- ❖ It could only be possible after the defect is known of and has disappeared

Here we have to note that no mention is made as to incapacity contrary to the wording of **Article 1808(1)**. The interpretation therefore is that no confirmation is possible where

the defect was incapacity. But the writer does not agree with this position of the law. The general distinction between absolute nullities is based on, among others, on the ability to confirm the defective contract. And there is no good reason for why not the minor after attaining the age of majority confirms the defective contract.

Another issue relating to confirmations is the way and form a confirmation has to be made. In principle confirmation may be made in any form. It may be tacit performance of the contract, for instance, because confirmation is neither preliminary contract nor modification of it.

But if the invalid contract in respect of which confirmation was sought was made in a special form, confirmation shall also be made in special form so that it will be valid.

Example

A and B entered into a contract for the sale of house. A deceived B in to believing that, the house is of highest quality and standard. To make his affirmations believable, A has shown B, what he called the photograph of the house. But the photograph is that of another house. B later on discovered the fraud and thinking of invalidation: But later on decided to confirm the contract. Here B can do so only if it is in writing.

✎ What do you think is the effect of confirmation?

The main effect of confirmation is that the contract is purged or removed of its vice or defect and can therefore be executed or even enforced. The performance of the contract before the confirmation is also purged of any vice and cannot be challenged any more.

It is worth asking at this point whether the confirming party is entitled to damages. **In principle the answer is No!** Because he is doing this by his own free will and wish

Another issue worth discussing here is even though an invalid contract can be confirmed by the injured part, there are certain circumstances where the other contracting party may make the contract effective even against the will of the injured party.

This is the case where the invalidity is owing to unconscionable contract. In such cases the other contracting party can put the action to end by making go the injury, for instance by offering the true price of the thing sold several times than it actually fetches.

Article 1812- putting an end to action

Where a party requires the invalidation of unconscionable contract the other party may put an end to the action by offering to make go the injury.

For better understanding of the rule we would like you to refer module I of Law of contract one, the section dealing about “unconscionable contracts or lesion”.

Example

A country boy bought a radio for a price several times than it's actually fetches, for instance 700 birr while the actual price is 200 birr. Here later on he may demand the invalidation of the contract based on unconscionablity of the contract which the other party has exploited his business inexperience. Here the seller may put an end to such an action by offering the true price, thereby making go the injury. Here we can say that the door open to the plaintiff is so narrow that the defendant may close it by making go the injury, for instance paying back the excess, i.e. 500 birr.

The Ethiopian civil code also addresses the issue where part of the contract is invalidated or subjected to invalidation.

Article 1813 of the code provides the rule as follows:

Article 1813-partial invalidation

Where part only of the contract is vitiated, only that part shall be invalidated unless such invalidation affects the essence of the contract.

From this we can understand that the presence of grounds of invalidation does not necessary imply complete invalidation of it. When only part of the contract is vitiated only such part will be invalidated provided that such invalidation will not affect the essence of the contract.

In many situations the risk of seeing the contract invalidated or cancelled by a contracting party is considerable for the other party, who is suffering from the insecurity in situation. Here the party who has the right to request invalidation is imposed with certain obligations aimed at protecting certainty as to the fate of the contract. This rule is set out under **Article 1814** which reads as follows

Article 1814 – Duty to opt

- 1) *The party who is entitled to require the invalidation of the contract to cancel the contract shall, where he is so asked by the either party, without delay answer whether he intends to confirm or cancel the contract.*
- 2) *Notwithstanding any proof to the contrary, the contract shall be deemed to be cancelled where answer is not given due time.*

Here, the provision puts the duty on the victim entitled to apply for invalidation to make speedy answer (*without delay*) if he asked by the other whether he intends to confirm the contract or not. How speedy than the answer should be is a question to be answer by the court. But the consequence of silence is clearly stated; the contract will be considered as “Cancelled” as is in the sense of **Article 1814(2)**.

One can conclude by reading the provision of the civil code regarding the issues under consideration that there is a sort of hierarchy in the defects which may affect a contract. The **top priority** is given to grounds of *absolute nullity*, characterized by absence of effect until declared null, absence of confirmation & longer period limitation. *Incapacity* follows which has a shorter limitation period & with the absence of confirmation: *Then comes, categories of relative nullities* which have got a shorter period of limitation & are open for confirmation. *At the bottom of the list* one will find *unconscionable* contracts, those list protected category.

This last position should be useful guideline as to the restraint exercised by judges in the granting of a defense based on the existence of unconscionable contract

1.2.4. Effects of Invalidation & Cancellation

When contractual obligations extinguish owing to invalidation and cancellation there are certain effects which are worth discussing at this point. For the most part, the effect invalidation & cancellation of a contract is extinction of contractual obligation. There are no more obligations to be discharged. Extinction of contractual obligations doesn't, however, mean that there is not any obligation left to be carried out by the party's. If one of them or both have discharged their respective obligations, invalidation or cancellation will create obligation of effecting restitution.

This is provided under Article 1815 which reads as follows:

Article 1815 – effect of invalidation or cancellation

- 1) *Where a contract is invalidated or cancelled, the parties shall as far possible be reinstated in the position which would have existed had a contract not been made.*
- 2) *Acts done in performance of the contract shall be of no effect.*

The principle clearly incorporated in art 1815 exposes that the invalidation or cancellation of the contract leads to putting the parties back in the position they were before the conclusion of the contract. In other words, an invalidation or cancellation has retroactive effect and all acts done in performance of the contract shall be of no effect. This means that, for instance, in contract of sale of a particular thing, the things sold must be returned to the seller & the seller shall return the price paid for that.

It is also true that accessory agreements to the principal contract will disappear retroactively: a security such as pledge or mortgage loses its cause of existence where the main contract is annulled: a penalty clause will not survive the extinction of the reciprocal obligation, and so on.

Examples

- 1) A has sold his horse to B. In the contract it was agreed that the horse is for the purpose of race, but it's discovered that it is not feasible for this purpose because it has encountered a break of its leg. B asks for the invalidation of the contract based on the ground of mistake.
In doing so B has the obligation to give the horse back to A, while A has to repay the money to B.
- 2) "A" and B concluded a contract of loan for 100,000. C, a third party guarantor, guarantees the obligation of B to repay the money with its interest. If the main contract (contract of loan) is invalidated for any reason, the obligation of the guarantor, C, will cease to exist.
- 3) In the contract between A and B, a penalty of 50,000 was inserted and agreed in case one of them may fail to discharge their obligation. If before that the contract is invalidated for whatever reason, the penalty will cease.

to exist, as in no case this would survive the extinction of the principal obligation

According to **sub article (1) of 1815 the civil code**, the parties are required to put in their original place before the formation of the contract. The parties are expected to be with their original properties before the contract. Sub Article (2) of the same provision stated that any party who has performed an act can invalidate the performance. A person who has given something to discharge his obligation can retain the thing given. As party who has given a price a horse in consideration of price shall give back the horse and take his money.

✎ **Dear distance learner, do you think invalidation is also applicable for void contracts?**

It is true that the Ethiopian contract law fails to put a clear demarcation line between void and voidable contracts and it provides invalidation as a remedy for both. It is, however, said that “*Quod nullm est, nullm producit effectum*”, **what is void produces no effect**. In the case of void contracts there is no contract from the very inception. Therefore, we cannot speak about invalidation of a non-existing obligation. This implies that reinstatement does not follow from declaring a contract as void one. Allowing parties to be reinstated to their previous position, in the case of nullity of the obligation, amounts to giving effect for the void obligation.

A problem that may arise in connection with Article 1815 of the civil code is as to where lies the difference between invalidation and cancellation & what their respective effect on a given obligation are.

Invalidation & cancellation are very different concepts which have different effects, though they generally are ways of extinction of obligations.

To begin with, invalidation follows from a defect in consent or incapacity of either of the contracting at the time of the conclusion of the contract. Cancellation, however, has nothing to do with defect in consent or incapacity rather it shall be invoked where a valid contract is not performed by the debtor. Meaning, cancellation is one of the remedies for non-performance of a perfectly valid obligation. Still a noticeable difference in their effect as cancellation paves the way for compensation that will put in the place he would have been, had the contract been performed. According to **Article 1790 (1)** the damage shall be good for the injury of non performance of contract. Invalidation on the other hand allows the other party to get compensation which we will put him in his original position. This is to put the victim in the position he would have had the contract not been made. This is clearly expressed under art 1817(2) of the civil code.

The provision reads as follows:

Article 1817-restoring previous position not possible

- 1) *Acts done in performance of the contract shall not be invalidated where such invalidation is not possible or would involve serious disadvantages or inconveniencies.*
- 2) *The parties shall as far as possible be reinstated in the position which would have been had the contract not been made, by the payment of the damages or any other remedy which the court thinks fit.*

Article 1818 of the civil code addresses the specific problem of expenses made for the thing returned. It is possible that the buyer of the car has had it repaired or maintained before the invalidation of the sale took place. In such cases the remedy for the victim is suing for unlawful enrichment. The provision reads as follows:

Article 1818-Expenses

Where a party who is to restore a thing following invalidation or cancellation of the contract has altered such thing or incurred expenses in relation there to, the provisions of the chapter of this code relating to “unlawful enrichment (Art. 2168-2178) shall apply settling the rights or obligation arising out of such alterations or expenses.

The general principle in respect of invalidation and cancellation of the contracts is restitution of the parties to their original position had the contract not been made and had it been performed respectively. There are, however, exceptions to this principle of full restitution. These are:

1.2.4.1. Partial Invalidation

Where the contract is invalidated partially, the rest of the contract which is not affected by the defect will survive. In such cases it is impossible to restitute the parties fully. In case of partial invalidation, only the void clauses of the contract shall be invalidated, and the rest of the contract will survive. This is an illustration of the principle that is already set out under **Article 1875** of the civil code which states that contracts may not be cancelled unless “*a fundamental provision*” of the contract was breached. Once more the judge is encouraged to save the contract. The basic reason and policy rational for this exception which is put as a guide line for the court is that the legislature obviously wants to restrict the number of invalidated or cancelled contracts. The economy needs security, and the assumption of the parties should be that a contract signed is a contract which shall be executed; only in exceptional cases should it be affected. If the courts are too loose in granting invalidation or accepting cancellation, the result will be legal insecurity.

1.2.4.2. Right of Third Parties

Article 1816-right of third parties

Acts done in the performance of the contract shall not be invalidated where the interest of third parties in good faith so requires.

The principle here is that an invalidation or cancellation of contracts also operates in respect of third party. The retroactivity of the disappearance of the contract may, however, seriously affects third parties, and create a big measure of legal uncertainty.

Example

A has sold his car to B. A previously bought the car on account of invalid contract with C. Here C cannot invalidate the contract unless it is proved that B knew or should have known of the defect in the first contract, i.e. between A & B.

1.2.4.3. Impossibility of Restoration

Article 1817-restoring previous position not possible

- 1) *Acts done in performance of the contract shall not be invalidated where such invalidation is not possible or would involve serious disadvantages or inconveniencies.*
- 2) *The parties shall as far as possible be reinstated in the position which would have been had the contract not been made, by the payment of the damages or any other remedy which the court thinks fit.*

Impossibility of restoring to the previous position is also another limitation on the reinstatement effect of invalidation and cancellation. This is the case often in contracts

involving a successive performance: such as contract of employment or contract of lease, a contract which leads to the consumption of specific good, etc.

Example

A bought a brick from B, on account of an invalid contract and used it in building. In such cases A may refuse a reinstatement because this will create serious disadvantage, inconvenience. It is even impossible to take the bricks back as they were.

However, sub article (2) of the same provision provides a solution to alleviate the problem by allowing a monetary compensation for any other remedy which the court thinks fit.

Dear colleague! Please consider also the decision of the Cassation Division of the Federal Supreme Court in the case between *United Technical Equipment Company Vs Ethiopian Motor and Engineering Company*. (The copy of this case is attached to this module in the annex part.)

1.3. Termination of Contract and Remission of Debts

1.3.1 Termination of contracts

As parties are free to create contractual obligation between them, they are also at liberty to terminate it with their own wish. This is clearly stipulated under the provision of the civil code which defines what a contract is. The provision states that a contract is an agreement between two or more persons as between themselves create, vary or extinguish obligations of proprietary nature. Formation of contracts or creating an obligation of propriety nature and termination of contracts are different concepts and activities having their own effects. In formation of contracts as we have said before the essential validity requirements should be observed and fulfilled by the parties among

which consent, capacity, object and formal requirements, if any should be observed. In case of termination of contracts also consent, capacity and formal requirement attached to a given obligation should be observed. Where one party who wishes entering into a given legal transaction, contract expresses his offer for another in a form prescribed by the law, for instance in writing, an offer for the termination of the contract should follow the same form.

An agreement to the effect of that termination should also be in that form. The effect of such termination will be, therefore, extinguishing the obligation of the parties. Termination has no retrospective effect.

In addition to performance, invalidation and cancellation of a contract termination is also a means by which contractual obligations are extinguished.

This title discusses termination as one way of extinction of obligation. The meaning of termination, the difference between termination on the one hand and invalidation and cancellation on the other hand will be discussed. Its effect also is point of focus.

Special objectives of the topic

- ❖ Explain termination in comparison to invalidation and cancellation
- ❖ Differentiate unilateral and bi lateral termination.
- ❖ Identify and illustrate the circumstances in which the court can terminate a contract.
- ❖ Discuss and explain the preconditions for the termination of contracts.
- ❖ Identify who has the right to terminate the contract.
- ❖ Identify the conditions in which courts can terminate the contracts.

Termination of the contract is the making the contract ineffective starting from the termination of who having alternative effect. It refers to storage of obligations created

by the contract. It ceases the existence of obligation as of the time of the contract is terminated.

Example

A and B entered into a contract for the sale of house whereby A has sold villa for B for price of 500,000. The contract was concluded fulfilling all requirements of a valid contract. If the parties for any reason terminate the contract, the obligation will hereby extinguished and cease to exist. Whenever we are talking of the termination one has to see, we are not here in the situation where there is a cause for the cancellation or invalidation of the contract. Here the contract is valid and is being executed normally.

The principle here is an intangibility of the contracts which is necessary to ensure the safety of contractual realities. The primary role of judges is to enforce the obligation if it is not respected, and the normal end of the contract is the full performance of the agreed obligations.

However, parties may wish to put an end to this contract before its full performance and therefore terminate it. The termination of the contract is its invalidation in the future, and in this sense it is the opposite of cancellation, which has a retrospective (retroactive) effect. This is clearly stated under article 1819 of the civil code read as termination of the contract can be either, bilateral or unilateral or judicial depending upon which party has the right to do so.

1.3.1.1. Bilateral Termination

Bilateral termination is also termed as termination by mutual consent. The foundation of the contractual obligations is the mutual consent (*mutus consensus*) of the parties, which illustrates their contractual freedom. But this contractual freedom operates not

only in creating and altering contracts. It may also be used to end them; there is a mutual consent for the termination of the contracts (*mutuus dissentus*). This is clearly expressed under article 1819(1).

The provision states (indicates) the possibility of termination where the parties so agree. The connotation here is that the parties may agree for termination of the contract mutually.

Agreement to terminate is, actually a contract, as the contract can be extinction of obligations of preparatory nature. Termination of the contract by agreement is in line with the definitional provision of Article 1675 of the code, which shows that agreements extinguish obligations of propriety nature.

Termination of contract by agreement can be made in two ways. The parties may effect termination pursuant to their contract provided that they have inserted such termination clause in their contract or agreed later. This clause may entitle one of the parties to terminate it unilaterally. It may also put a condition upon the fulfillment of which the contract will be terminated. Even though the parties did not agree in the contract about termination and its condition, they can also agree later on about the contract.

Termination of contract by mutual consent or agreement as expression of consent must obey the general rules governing contractual agreements as set out under Articles 1679 and the following. For instance, the parties may be capable of entering into juridical acts such consent should not be vitiated by vices of consent etc...

Article 1819 does not mention the requirement of an express statement of the parties' intention to terminate the contract. It is therefore to be assumed that a tacit consent of the parties is possible for instance; a party may ask for termination whilst the other

party does not answer but nevertheless ceases to perform the contract or require payment. But the question here is that what if a dispute arises lately as to their mutual closed?

The judge has to consider facts of the case and circumstances surrounded it. The guideline for the judge will be consent, although tacit, must be unequivocal. If after this still doubt remains there is no valid agreement as to termination of the contract and if the party requires, the judge will proceed to have it enforced. This is an illustration of the principle that mere silence shall not amount to acceptance as in the sense of 1682 of civil code.

Finally, it has to be noted that such mutual consent to terminate the contract is only valid where it does not affect the lawful rights of third parties which drive from the contract.

Example

- 1) A sells his horse to B. B then sells the horse to C. The agreement between A and B to terminate the contract shall not affect C's right.
- 2) A sells a car to B. B pays a specific sales tax of 5%. The tax amount to be paid is out the state. Where later one of the parties decided to terminate the contract. The right of the state should be protected.
- 3) In the contract of construction, a given contractor has agreed to construct a building to certain company. The contractor has assigned two other sub contractors who will lay the ground, the state of the main building and other necessary facilities. So, if later on the company and the contractor agree to the effect that the contract be terminated, there has to a means to remedy the sub contractors.

- 4) In the sale contract between A and B, A has sold his house to B for 100, 000. B mortgaged the house to Commercial Bank of Ethiopia to secure a debt he has owed it. Later on, A and B agreed to terminate the contract. This should not prejudice the interest of the bank.

1.3.1.2. Unilateral Termination

Unilateral termination is made either by the effect of agreement when such unilateral termination clause is provided in their contract and when a condition which entitles unilateral termination is fulfilled. Such termination can also be made by giving notice in advance. The time of such notice may be fixed either by law, reasonably by the contractants or by custom. The rule we are discussing now is provided under Article 1820 and it reads as follows.

Art. 1820. - Termination by one party.

- 1) *Provisions may be made in the contract to the effect that the parties or one of them may terminate the contract on notice.*
- 2) *Where more than two persons enter into a contract, provision may be made to the effect that the contract shall terminate with regard to one of them and remain in force with regard to the other parties.*

Example

A and B entered into a contract for the supply of 'chat' whereby A will supply 'chat' to B every day. In the contract it is provided that one of the parties may terminate upon putting the other party in default. Here, therefore, one of the parties may unilaterally terminate the contract.

But the greatest difficulty is when it comes to unilateral termination where the parties are not in agreement to the effect of such termination.

Here one party may want to end the contractual relations whilst the other insists for the performance of the contract to reap the benefits of the transactions and continue the relationship. Here be reminded that that we are not in a situation where there is no cause of invalidation nor cancellation. The contract is valid and is normally designed to go on.

As a solution for this difficulty, the core and fundamental principle of law of contract is that a party may not of his own accord or unilaterally terminate a contract.

As we have said in the introduction part to this topic (termination), a contract is an agreement to create, vary or extinguish obligations of proprietary nature.

Termination as one way of extinction of the contractual obligations should be backed by mutual consent of the parties by their agreement should create such a mechanism.

But many exceptions are put to this general principle. In a principle mutual consent or agreement is necessary. But there are exceptional circumstances on which one of the parties may terminate the contractual relation.

Thus, a unilateral termination of a contract may have three different origins. These are from the law, through the contract itself or decided by the court.

Unilateral termination by law

The law provides times when the contract may be terminated by one of the parties. Article 1821 is an example of such case. The provision reads as follows:

Article -1821 contracts for undefined period of time

Where a contract is made for undefined period of time, both parties may terminate it on notice

The provision, therefore, states the rule according to which each party has the right to put an end to indefinite term a contract. In other words, the law creates a legal right to unilateral termination which has to be considered as an implicit clause in every contract of this type.

Example

In the contract for supply of coffee whereby the coffee producers undertake to deliver coffee to the dealer, one of the parties can terminate the contract upon putting the other party in default.

The rationale behind of this rule is the consequence of the prohibition of perpetual or lifelong obligation.

The law does not want a party to enter an open ended contract of work, for instance, which would amount to a form of slavery or be held indefinitely for the whole of his life with a given supplier or buyer in a contract of sale. It is an illustration in civil law of the protection of human rights as well as the consideration of the necessities of a sound economy.

Unilateral termination may also be provided by special laws expressly. These special Laws often provide for the right of unilateral termination, generally where it is considered that a party has to be protected from the possible abuse committed by the other economically more powerful party.

The official example one can mention here is that of contract of employment. The labor law of Ethiopia provides conditions on which one of the parties to an employment contract may terminate the contract unilaterally upon giving notice to the other. The employer may only terminate the contract unilaterally where there are justifiable grounds while the employee is not expected of this requirement.

Example

A and B entered into a contract of employment whereby B will give professional service as an accountant. Where after working for five Years, B develops a habit of mistrust and he expropriates the property of A, the later may terminate the contract.

If also B does not want to work no more and want to quit the job, he has to give notice and thereby terminate the contract unilaterally.

Special circumstances may also lead the legislature to unilateral rights of termination of contracts, for instance where economic conditions have dramatically changed since the conclusion of the contract such measures may be taken in case of inflation and devaluation.

Unilateral Termination through the Contract

This is the case where parties by their agreement provide that one of the them may unilaterally terminate the contract upon the occurrence or non occurrence of a given condition.

Article 1820(1) opens the right for the parties to provide in the interest of each contracting party or one of them only to terminate unilaterally the contract. This is an illustration of the principle of contractual freedom, and should not be treated as an exception to mutual consent to the termination of the contract.

Example

A and B entered into a contract for successive delivery of bread. In the contract a termination clause is inserted that one of the parties or both of them may terminate the contract by giving a 30 days period notice. Here one of them may terminate it for any reason provided that he has put the other party in default.

- ✎ **What should be the form of such notice? Is there any formal requirement regarding the notice to be given to the other party?**

The form of termination should be a simple unilateral notice. In the absence of formality requirement or evidence rules, notice may be given in any form, orally for instance. It would seem, however, preferable to have some written trace of notice as it would make easy proof of it in case a dispute arises as to the issue of notice.

One may also consider the special situation that is provided under Art 1885 regarding earnest. Earnest is originally and principally to secure evidence of the existence of the contract as in the sense of Art 1883 of the civil code and it normally will be returned up on performance as in the wording of Art 1884 of the same code.

But it has a second role as an implicit clause opening the right to unilateral termination of the contract, subject to relinquishing the earnest given to the other or the double payment he has received by the receiver.

Art 1820(2) sets out another special situations that where more than two persons are parties to the contract. This is the case where more than two persons enter in to a contract. One may, however, pose the following questions.

- ❖ Will the termination asked by one party entail the end of the contract for all others because, for instance, it will disturb the balance of the contract?

- ❖ Will the contract remain in force for the others because it is in their interest?

Example

If in the case of an association, what would happen if one of the member ask for the termination (dissolution) of the contract creating and functioning the entity?

One may say that, as professor David does, it would indeed be impractical for the management of associations if the withdrawal of one member meant the dissolution of the entire association. It would also be tempting to enter in to such transactions where we allow dissolution for the mere fact of the withdrawal of one member.

The drafting of Article 1820(2) states that such a situation can be provided for in the contract that is to mean an express clause stating that a unilateral termination does not affect the existence of the contract between the remaining parties. It amounts to granting each party a right to withdraw from the contract, which nevertheless remains effective for the remaining parties.

But the logical consequences is that where there is no provision to this effect, then the contract is terminated for all, in case of doubt, the court will have to declare the contract terminated for all. In other words we may have the following situations.

- ❖ no clause opening a unilateral termination right: parties are bound to perform the full contract
- ❖ When there is a clause to the effect of unilateral termination: If such right is exercised then the contract is terminated, whatever the number of parties involved.
- ❖ There is a clause opening unilateral termination right, but at the same time provides for the survival of the contract between remaining parties.

Example

- 1) In a contract where four persons are involved there is a clause stating that one of the parties may unilaterally terminate the contract in such cases the withdrawal of one party will terminate the whole contract
- 2) If in the same contract the provision empowering unilateral termination of the contract states that the contract shall remain effective in respect of the remaining members, still the contract will have effect, will continue bind them.
- 3) If no provision to the effect of termination is made, the contract shall be performed as agreed subject exceptions for instance judicial termination or termination by law.

Unilateral Termination of Contracts Decided by the Court

This is known as judicial termination of contracts. The court may terminate a contract where an application to this effect is brought before it. We have seen that termination can be made by agreement in the contract or independently after the conclusion of it or it may be made unilaterally by either of the parties as well. Moreover, the contract can be terminated through a court decision as it can be seen from the provisions of Art 1823 and 1824 of the civil code.

The principle of immutability of contracts is of course protested (demurable) to the courts. The contract having legislative value between the parties, it logically therefore is to be imposed to the courts. This principle bears reminding because it is very frequent for a party who defaults or wishes to default on his obligations to call up on the judges to amend the contract where it is hard or difficult to execute at least in the opinion of that party.

In such cases the response of the court to the effect of that application has to be negative. The court has no general power to revise contracts made by the parties, be it out of the consideration of humanity, conscience, equity or others where there is no explicit or express contractual clause to that end. To do so would be an abuse of power by the judge. Even though in many cases the judge would like to assist a party suffering from the hardships of the contract he has signed he should not do so. This will be an arbitrary intervention. It would also introduce a major degree of insecurity in the performance of contracts which would be very soon detrimental to the entire economy. If it is known that contracts can be revised easily by courts, their binding force will be reduced to nothing. This restriction explains why the Civil code only imitatively mentions two cases where the unilateral termination may be decided by the court.

Article 1824 and 1823 provided the limited circumstances on which court may declare termination of the contract between two private parties.

The two provisions read as follows:

Article 1823- special relations between the parties

A party may apply to the court to order the termination of the contract which requires a special confidence, cooperation or community of views between the parties, where such requirements are no longer present

Article 1824-gratuitous contracts

The court may order the termination of a contract made for the exclusive advantage of one party where the other party for good cause so requires.

1. Special Relationship of Trust (Article 1823)

The first case open for judicial termination is set out under Article 1823 of the civil code. Where the contractual relationship rests on special measures of trust, cooperation or community of views one party may apply for the unilateral termination of the contract. This in other words is to say that if the previous trust, Cooperation or community of view that helps the continuity of the contract ceases, the contractual relationship might not be worthy upholding. In this connection an applicator may be made to the court to that effect. This is the realm of cores concluded " *intuitu personae* " by consideration of the person of the other contracting party. The court has actually the discretion to the extent of identifying whether the requirement of special confidence cooperation or community of view ceased or not.

Two things must be underlined here. The first thing is that unilateral termination may not be decided by a party on his own; rather he has to submit his position to the appreciation of the court. The second remark is that " trust cooperation or community of views will have to be analyzed by the court from the circumstances of the case and the intention of the party. The burden of proof is on requesting party.

The court may order termination where:

- ❖ *special relationship of that type is established*
- ❖ *valid reason for the loss of trust, cooperation or community of views*

Once again the court is at duty to maintain the contract and to order termination only as a last resort. The opposite position would be too lax, because one can always presume that there is a measure of trust, cooperation or common outlook between contracting parties.

Examples of relations build up in trust, cooperation or common outlook are:-

- 1) relationship between partners in case there is disagreement between them
- 2) bailor and bailee
- 3) employer and employee

2. Gratuitous Contracts

Article 1824 opens up the right for the party whom weighs all the burden of gratuitous contract to apply for a unilateral termination if he has good cause to do so. This will be an economic reason; the contract is too costly or even a moral one, for instance, where there is ingratitude of the creditor of the obligation.

The above cited provision has provided certain requirements so that the contract is terminated. Primarily the contract shall be for gratuitous i.e. made for the exclusive advantage of one party it shall not be for consideration. There shall be good cause which means a cause to the existence of such special relationship that fosters the conclusion of it.

Example

A gratuitously assumed an obligation of giving 1000 birr to his uncle B for he is un employed. Later on B got job. In this case A can require the termination of the contract. The employment by B is good cause.

The rationale for the above provision (for this rule) is that the person who is impoverishing himself without a counterpart obligation of the other party is entitled to a special provision. Consequences of termination contracts

The specific nature of termination is that it puts an end to the contract but does not work retroactively. It is only for the future that the contract disappears as is clearly

stated under Article 1819(2) and 3). What was done or performed remains as opposed to invalidation and cancellation. The performance of the contract remains valid until the date of termination.

There is a major condition to be observed before actual termination takes place. This is period of notice which is imposed by Article 1822. The provision reads as follows.

Article 1822-period of notice

1. *The party who terminates a contract shall comply with the legal or customary period of notice.*
2. *Where the period of notice is not fixed by the law or by custom, it shall be reasonable having regard to the circumstances*

The reason is that party who does not ask the termination is entitled a further performance. At least he must be given time to find a replacement solution or another partner.

Examples

- 1) A, a news paper firm, has concluded a contract with B for the supply of it. Even if there is a contractual clause which enables B to terminate the contract A must have a minimal time to find another supplier of paper, failing which he will not be able to print the next issues of news paper.
- 2) In a contract of employment between A and B, a right to unilateral termination of the contract is provided. B has to give a notice which will enable A to find a person with similar qualification.

Time of notice may be fixed by the termination clause of the contract or by law. It may be also a customary period of notice, which is frequent between professionals of the

same sector. If there is no contractual, customary or legal period of notice, Article 1822(2) requires the terminating party to observe a reasonable delay. The responsibility is dependent up on different circumstances surrounding a give case and it has to be appreciated by the court.

✎ **Dear colleague! Compare and Contrast the Similarities and differences between invalidation and cancellation on the one hand and termination on the other side.**

The basic difference between termination on the one hand and invalidation and cancellation on the other is their effect. The ground of termination is not attributable a defect in the formation or non performance by one of the parties. However the grounds of invalidation and cancellation are a defect in consent and non performance respectively. On the other hand invalidation and cancellation have a retroactive effect while termination has a prospective effect. Despite of these differences invalidation and cancellation on one hand and termination on the other have one common objective or similarity. They are ways of extinction of the contractual obligations existed between the parties.

1.3.2 Remission of debt

Along with termination remission of debt is one way of extinction of obligations. It is a voluntarily release of the debtor of his obligation by the creditor. Through the remission of the debt, the creditor voluntarily sets the debtor free of his obligation, or more precisely offers to set him free. As we have repeatedly said, debt is there where there are debtor and creditor of that obligation. To claim payment is a civil right for the creditor and he has the option to set free of that payment or not. He has the right to set the debtor free as he has the right to require payment. When one seeks the ordinary

understanding of remission, he may conclude that the creditor may unilaterally set free the debtor of his obligation. But when it comes to the law unilateral remission of debt is not allowed. Let us see the provision of the law governing the issue:

Article 1825- remission of debt

Where the creditor informs the debtor that he regards him as released, the obligation shall be extinguished unless the debtor forthwith informs the creditor that he refuses his debt to be remitted.

The above stated provision provides that the notice given to the debtor that he discharges him of his debt extinguishes the obligation unless the debtor informs the creditor immediately that he does not accept the remission of debt. This essential way of extinction of contractual obligations calls for its definitions to be précised in order to avoid possible confusions. It is conditioned by special condition of validity. The intention of the creditor is usually a liberal one, or his attitude may be explained in the frame work of a wider agreement where several outstanding and reciprocal debts are set off.

The second part of the provision shows that a remission of debt needs the consent of the debtor. This is not as curious as it seems, because in certain situations the disappearance of the debt may create difficulties to the debtor.

For instance, the debtor's strategy is to maintain a certain level of indebtedness for fiscal purposes or that the debtor does not want to be gratified for reasons of his own, he may in particular, want to keep his honor and reputation (goodwill) in the business world. If he could not pay what he has owed, this will bar his probability to ask for similar loans from others. For the above stated reasons, therefore, he may not want to be remitted.

Therefore, the mere willingness of the creditor to release the debtor by remission is not effective and result in extinction of the obligation. The willingness of the debtor to that effect is also required. But, of course the general situation is that the remission of debt is in his favor, which explains why his silence may be deemed an acceptance; contrary to the general rule in that respect i.e. silence shall not amount to acceptance. This is to say that the provision does not put that express acceptance of remission as a mandatory requirement. The debtor shall object when he is informed of the remission if he does not want the remission. Unless such protest is made the law seems to presume silence as acceptance in case of offer to effect remission of debt to the debtor.

Example

In the contract of loan for 10,000 birr between A and B, B, the debtor, fails to pay the agreed sum on the agreed date. Later on A has decided that he had to give remission of the debt to the debtor and tell him to that effect. If B refuses to accept it, there will be no remission but if he keeps silent the debt is said to be remitted and the obligation thereby extinguished.

The remission of debt being contractual in nature is necessary subjected to the ordinary conditions of validity of contracts (vices of consent, incapacity, legality, lawfulness etc). The will of the remitting party must be clear and not ambiguous without which there is no remission of the debt.

The general trend of Ethiopian Civil Code is to be suspicious of any situation where a person impoverishes himself without a counter obligation. So, in case of doubt the court will maintain the existence of the dispute debt.

- ✎ **Dear colleague! Would you think of cases where the civil code tries to favor the one who assumes an obligation without a counter obligation of the other party? Please cite the provisions and explain the reason.**

The law did not put the formal requirement on which remission has to be created. But one may stand from the principle of consensualism whereby parties are at liberty and free to choose any form they wish to have. For instance, the creditor simply has to inform the debtor of his intention to discharge him. The information may, therefore, be purely oral, although the best mode of evidence is to do it in writing, of course. In other words, the only rule is that a purely tacit behavior of the creditor will probably not to be deemed a remission of debt, failing of information of the debtor.

In general, where the law requires a form to be observed for certain kinds of contracts, for instance in writing for contracts relating immovable, remission in this respect has to be also made in writing.

In conclusion, remission is voluntarily release of the debtor of his obligation by the creditor where the debtor did not expressly oppose it.

A remission of debt as one way of extinction of obligation extinguishes a debtor of his obligation in respect of which it is made. Apart from that any accessory debtor's obligations will also disappear and could not be asked anymore.

Example

A and B have concluded a contract of loan for 10,000 birr. C, third party has secured the obligation of B, in case he may fail to pay it. But A has decided to remit B, of his obligation. B accepts the remission of the obligation.

Here the principal contract between A and B is said to be extinguished, the debt disappears and cannot be asked anymore. Any accessory debt such as the surety given to A also will disappear as in the sense of Article 1926 of the civil code.

1.4 Novation

In the near previous section, you have seen that termination and remission of debt are among the ways of extinction of obligations that are made contractually. Novation is also one way by which contractual obligations will be extinguished. This section is devoted to cover what Novation is, its historical origin and the effect thereof.

Objectives:

After reading this section deeply, you are expected to;

- ❖ explain what Novation is
- ❖ trace its historical origin
- ❖ distinguish Novation and variation of contract
- ❖ state the effect of Novation on the original obligation and explain the effect of Novation on accessory and collateral obligations attaché do the original obligation

Before rushing in to the effect of Novation, it is worth discussing its meaning and historical origin.

Novation is an instrument invented by Roman law which had difficulty in replacing an obligation by another, because of its formalism, and of the impossibility to transfer the personal link created by the obligation. Novation remains, but its nature has been transformed by the advent of consensualism as the founding principle of the law of obligations.

Definition

Novation is nowhere defined in the Civil Code. A through reading of Article 1826 of the code, however, sheds a light on what novation is. The provision reads as follows:

Article 1826- principle

An obligation shall be extinguished where the parties agrees to substitute, therefore a new obligation which differs from the original one on account of its object or nature.

The provision states the principle, an obligation will be extinguished where the parties agree to replace it by another obligation. It is again an illustration of the idea of contractual freedom. Consistent with the above provision, Novation is substitution of an existing obligation by a new obligation in its nature or object.

The new obligation shall be different from the substituted one either by its object or nature.

Two things must be stressed here. In the first case, the condition of Novation is that something new characterizes the new obligation. The second element is the extinctive effect of Novation, the former obligation disappears.

Conditions of Novation

A valid Novation will exist where parties agree to substitute an existing obligation by a new one which is different from the original one in its object or nature.

But the following conditions should be fulfilled for valid novation to exist. These are:

I. A Valid and Already Existing Obligation

The first condition for novation is that the original or former obligation, itself should be valid in respect of its formation as in the sense of Article 1678 of the civil code.

It is not unnecessary to respect it seemingly an obvious statement, because in practice the courts will see a number of cases where a party attempts to save the contents of a previous, invalid contract, by claiming the vice was covered by the novation. But the object or cause, in the legal sense of consideration, or the second obligation is indeed the first one. If not there will be no link between them, and therefore simply a new, independent contract between the parties. As a consequence of this requirement of validity, the nullity of the first obligation will carry about the nullity of the second.

Example

“A”, a poor man, sells part of his body to “B” for a medical transplant. Then, the parties agree to the effect that B, who cannot pay, will be granted a loan by A. The cause of the first obligation is immoral and unlawful; and the second one, the loan, has no valid cause. But one has to be reminded that the rule only operates automatically for absolute nullities.

II. The New Obligation has to be Valid

The requirement of validity is of course also applicable to the second obligation. If the second obligation is invalid, the substitution through novation cannot be implemented. The consequence is that the original obligation remains in force or even revive and with it all the accessory obligations.

Example

A sells B a house and the sale is secured by a surety ship granted by C. A and B wish to enter a novation agreement by substituting a loan for the amount of sale. The normal consequence is that the sale contract disappears as well as surety ship, and therefore C is released of the obligation by the application of Article 1827(1) of the civil code. But at some time latter if the court decides the contract of loan as void for the non observance of formal requirement by law, the second obligation is invalid, and the initial contract of sale reappears; the obligation of C to guardant the original obligation will revive.

This is provided under article 1827 which reads as follows:

Article- 1827 Effect of novation

1. *Unless otherwise expressly provided securities or privileges attaching to the original obligation shall not be transferred to the new obligation.*
2. *Unless otherwise expressly provided, interest due prior to novation may not be recovered thereafter.*

The new obligation must also offer something new in respect of the former obligation as in the sense of article 1826. This provision mentions exclusively a new object or cause.

The novelty must affect the existence of the former obligation itself, its nature and its substance. For example, contract of sale for loan, employment for agency.

III. There has to be a New Object or Cause

In order to say there is novation there has to be a new object or cause as in the wording of article 1826 of the civil code.

There is novation when for instance a thing replaces money as the obligation of a party, when the latter has no cash for instance, or where a contract of employment replaces a contract of partnership. The same goes when an annuity replaces the payment of capital.

But there is no novation if the change only concerns accord element of the contract. This will be the case when the change concerns only the rate of interest, place of payment, the term for performance, the amount of debt, the qualifications of the contract, the currency in which the debt is labeled, the agreement extending the scope of the work to be done within the framework of a contract of services, the inclusion of a clause of indexation of the price, the hours of work in the contract of employment etc.

IV. Intention of Entering into Novation

Replacement of certain obligation in the absence of intention to make novation does not have the effect of novation. Article 1828 of the civil code which governs the issue reads as follows:

Article 1828 Intention to extinguish original obligation

Novation shall not occur unless the parties show the unequivocal intention to extinguish the original obligation.

The provision sets out the traditional Roman law requirement of the '*animus novadi*', the intention to create a new obligation through novation.

Such intention must be clear and unequivocal on both sides of the contractants. Both the debtor and the creditor must be in actual agreement. In other words, either party may oppose the novation.

A novation, with its consequence of extinction of the previous obligation, and most of all its accessories, amounts most often to a waiver of right by the party. Therefore, it can't be presumed, for instance where parties amend a given clause in the contract. In case of doubt, the court will consider as there is a succession of different obligations, rather than novation.

No special form is required for novation. The first principle here is consensualism, the law of mutual consent. So novation may be tacit. The word novation does not necessary have to be stated in the new agreement. We will, however, mention as to form the exception already stated above of the provisions of Article 1722 and the following provisions of the code, where a special form for the original contract is required, logically the second also should come up with that form, irrespective of the nature of the new obligation, because of its link with the original one.

Absence of Novation

Articles 1829 and 1830 of the civil code provides for cases where there is no novation in the legal sense of the term. The provisions read as follows:

Article 1829 Absence of novation

Unless otherwise agreed, novation shall not occur where:

- a. a new document is prepared to support an existing debt; or*
- b. the debtor signs a promissory note or bill of exchange in respect of an existing debt; or*
- c. New securities are provided to ensure payment of an existing debt.*

Article 1830 Current account

- 1. Novation shall not result from the entry of credit or debit items in a current account.*
- 2. Novation shall occur where the balance of an account is finalized and admitted.*
- 3. Unless otherwise agreed, the creditor shall retain such securities as may attach to one of the items entered in a current account notwithstanding that the balance of the account has been finalized and admitted.*

All acts provided under Article 1829 do not show the substitution of an existing obligation with a different obligation in its nature or object. Preparing a new document to support an already existing debt, signing of promissory note or bill of exchange in particular doesn't show that there is novation.

The provision of Article 1830 considers specifically the question of current accounts. Before dealing over the rule relating to current accounts, let us define deposit and current account and examine their differences.

A deposit account is an account where the holder of the account may only draw as much as he has already deposited. On the contrary, a current account is an account which records a succession of many credit and debt movements between the parties,

which compensate each other. A current account may have a negative position where as deposit account should not.

Bearing in mind the definitions above, the rule under article 1830(1) states that such successive movements do not amount to succession of novation; in other words they do not have extinctive effect on the amounts due, and for instance sureties remain valid to cover the sums concerned. Sub article 2 of the same provision indicates that novation only appears where the account's balance has been calculated and acknowledged by the debtor. What is new here is that the parties have made their calculation at the end of series of movements and finalized an individual debt. The traditional image is that this various positive and negative items are 'modeled' in to one.

There is, however, still a special rule of sureties that is stated under article 1827(1) which is given in article 1830(3). If an item is granted a special security, the balance of account is still covered by this surety who in a way extends from the item it covered to the whole balance because the item is the part of this balance.

Effects of Novation

The effect of novation can be traced from the cumulative reading of article 1807 (c) with Article 1827 of the civil code. The principal effect of novation is extinction of the main obligation. As you remember, 'novation' has been treated in the chapter entitled 'Extinction of obligations'. It is stated under 1807(c) with article 1826 and the following provisions. Therefore, in the first hand, what novation will result in is the extinction of the main obligation which is precisely what the parties are looking for. On the other hand, the new obligation has new characteristics, which is also what the parties are considering as their objective; the limitation will be different for instance.

Novation in its effect doesn't only extinguish the principal obligations but also the accessory ones. Article 1827 of the civil code has two far reaching consequences. These are;

Firstly, all the securities attached to the original obligation such as surety ship, preferential rights, securities, mortgages...will also be extinguished and persons bound by them are therefore released for good.

Example

In the contract of loan between A and B where by A has lent B 50,000 if it is provided that the debt will be paid at a certain date, to secure this debt B has mortgaged his house and this mortgage contract was concluded by fulfilling all the formality requirements required by law. But if later on the contract is substituted a service contract whereby B will give provisional service in one of A's clinics, the original obligation will be extinguished thereby.

And also the securities attached to the original obligation will be extinguished; the mortgage contract in our case for instance.

Secondly, interests accrued prior to the novation cannot be claimed after such novation is decided. This is logical because such interest was linked to the original debt, and has no bearing on the new one.

Example

(1) A leases a house to B for 400 per month, and the lease contract stipulates that any delay carries a 10% interest. C has granted a pledge for the payment of back rent. B has difficulty in paying and accumulates an unpaid debt of 6 months, 2400 plus 240 interests. The two parties decide to go on the lease but to change the arrears in the rent

in to loan. The consequence of the novation is C is not held any more to secure the outstanding rent debt by pledge as in the sense of 1827 and that if the parties did not consider the interest, but only capital, A loses and claim to the 240 birr interest.

(2) Assume that Ato Lelisa bought a track from Mesfin industrial engineering on loan. He has assured payment of his debt (price of the track) by providing a guarantor. If later novation is made whereby the price of the track is to be substituted by one-year service, obligation to pay the price of the car is extinguished. The guarantor's obligation of paying the price when the principal debtor fails also extinguishes, as it shall not transfer to the new obligation. It must be born in mind that if the guarantor agrees to that effect, his accessory obligation is upheld.

However, if the contract of sale of track is made in the course of contract of current account, the price of the track is entered in debit or credit item in the current account. At this time its entry in debit or credit item does not amount to novation. Once the price of the track is calculated, finalized and put in sum, the parties are expected either to admit or protest. Still there is no novation till the parties admit.

After admittance, novation takes place. The debt in the form of price of a track has been replaced by the sum, which is said to be novation in its nature. Be that as it may, the obligation of the guarantor to pay the price of the track, if Ato Lelisa fails to pay, does not extinguish. It is rather transferred to the new obligation, which comes about as a result of finalization and admittance.

(3) Assume Lemlem cheru had the obligation to pay 50,000 Birr for Dashen Bank before 8 years. After the lapse of 8 years if the parties agree to replace the obligation to pay 50,000 birr by 10 months consultancy service, a new period of limitation starts to run and the defense on the lapse of period of limitation based on the original contract does not work.

1.5 Set-off

Set off is among the grounds on which a contract is extinguished. This is clearly provided under article 1807(d) of the civil code. In this section, set-off as one way extinction of obligations will be discussed. Circumstances and cases on which set-off is possible are also subjects of focus under this topic. The role of courts on effecting set off and the restrictions on such judicial power will be discussed in detail.

Objectives:

After reading this section, students will be able to:

- ❖ Explain how set off brings extinction of obligations
- ❖ Point out the negative conditions of set off
- ❖ Point out the positive conditions of set off
- ❖ Pin point the exceptions of conditions of set off
- ❖ State and illustrate the effects of set off on the contracting parties and 3rd parties.

A further way of extinction of obligation is where the parties have a debt against each other, where each debtor has a debt against the other, the debts are said to be set off one another. The extinction will be as of right if the conditions of setoff required by law are present. This is the situation for legal setoff. But the Code has also provided two other categories of setoff, one as an illustration of contractual freedom, and another specifically open to the courts which is called judicial setoff.

Definition of Set-off

The principle of setoff is dictated by good sense where the two parties have a debt against each other. Thus, the setoff amounts to the extinction of the lowest debt of the two.

Example

A owes B 1500 birr, whilst B owes 1000 birr to A. Here, therefore, rather than forcing A to pay 1500 birr to B except 1000 birr in return from B, a setoff can be made implemented where only A stands to pay 500 birr to B, whose debt is extinguished.

✎ **What do you think is the importance of setoff? Do you know the setoff which is practiced by banks?**

Set off as an instrument which simplifies payment and economizes on the need for fiduciary money. A high level of institutional setoff is the sign of an active and developed financial system. For instance, banks can create between themselves setoff pools, where they compensate the cheques drawn up on each other, so as to limit the amount of money transferred and ensuing costs.

Example

The relationship between different branches of the Commercial Bank of Ethiopia, Awash bank or Abyssinia, Dashen, etc

Set off is an exception to the rule of prohibition of part payment stated by Article 1746 of the civil code. Such part payment occurs thus automatically as soon as the conditions for setoff are present.

Example

A owes B 2000 birr whilst B owes 1000 birr. Here in principle B may require for the whole debt, 2000 birr, and may refuse part payment. But since A has a 1000 birr claim from B, he may raise setoff and B cannot refuse to accept the 1000 birr partial payment.

Setoff is also way of granting each party the equivalent of preferential right of payment, even though he is non-secured or ordinary creditor.

Example

A debtor D is insolvent and has only 1000 birr to his name to pay three creditors who each hold a 1000 birr claim against him. The creditor who is in a position to compensate will in fact be advantaged.

As you can see obligation will be extinguished when setoff is made. Article 1831 of the civil code provides for the rule as to the extinguishing effect of setoff:

Article 1831_principle

Where two persons owe debts to one another, setoff shall occur and the obligations of both shall be extinguished in accordance with the provisions of the following provisions.

As of the above provision two parties in which one is a debtor in respect of one obligation while creditor in another obligation to the other party may extinguish the obligation by setoff.

Example

A owes B 500,000 in a given transaction and B owes A 500,000 in another transaction. The two parties can then set off their debts and extinguish their obligations.

Conditions of Set-off

Setoff can be made up in the fulfillment of certain conditions although the contractants owe a debt to one another. These conditions have been put as positive and negative conditions respectively under Articles 1832 and 1833.

Article 1832 provides for positive conditions of setoff as follows:

Article 1832_positive conditions

Setoff shall not occur unless both debts are money debts or relate to a certain quantity of fungible things of the same species and both debts are liquidated and due.

Accordingly, the positive conditions of setoff are

- ❖ Reciprocity
 - ❖ Fungibility
 - ❖ Liquidity
 - ❖ Debts due
- ✎ **Dear colleague! What do the above mentioned terms mean? Have you tried to answer them? Alright! We will discuss them in detail. Read the following section to properly answer the question.**

(1) Reciprocity

Set-off may only be operated in respect of two persons (either natural or moral) who each have a debt against each other as in the sense of Article 1831 of the code. In other words, it cannot involve a triangular relation of debts, or more than two persons. But the cause of the debt does not have to be related. They can be completely unrelated, such as a sale of TV against outstanding rent.

(2) Fungibility

Do you remember what the term fungible refers to?

Let alone its definition, Article 1832 says the rule that there can only be set off between two money debts or fungible things of the same nature specifically of the same quality,

for instance in between two *amounts* of *teff*. Setoff may not operate between specific goods of fungible things of different nature. There is no legal set off between debts labeled in money and the delivery in payment of a material good, or between different material goods.

(3) Liquidity

✎ **What do we mean when we say the debt is liquidated? Dear colleague! Would you refer to your module of contract law I and say few things?**

Article 1832 of the civil code states that apart from fungibility of the debts, they have to be liquidated, which means their existence must be certain and the precise amount must be known or at least must be calculated.

It does not mean necessarily that set off is only restricted to fixed debts and precise calculation must be possible, for instance two debts labeled in different currencies may be set off if at least one of the currencies is convertible.

In conclusion, a debt which is not certain, a claim not decided up on by the judge, for instance, cannot be a basis for setoff. In the same sense, a conditional debt cannot be entered in a setoff where the suspension still works.

Example

A owes B 1000 birr on the basis of contract of sale but B claims compensation for damages he says A caused to him. B's claim is not liquidated until the court has said whether he has the right to be paid damages and how much.

(4) Debts Due

✍ **Dear learner, When do we say that a given debt is due?**

Article 1832 finally requires the debts involved in the setoff to be due. Therefore a debt which is only due after a certain time may not be set off with the debt which is immediately payable

Example

A owes B 1000 birr, and B has to repay him 800 birr on the basis of a loan contract but in a year's time only. The two debts cannot be set off because it would amount to deprive B of advantage of the delayed payment implied by the law. But, Article 1834 sets out precisely that the granting of a term of grace is not a bar or an obstacle to a set off. This is logical because period of grace is only granted in respect of the debtor's difficulty to party immediately. If a setoff is possible there is no need for a term of grace. The provision reads as follows.

Article 1834- period of grace

The granting of a period of grace shall be no bar to a set off.

Intention to Setoff

Article 1838 of the code provides for the importance of setoff. The provision avoids the problem created by French law, by imposing the necessity for a setoff to be claimed by the debtor. The French civil code states that set off operates as of right. But under the Ethiopian law the debtor has to invoke it.

This means of course that each party has this right because they are each debtor of the other, but setoff is not automatic and Article 1838(2) logically indicated that it cannot be

raised by the court, which does not know the circumstances of the cross debts existing between the two parties.

Once the debtor decides to claim the existence of the debt, provided that the positive conditions are present, the other contracting party cannot oppose it. Setoff operates through the effect the permission granted by the law and the reciprocal extinction debts operate. In other words, the party informed by the other that a setoff is possible and desired has no defense. In practice it does not even have to accept and may remain silent.

The contrary consequence of the rule laid down by Article 1838 is that a party may decide not to claim setoff, even if the conditions for setoff are present and provide in turn that the other party does not raise himself. The Ethiopian contract law respects the contractual freedom. Article 1839 and Article 1840(2) of the code are two extensions of this provision.

The provisions read as follows:

Article 1839-waiving of the right to setoff

The debtor may in advance waive his right to make setoff.

Article 1840-contractual setoff

- 1) *Setoff may occur in cases not provided by law where the parties agree.*
- 2) *The parties may in advance specify the conditions of a set off.*

Article 1839 states that: a party may waive a right to set off and even in advance, presumably, through a contractual clause in one of the contracts which may be concerned by the setoff. And article 1840, especially its sub (2) indicates that parties may decide under which conditions set-off may operate. In the present context they may, for

instance, decide to restrict its scope by imposing up on themselves stricter conditions than the one required by the law.

Negative Conditions of Set-off

The law under Article 1833 enumerates four negative conditions where setoff is not possible.

Article 1833- negative conditions

Setoff shall occur regardless of the cause of either obligation except where:

- a) The special nature of the obligation requires that the creditor be actually paid, as in the case of maintenance or wages necessary for the livelihood of the creditor and his family or*
- b) The obligation is owing to the state or municipalities or*
- c) The obligation is to restore a thing of which the owner has been unjustly deprived or*
- d) The obligation to return a thing deposited*

I. The Special Nature of Obligation

The law expressly provides the absence of setoff where the special nature of obligation requires it to be paid imperatively and illustrates it by quoting an obligation for maintenance of the payment of salaries necessary for the livelihood of the family. This exception is based on the idea that the creditor of such special obligations has an absolute need of the money concerned simply to survive. Therefore, employers cannot set off the payment of wages with the money worker has borrowed from him. Where a part of the salary can be assigned or attaché for the payment of intentional damages, this part may be used as a set off. Thus the protection of salaries is relative.

This limit allows as considering that the expression special nature of the obligation opens a right for the court to check, up on application of a party, which is the exact scope of the limit put to the setoff.

Example

If a person claims 2000 birr per month which was granted under the heading “maintenance” by contract, the court is probably entitled to decide that this sum far exceeds what is reasonably required for such person to live normally, let alone survival.

The court will then allow setoff to happen up to a certain level it will fix.

II. Debts Owed to State and Municipalities

Article 1833(b) of the civil code prohibits setoff where one of the debts considered is owing to the state or to municipalities. This prohibition is perfectly clear because debts owing to such bodies are in the public interest and answer the needs of the collectivity.

An obligation owing to the state or municipalities is not subjected to set off because the action by which the state or municipality becomes debtor and the creditor can be different. In such a case setoff can miss up the accounting system of the state or municipalities.

III. Restoring Unjustly Deprived Thing

Setoff may of course only be claimed between parties who hold good faith debts against each other. Excluding such obligation has a great social importance in deterring unjust deprivation of properties like theft. Allowing setoff with debt owing unjust deprivation on the other hand entails negative connotation of deprivation.

Another issue relating to set off is whether the creditor can refuse on the ground that it is part payment as in the sense of Article 1745 of the code. In its effect set-off extinguishes obligation to the lesser extent as it is illustrated below.

Examples

- 1) Assume A owes B 500 Birr and B owes A 1000 Birr. Set-off does not extinguish obligation of paying the whole birr of 1000. Here set-off can take place up to Birr 500 only and the rest (500) remains as a debt of B against A.

This might cast doubt if the right to refuse part payment might not be applied in the case of set-off in light with the extinction effect of set-off to the extent of the smaller debt because if set-off is effective to the lesser amount, the one who is entitled to a greater amount might not refuse set-off although part of his claim is to be extinguished. He can, however, refuse part payment.

- 2) Assume for example A is a creditor of B to the extent of 1000 Birr. If B provides to pay 500 of the debt as a part payment, A may refuse to receive pursuant to Article 1746 (1). What if B requires set-off to the extent of 500 as she is creditor of A to that extent? Actually A cannot refuse set-off on the ground of its being part of the debt.

IV. Return of Deposited

When the obligation is to return a thing deposited, this is not again subject of extinction by setoff. The basic reason for this is actually to give protection and encourage the trust built among the parties. It is the confidence that makes a party deposited something with someone. Such special confidence is required to be created and protected for sake of smooth social relationship.

Here the object of the contract is to keep the thing momentarily and it will be an abuse if it were to be used as an argument to impose a set off. Obligation to return a deposited

thing is excluded; therefore, from being extinguished by setoff to achieve the said purpose.

Effects of Set-off

The principal effect of setoff is extinction of the reciprocal obligation of the parties involved as in the sense of Article 1836 of the civil code.

Article 1836-effect of setoff

The debts shall extinguish each other as from the day when they both exist and to the extent of the amount of the lesser debt.

As stated above, the extent of the extinction is the amount of the lower of the two debts, because generally the two debts are of unequal amount. The effect is that only one of the debt remains, to the amount of which is equal to the difference between the two preexisting debts.

Apart from its extinctive effect of the main obligation the lesser debt will disappear with all its accessories such as sureties or accrued interests. Limitations periods interrupted.

Example

A owes B 2000 birr in a contract of sale of horse and B owes A 2000 birr in another transaction, contract of lease. In order to secure the payment of the rent C has guaranteed the obligation of A. Here the two parties can make setoff and thereby extinguish the debt in the contract of sale. The surety also will disappear.

Article 1837 of the civil code sets out an important limitation in respect of third parties. The provision reads as follows:

Article 1837-rights of third parties

Setoff shall not affect the rights of third parties may have in respect of one of the debts.

This limitation in the case where a third party has a claim in respect of one of the debts, which cannot be affected by the setoff, which is simply mode of payment. For instance, if one party's debt is assigned to or attached by third party this will make the setoff impossible.

Example: A owes B 2000 birr. B's creditor C, gets a court order forbidding B to pay A. Later A acquires a right against B for 1000 birr. Setoff cannot take place between this right and B's debt to A.

Setoff would prejudice the rights of the third person, C, who has acquired a privileged position through attachment of the right that B, his debtor, has against A.

Under the foregoing provisions we have seen what legal setoff is and conditions for legal setoff with its effects

Article 1840 and 1841 –provides for two types of setoffs: contractual and judicial.

Contractual Set-off

Dear learner! Would you try to guess what contractual set-off means? Ok! Let you read this provision and then you will find what it actually means?

Article 1840

- 1). *Setoff may occur in case not provided by law where the parties agree.*
- 2) *The parties may in advance specify the conditions of setoff.*

Freedom of the parties is not only to waive their right to set off but also to extend set-off beyond the legally possible ones and set aside certain conditions. Article 1840 permits occurrence of set-off even though it is not provided by law if the parties agree. Legally it is money debts or tangible things, which are subject of set off. However, otherwise agreement by the parties is possible by setting aside what the law has provided.

In accordance with the principle of contractual freedom, the civil code under Article 1840 provides for the possibility of contractual setoff, next to the legal mode of setoff.

This by definition will only be of interest in situations where legal setoff cannot be implemented.

As you have read it in the preceding section, the law has provided conditions and circumstances on which setoff may occur or can be made.

These are the *positive conditions* and *negative conditions of setoff*. In case of positive conditions set off is possible between the two debts while the reverse is true in case of negative conditions of setoff.

Having this in mind contractual setoff will be implemented where the positive conditions of legal setoff are not present. For instance, where more than two parties are involved, or where the debts are not liquidated, or not due. This is an important degree of flexibility in the possibilities of achieving setoff, provided by Article 1840(1).

This contractual freedom could extend to waiver in advance of the right to claim setoff as in the sense of article 1839 of the civil code.

Conversely, the parties may agree to make setoff easier, by relaxing the conditions imposed by law. This is why Article 1840(2) is present. But one has to bear in mind that this contractual freedom is not as such absolute. There are mandatory provisions of the

law which cannot be set-aside by the parties because such provisions are there for the interest of the public or public order. For instance, it would not seem admissible to see a contractual agreement derogate from the prohibition in the area of the special nature of obligations of Article 1833(a) or obligation owing to the state or municipalities as in the sense of Article 1833(b) etc.

Judicial Set-off

Apart from legal and contractual setoff, setoff may emanate from court decision, which is known as judicial setoff

Dear colleague, would you try to guess what judicial setoff means and the difference it has from that of legal and contractual setoffs? Read the following provision and try to define what judicial setoff is?

Article 1841 of the code provides for the rule as to judicial setoff. The provision reads as follows:

Article 1841-Set-off by the court

- 1. Where one of the debts is not liquidated, the court may hold that a setoff has been made to the extent of such amount of the debt as is admitted.*
- 2. Where one of the debts is not liquidated but can be liquidated without delay, the court may suspend judgment against the debtor whose debt is liquidated until the other debt is liquidated.*

Judicial setoff as set out under in the above provision offers for the possibility of the loosening of rules governing legal setoff. It opens two possibilities where one of the debts is not liquidated. The court may either declare by a constitutive judgment that setoff has already been achieved up to the amount which is already indispensable as in

the wording of Article 1841(2) or if the unliquidated debt may be easy to liquidate the court may postpone the sentencing of the other party to pay his debt until the moment where the cross debt is calculated as in the sense of Article 1841(2).

There are requirements for judicial setoff. These are:

Firstly, it needs court intervention. Secondly this is optional for the court and the creditor of the non liquidated debt can raise it as of a right. The judge will consider it out of expediency and equity. Thirdly, the option is only open to liquidity; finally the option is only open with in a brief period of time.

1.6 Merger

Among ways or grounds of extinction of obligations, merger is also one. Merger in extinguishing the contractually created obligations has peculiar effects on the contracting parties and third parties. This section will, accordingly, discuss and analyze merger along with its peculiar characteristics.

Objectives:

After reading the issues relating to merger, students are expected to or will be able to:

- ❖ Define merger and state its effects in the extinction of obligations
- ❖ Identify the effect of merger on the contractants and third parties
- ❖ Exemplify how merger can revive

Merger is another method by which contractual obligations will come to be extinguished. Merger happens when the position of creditor and debtor become one and the same. Article 1842 of the civil code is the first provision defining merger. The provision reads as follows:

Article 1842-principle

Merger shall occur and the obligation shall be extinguished where the position of debtor and creditor are merged in the same person.

Therefore, merger is the situation where the position of the creditor and debtor is united in the same person.

An infrequent situation, the classical illustration of which is what happens when the debtor inherits the estate of his creditor in which the debt was included; another is when the company redeems its own debentures: the later are in the nature of a debt owed by the company and so it is extinguished when the company buys it back.

Merger is also commonly used to describe the situation arising when two companies associate themselves to become only one, there again merger happens in the meaning of fusion of the position of the creditor and debtor of the same debt. Performance of obligation after merger is not actually realistic once the creditor and debtor become the same performing certain obligation towards oneself is actually absurd.

Example

A borrowed 25,000 birr from his father, B; however his father died before collecting the debt from his son, A. The later is the only successor of his father, B. Here we can say that A, becomes the owner of the property of his father including the 25,000 Birr. It is not feasible for A, making payment to himself. The position of A merged with that of his father. The obligation to pay his debt is then said to be extinguished by merger.

Effects of Merger

Extinction of obligations on account of merger has certain limitations in its effect of extinction of obligation. The limitation is when it affects the right of third parties. The merger shall not affect the rights which a third party may have in respect of the obligation as stated under Article 1843.

Article 1843-rights of third parties

Merger shall not affect the rights which a third party may have in respect of the obligation.

This may be the case where third party holds usufruct or pledge over the debt, he does not lose his right as an effect of merger.

The protection of the right of third parties gets its strong support from the *principle of privity of contracts*. The definitional provisions of Article 1675, Article 1731(1) and Article 1752(1) of the code provide for this principle. The principle states that the contract between two parties must have effect as between themselves i.e. to the parties exclusively and exclusively between them. It shall have no effect on third parties.

Third parties may have a right on credit which is subjected for extinction by merger. The right of third parties shall be protected to avoid the externality effect of merger.

Example

A is a creditor of B, his only son, for the extent of 1,000,000 Birr. C is entitled to get the interest of the debt of B by another transaction with A. If A dies B will succeed him and the obligation of paying 1,000,000 extinguishes, as there is merger. However, the merger, which extinguishes the principal obligation, does not extinguish the obligation to pay interest pursuant to Article 1843.

Another sign of this imperfect extinction is given by Article 1844, which provides for the revival of the obligation where merger comes to an end. This is the case for instance where the heirs assigned his succession rights amongst which are found a credit of the deceased against him or debt he had against the deceased.

1.7 Limitations of Actions

Though its purpose and enforcement may be different, all legal systems of the world devised the rule of period of limitation. The rule of period of limitation is a principle by which a holder of right who does not claim it within the period prescribed may lose his right and it is a principle by which a non holder of right may acquire a right provided that he has come up with the requirement of the law.

These are liberative and acquisitive prescriptions respectively. This section is devoted to assess the concept of period of limitation and different rules pertaining to it.

Objectives:

After reading this section, the students are expected to

- ❖ State the difference among prescription, limitation of action and limitation of right.
- ❖ Explain the effect of period of limitation on principal and collateral obligations
- ❖ Point out circumstances of which period of limitation may be interrupted and the effect of such interruption
- ❖ Explain the power the parties to waive such period of limitation
- ❖ Explain the judicial power of setting aside or disregarding period of limitation.

The idea of limiting action is justified out of several reasons. Where the creditor fails to enforce his right over a certain period of time, the safety of legal relationship calls for a

limit in time to be set by the law. Perpetual action would create too much legal uncertainty. Furthermore, if the creditor does not act for a long time, it is to be assumed that his action is extinguished by payment or some other form of extinction- remission for instance or that he has waived his right for a long time it is to be assumed his action is extinguished by payment or some other form of extinction.

One has to ensure that his situation is stabilized after the passing of certain period of time rather than let him live in a perpetual, state of stability. This is expressed in Latin maxim “*quiet non movere*” which means “*let sleeping things lie*”.

Limitation is also a simple technique to establish the extinction of obligation as it rests only on the factual element of the passing of time and it also makes easier the burden of proof for the party claiming it.

Under the Ethiopian law of contracts, limitation of action has been put as one way of extinction of obligation, making period of limitation as a means to an extinction of obligation creates security of business transactions eroding uncertainty among contractants. Period of limitation also avoids bafflement which might be created owing to loss of evidence when time lapses. Its deterrence on dormant contractants is also considerable purpose of extinction of obligation by period of limitation. After which the party will not be compelled by the undertaking in the contract. The problem related with loss of evidence after the lapse considerable period of time is also avoided by period of limitation or prescription. Prescription may be either acquisitive or liberative.

Acquisitive prescription entitles the beneficiary with certain rights after the expiry of certain period of time. *Liberative prescription* relieves the beneficiary from certain obligation after the expiry or lapse of certain period of time. In a liberative prescription there can be *limitation of right* and *limitation of action*. Limitation of right absolutely

extinguishes the right of the other party while limitation of action extinguishes the right to bring action, i.e. court action.

The Ethiopian law of contracts under article 1845 states the fundamental rule in respect of limitation which is that when ten years have passed these types rights will be bared.

The provision reads as follows

Article 1845- period of limitation

Unless otherwise provided by the law action for the performance of contract, action based on the nonperformance of the contract and action for the invalidation of contract shall be bared if not brought within ten years.

According to the above provision the rights which will be barred by period of limitation are:

- ❖ The right to ask for the performance of contract
- ❖ The right to claim the consequence of the nonperformance of the contract

The right to ask for the invalidation of the contract limitation enables the other party to refuse performance, avoid having to pay for the consequence of nonperformance of the contract, avoid seeing the contract invalid.

Therefore, according to the above cited provision, action for nonperformance refers to bringing a court action to effect performance, action based on the nonperformance of the contract refers to bringing court action with the view to get remedies for nonperformance like damage, cancellation and even forced performance and action for invalidation of contracts refers to bringing court suit to have the contract invalidated. All these actions shall be bared unless brought toward within ten years.

Article 1845 provides for legal exceptions to the general ten years limitation period. We can provide several examples of such legal exceptions such as Article 338 five years for the liability suit in respect of the guardianship of minors, Article 1192 ten years for the exercise of right of ownership over tangible movables, Article 2143 two years from the time which damage was suffered etc...

The legal limitation period is of ten years, this legal origin being confirmed by the fact that parties cannot waive limitation in advance nor decide in the contract for longer or shorter limitation period than that fixed by the law as in the sense of article 1855. This provision reads as follows:

Article 1855 - contrary provisions

The parties may not in advance waive limitation nor may they fix periods of limitation other than fixed by the law.

This being said one may pose question in respect of the periods of time necessary to achieve limitation of contractual right. These are issues relating to

- ❖ The starting point of the period
- ❖ Its calculation
- ❖ Its interruption and
- ❖ Interpretation of article 1854 on bad faith

I. Beginning of Period of Limitation

The starting point of the limitation period is fixed by art 1846 by reference either to the day when the obligation is due or from the when the rights existing under the contract could be exercised. The provision states that;

Article 1846- beginning of period

The period of limitation shall run from the day the obligation is due or the rights under the contract could be exercised.

The first starting point is based on the idea that creditor cannot act until the date is due. Before such date the debtor let in executing his obligation from the instant the debt agreed is not respected. The creditor the right to act and the limitation period starts to run. This due date is independent of a notice putting the debtor in default. The maturity date is the prerequisite for the creditors default notice. And such debt cannot therefore be the initiation of the limitation of period.

The second possibility for the start of period of the limitation period is to consider the time when the rights under the contract could be exercised which for instance covers the situation where the contract is enforceable after a notice.

Article 1847- Annuities

In respect of annuities, the period of limitation shall run from the day when the first payment not made was due.

A special situation is necessary regarding annuities. The idea generally advanced here is that one does not want the debtor to be presented after a certain number of years with enormous debt to pay. This explanation is moderately convincing. Another reason is that such annuities are often related to maintenance cost and here the rule is that such payment does not add up. Either the debtor really needs them or there is no reason to believe he will not stake a claim immediately, or if he does not the presumption that he can live without.

This limitation is final and it does not imply a case losing a ten year expense of time, the right itself to the annuity is truly lost after ten year.

II. Calculation of Period of Limitation

The rule of calculation is to omit the initial day from the count to end the period to the very end of the last day of the period. One looks for the day in the month and the month which the same numeral as the day when the limitation started but ten years later.

As to the question which calendar has to be followed, the principle is contractual freedom. The calendar which the parties wished it to be shall be considered. In the absence of that the Ethiopian calendar should be followed. But the 13 month will not be considered as article 18603 expressly excluded it. The provision further states that where the calendar is Gregorian the month is even and no days of next month correspond to it the last day of that month should be considered.

III. Interruption and Suspension

Article 1851-an interruption

The period of limitation shall be interrupted where:

- a) the debtor admits the claim in particular by paying interest or installment or by producing a pledge or guarantees or*
- b) The creditor brings an action for the debtor to discharge his obligations.*

The above provision regulates the situation where the running of the limitation is interrupted. It considers two cases: the first is where the debtor acknowledges the claim,

for instance by paying interest or installments or by guarantee, pledges. The second is when the creditor brings an action to enforce his rights against the debtor.

IV. Bad Faith

Do you remember the meaning of good faith? I am sure that you will say that it is the absence of bad faith. Then what is bad faith?

Article 1854-bad faith

A party may plead limitation notwithstanding that he is in bad faith.

The provision lays out a rule which may seem quite surprising to wit, that even party in bad faith may plead limitation. So, a creditor in good faith may see his claim dismissed by the court even if the debtor is without good faith.

Effect of Limitation

The principal effect of limitation is of course the extinction of the rights concerned an extinction which entails that of all accessory of the debt.

But this limitation has to be requested or rather more frequently rose as a defense against the creditor who has initiated a suit for payment or performance of the contractual obligation. This is also illustrative by the fact that limitation can be waived after it has become effective as in the sense of Article 1856 of the civil code. The same provision under its sub (2) dictates that the court cannot raise it unless it is pleaded by one party.

Chapter Summary

Obligation created by contract does not exist forever. Sometimes it is natural to extinguish it for different reasons. Normally, a contract extinguishes when it is performed according to the agreement. In addition, contractual obligation can also be extinguished by invalidation, cancellation, termination, limitation of action, set-off, novation, remission of debt and merger.

When a certain contract is invalidated for the presence of defect in the formation of the contract, there will be no obligation to be performed. The same holds true once a contract is cancelled owing to non-performance of an obligation in the term of the contract. When a contract is terminated, the obligation of the parties ceases prospectively starting from the time of termination unlike that of invalidation and cancellation which have retrospective effect. Remission of debt, which can be accepted by silence, is among the other grounds of extinction of contractual obligation.

When contractants replace an existing obligation with another new obligation in its nature, the previous obligation extinguishes. Novation is different from variation as the previous obligation is replaced in novation unlike variation in which the obligation is modified. Novation extinguishes the obligation along with its accessory obligations.

Set-off, which happens when contractants are creditors to each other in different transaction upon the fulfillment of certain conditions, extinguishes contractual obligations, as well. It can be undertaken only if the debts are money debts or fungible things of the same species. The extinction effect of set-off is strongly limited to the extent of not affecting the right of third parties.

Merger with its peculiar effect brings an obligation to an end. It happens when the debtor becomes creditor at the same time. Unlike other ways of extinction of obligation, merger will not affect the right of third parties on the obligation.

Period of limitation, which bars the party from requiring any effect of the contract, has also been put as a ground of extinction of obligation. Once certain period of time lapses, the creditor is prevented from enforcing his right against the debtor or the debtor can be relieved of his obligation invoking period of limitation. The court cannot, in its own motion, invoke period of limitation. Rather failure to invoke the defense as a preliminary objection, results in presumption of waiver of the defense.

Generally, when an obligation is extinguished for any reason there is no legal mechanism to enforce it. The capacity of enforcing the obligation might vary depending on the ground of extinction of obligation. Obligation which extinguishes owing to merger and performance does have different impacts on the contractants.

Review questions

- 1) What do you think is the reason for allowing set-off to extinguish part of the debt in the face of the creditor's right to refuse part payment under Article 1746(1)?
- 2) When does merger come to an end? And discuss its effect on the parties and how the period of limitation is calculated.
- 3) What are the differences between cancellation, invalidation and termination?
- 4) Ato Belay and one minor child enter into a contract. In the contract the minor child has sold his motorbike. Later Ato Belay sold it to Ato Behailu and the tutor of minor wanted to have the contract invalidated. Can he invalidate the contract and get back his motor bike?
- 5) What are void and voidable contracts and what are the causes which make them so? What are the differences between the two?
- 6) A and B concluded a contract for the sale of a mobile phone. At the making of the contract B was a minor and this fact comes to the knowledge of A. later A decides to institute a case for the invalidation of the contract. Can A do so?
- 7) A and B conclude a contract for the sale of land. And after a couple of weeks, A came across with the fact that land cannot be sold as ownership of it belongs to the government. He decides to require the invalidation of the contract.
 - (a) Can he do so? Can the public prosecutor ask for invalidation of such contract?
 - (b) Did the contract in the first place exist? If no, how can a nonexistent obligation or contract be invalidated?

8) A taking the advantage of the business inexperience of B sold him TV set for a price several times than it will actually fetch. The contract was concluded on January 20, 2008. B came across with the fact that he has been taken of the advantage of his inexperience after a year and ten days. He went to the court of law seeking the invalidation of the contract. Had you been the judge before whom the case is presented, what would be your decision?

CHAPTER TWO

SPECIAL PROVISIONS OF OBLIGATIONS OR CONTRACTS

Introduction

Dear distance learner, this is the second chapter of the course “Law of Contracts II”. In the preceding chapters of “Law of Contracts I & II”, we have examined the formation, effects and extinction of contracts. This chapter tries to address the various modalities of contracts which may come to complement the general rules. As you have studied in the preceding chapters, the Law of Contracts is founded on the basic principle of freedom of contract. This implies that for this the parties can freely determine the object of their undertaking subject, however, to the mandatory provisions of the law. For this reason, it is impossible to foresee and specify the meaning and effects of all the provisions that contracting parties may include in their agreement.

There are, however, some contractual provisions that are frequently used. Therefore, it is useful to provide the meaning and effects of such frequently used provisions. Special terms of obligations or contracts are rationed to deal with gap filling provisions; it includes certain mandatory provisions, though.

The Civil Code (Art. 1857 – Art. 1895) considers five such types of provisions: the time provisions; the condition; the case of alternative obligations; the payment of earnest; and finally provisions concerning liability. Each of these will be discussed under separate sections of this chapter.

Objectives:

Upon successful completion of this chapter, you will be able to:

- ❖ Distinguish which provisions are gap-filling provisions
- ❖ Identify among gap filling and mandatory provisions of the law
- ❖ Explain how time in days, weeks, and months could be calculated
- ❖ Define conditional contracts;
- ❖ Distinguish condition precedent and condition subsequent and explain the effects of each;
- ❖ Define alternative obligations;
- ❖ Appreciate the meaning and effects of earnest;
- ❖ Discuss contractual provisions with respect to liability;
- ❖ Explain the effects of clauses limiting or extending liability;
- ❖ Discuss the effects of contractual penalty clauses; and
- ❖ Solve real and hypothetical cases involving any combinations of the above concepts.

2.1. Time Provisions

Contracting parties may provide the time of performance within certain period of time without specifically stating the time. They may also provide the time in certain number of weeks, months, or ambiguously on first, last, or middle of a month. The presence of different days in months in Gregorian calendar and the presence of thirteen months in Ethiopian calendar might continually and unexpectedly create gap as to time.

This section aims at filling gaps that happen with reference to time. In doing so, it settles gaps which may be created when time is fixed to be after certain period of time from certain date, within certain period of time, in weeks and months, when a holiday lies in between, and other related gaps.

Objectives:

Dear learners, after you have read this section, you are expected to specify the exact time when:

- ❖ The time is not specific but rather given within a certain period of time
- ❖ The time is fixed in days, weeks, months,
- ❖ The time is fixed in the first, last or middle of a month
- ❖ The last due date is a holiday

Save in the case of cash sale contracts and other types of contracts whose very nature requires the performance of the obligations at the time of conclusion of the contract contracting parties usually stipulate time for the performance of the contract. Obligations which are performed some time after they are created are known as obligations on term. It is on such types of obligations that the time provisions shall be applicable.

The time of performance of the contract may be fixed in terms of days, weeks, months or even a certain range of time. In such cases, where the parties fail to particularly designate the due date of the obligation, it is important to provide some gap filling provisions which are intended to remedy the gap created by the agreement of the parties. The civil code provisions of Article 1857 through Article 1868 provide certain guidelines to be employed in calculating time of performance fixed in days, weeks,

months, etc.. For a better understanding of these provisions, let's have a look at them one after the other.

Art. 1857. – Calculation of period of time

Where an obligation is to be discharged or another act of legal nature is to be performed after a certain period of time from the date of the contract or any other date, such period shall be reckoned in accordance with the provisions of the following articles.

We can imply from the reading of this article that the time provisions shall not be applicable for obligations which are going to be performed immediately at the time of their formation. As it has been pointed out earlier, the time provisions stipulate, in one or the other way, the due date of the obligation. If there is simultaneity of formation and performance of the contract, there is no need to bother about the time of performance of such contracts. That is the reason why the law limits the application of the time provisions to obligations on term. In the case of construction contracts, contract of loan or sale on credit, for example, the obligations undertaken by the debtor cannot be performed immediately at the time of the contract. In such and other similar cases, the very nature of the contracts require some time for the performance of the obligations.

2.1.1. Calculation of Period of Time

Where the due date of the obligation is a day other than the time of formation of the contract, such due date shall be calculated as per the guidelines provided by Art. 1858 – Art. 1868.

Art. 1858. – Period fixed in days

Where the period is fixed in days, the debt shall be due on the last day of such period, the day of the making of the contract not being included.

Article 1858 puts the formulae to calculate the due date of the contract where the time of performance is fixed in days. In such a case, we shall have regard to the last day of the period (fixed in days). In doing so, the day of the making of the contract or any other day designated by the parties to serve as a reference point shall not be taken in to account.

Example

1) In a contract signed on the 2nd day of January 2009, Lemlem sold certain goods and commodities to Helen on credit basis. They agreed that Helen has to pay the price of the goods and commodities after twenty days. The due date of Helen's obligations will be January 23, 2009. The last day of the period of the twenty days falls on January 22, 2009 and because the day of the making of the contract shall not be taken in to account, the due date becomes January 23 and not January 22.

2) The parties agreed, in a contract of loan, that the debt will be paid *within* seven days from Ginbot 1. In such a case, Ginbot 1 doesn't count and the term (period) expires at the end of Ginbot 8, or conversely, just before the first minute of Ginbot 9.

One has to be careful as to which calendar, Gregorian or Ethiopian, has to be used in calculating the period of performance fixed in days. For instance, in the case given under example 2 above, Ginbot 8 ends in the Ethiopian calendar with the last night hour, or the first hours of Ginbot 9. In the Gregorian calendar, days change at mid night. The ultimate result will be a six-hour difference between the two calendars. In the absence of any clear agreement between the parties about the calendar to be

referred in calculating the period of performance, the Ethiopian calendar applies where the territorial jurisdiction of the Ethiopian courts is applicable.

Article 1859 of the Civil Code puts the guideline to calculate time of performance stipulated in weeks. The article reads:

Art. 1859. – Period fixed in weeks

Where the period is fixed in weeks, the debt shall be due on such day of the last week as corresponds by its name to the day of the making of the contract.

Where the period is fixed in weeks, the due date of the obligations falls on at the end of the day (Monday, Tuesday, Wednesday... etc.,) in the last week of the period which bears the same name as the day of the conclusion of the contract (or any other day designated by the contracting parties). The law doesn't require correspondence between the day of conclusion and the due date by their number. You may take the following illustration to better understand the manner of calculation.

Example: where a contract is signed on Wednesday, 7th June of 2008 and agreed to be performed after three weeks period, the due date will be Wednesday, 28th of June, 2008.

Where the period is fixed in months, the guideline under article 1860 shall be applicable. This provision provides:

Art. 1860. – Period fixed in months

- 1) *Where the period is fixed in months or so as to include several months, the debt shall be due on such day of the last month as corresponds by its number to the day of the making of the contract.*

- 2) *Where the period is fixed in accordance with the Gregorian calendar, and no day in the last month corresponds to the day of the making of the contract, the debt shall be due on the last day of the last month.*
- 3) *The thirteenth month of the Ethiopian calendar shall not be taken in to account.*

The contracting parties may fix the time of payment in months. In such a case the guideline under Article 1860 will become operative. The guiding principle is that the time of payment is the day of the last month with the same numeral as the one of the conclusion of the contract (or another day defined by the agreement of the parties). Unlike Article 1859, Article 1860 doesn't require correspondence of the two days with respect to their names but only their number.

It may happen, however, that some months of the Gregorian calendar may not have the same length and as such we may hardly find days having corresponding numbers. This is, for instance, the case where the contract is signed on January 31, 2009 and to be performed after a month. In such a case the principle of Article 1860 (1) guides us to find a day in the month of February that has corresponding number with the day of the making of the contract (i.e., the 31st day). Unfortunately, however, the month of February does have only 28 or 29 days, as the case may be. In such and other similar circumstances, Article 1860 (2) provides that the due date of the obligation will be the last day of the last month even if such last day may not correspond by its number to the day of the making of the contract – in the example given above- February 28 or February 29 (in case of leap year). Article 1860 (2) is, therefore, meant for solving problems emanating from incongruent numbers of the months in the Gregorian calendar.

In addition to the cases where there is no corresponding number in Gregorian calendar, peculiar Ethiopian calendar with thirteen months also begs gap-filling provision. As the thirteenth month has five or six days, the probability of not getting

corresponding date is more probable. This creates two choices which are either totally ignoring the month or ignoring the month when there is no corresponding date and considering it when there is corresponding date in it.

The Ethiopian Civil Code prefers totally ignoring the month as it can be seen under Article 1860 (3) which says that “The thirteenth month of the Ethiopia Calendar shall not be taken into account”. The thirteenth month of the Ethiopian calendar is disregarded pursuant to Sub Article (3) of the above mentioned provision when the periods are fixed in months.

For example, assume that a contract was made on Hamle 10 and stipulated that the obligation will be discharged within four months. The due date is Hidar 10 without considering “Pagumen”. “Pagumen”/thirteenth month is not considered. It must be born in mind that contract concluded in “Pagumen” is considered to have been concluded in Meskerem. A contract concluded on any day of “Pagumen” is considered that it has been made on Meskerem 1 in the Ethiopian calendar.

As a continuation of period fixed in months, contracting parties may fix the period of performance in reference to the beginning, middle or end of a certain month. The rules governing such cases are provided under Article 1861 which reads:

Article 1861 – Monthly periods

- 1) *Where the period expires at the beginning or at the end of a month, such period shall expire on the first or on the last day of such month.*
- 2) *Where the period expires in the middle of a month, such period shall expire on the fifteenth of such month.*

Let’s first draw the distinction between Article 1860 and Article 1861. In the cases falling under the parties are not fixing the period by stating that the obligation will be

due after such and such months. Rather they provide that the obligation will become due at the beginning, middle or end of a certain month without specifically designating the exact due date. Where the parties provide that the obligation will fall due at the beginning or end of the month, beginning and end of the month refer to the very first day and last day of the particular month, respectively. This guideline is applicable to both period fixed as per the Ethiopian and Gregorian calendars.

Where the parties refer to the middle of a month, this refers to the fifteenth day of that particular month. By providing so, the law favors the Ethiopian calendar to that of the Gregorian calendar. This is because it is only in the case of the Ethiopian calendar that the middle of a month, in all cases, happens to be the fifteenth day. Because the Gregorian calendar does not have the same number of days in all months, the middle of a month may differ from one month to another. On top of this, Article 1861 (2) impliedly excludes its application to the thirteenth month of the Ethiopian calendar – ‘pagume’. This is because the month of ‘Pagume’ doesn’t have the fifteenth day.

Examples

1. In a contract of loan signed between Kassaye and Addisu on the 3rd day of January 2009, the later agreed to pay the money back to the former at the beginning of the coming month. The due date of such obligation will be February 1, 2009.
2. In a similar case as the above, where the parties have agreed that the debt shall be paid back at the end of the coming month, the obligation shall fall due on February 28, 2009.

3. If in example one, the parties agreed that the money shall be paid back at the middle of the month of February, Addisu has to pay the money back on February 15, 2009.

After calculating the time of performance of the obligation as per the guidelines discussed here in above, the due date may happen to be a holiday. What will happen in such cases? Will the debtor be obliged to perform the obligation on that holiday? How are we going to ascertain whether a certain day is a holiday or not? All these matters are governed by Article 1862 of the Civil Code.

Article 1862 – Holidays

Where the period expires on a day which is a holiday at the place of payment, such period shall expire on the next working day.

Where the due date that is ascertained as per the preceding provisions happens to be a holiday, the obligation has to be performed on the next working day. In this regard the law does not make a distinction between an official or non-official holiday, between religious or non-religious holiday. It is sufficient that the particular day is a holiday at the place of payment. This is a question of fact which has to be decided by the court where there arises any litigation as between the parties.

Example

In a contract of sale signed on the March 25, 2009, Selam agreed to deliver a horse to Tigist after a month. As per Art 1860 (1), the obligation shall fall due on April 25, 2009. If April 25 is Good Friday, the obligation has to be performed on April 28 because the subsequent two days after April 25 are not working days.

In certain circumstances the parties may provide that the contract shall be performed within a certain defined period of time. In such a case, Article 1863 provides that:

Article 1863 – Lapse of time

- 1) *Where an obligation is to be discharged within a specified period of time, the debtor shall discharge his obligations before the expiry of such period.*
- 2) *He shall fix the exact date on which he shall discharge his obligations unless the circumstances are such as to show that the said date is to be fixed by the creditor.*

As it can be seen from this provision, where the parties provide that the obligation has to be discharged within a specified period, the debtor has to discharge his duties before the lapse of such period of time. It is, at least in principle, up to the debtor to fix the exact time date of performance within the range of time defined by the parties. The debtor may not, however, be entitled to fix the exact date of performance where such entitlement is given to the creditor and where such can be inferred from their agreement, the law or particular circumstances of the case. It has to be borne in mind that Art 1862 shall not be applicable for cases falling under Art 1863. Stated otherwise, Art 1862 provides an exception to the articles that precede it (Art 1858 – 1861) and it cannot be invoked by the debtor in the case provided in Article 1863.

Example

1. On September 3, 2008 Jambo and Eyoel signed a contract under which Jambo undertook to perform his obligations under the contract within the coming three months. Jambo has to perform his obligations on December 3, 2008 at the latest. It is up to Jambo to decide the exact date (within the three months time frame) at which the obligation has to be discharged. Jambo is in default if he performs on December 4, even if December 3 is a holiday.

2. In a contract signed between Merdassa and Bedassa, the latter undertook an obligation to deliver some specified items within three months of the time of conclusion of the contract. The items are intended to be used for the wedding that Merdassa is planning to celebrate. In such a case, it is up Merdassa (the creditor) to fix the exact date at which those specified items have to be delivered simply because the circumstances of the case show that the items are to be utilized for the wedding and the date of such ceremony can only fixed by the creditor.

The parties may vary their contract and extend the originally fixed time of performance. In such a case, Article 1864 declares that the new extended period shall start to run from the day following the day on which the original period expired provided that the parties do not provide otherwise by their agreement.

✎ **Do you think Art 1864 can be applicable for cases where the time of performance is extended by the court (the granting of period grace – Art 1770)?**

2.1.2. Benefit of Time

The civil code provisions from Article 1865 to Article 1867 determine the effects of time provisions. The significance of time provisions differs according to whether it was included in favour of the debtor, in favour of the creditor alone, or in favour of both parties. The contracting parties may not expressly state the party who have the benefit of time. Thus, the law puts a presumption under Article 1865 to favour the debtor.

Article 1865 – Benefit of period of time

The period of time shall be deemed to be fixed for the benefit of the debtor unless the contract or the circumstances show that it is also fixed for the benefit of the creditor.

This article lays down a presumption that a time provision is ordinarily provided for the benefit of the debtor. This presumption goes in line with the interpretation principle that doubts have to be interpreted in favour of the debtor (Article 1738 of the Civil Code). The presumption of Article 1865 is, however, a rebuttable presumption. Thus, the time provision shall not be considered to have been fixed for the benefit of the debtor where the express provisions of the law or agreement of the parties or the particular circumstances of the case dictates that the benefit of time is fixed for the exclusive advantage of the debtor alone or for the mutual benefit of both the creditor and the debtor. As you might have speculated, Article 1865 does not clearly envisage the circumstance in which the debtor may lose the benefit of time fixed for his advantage where such benefit has been provided for the mutual advantage of both parties. You have to read such circumstance in to Article 1865.

✂ **When shall a creditor be entitled to benefit out of the time fixed in the contract?**

The creditor shall benefit out of the time where such benefit is reserved to him by the contract itself or the provisions of the law. You may consider, for example, Article 2786 of the Civil Code one instance in which the provisions of the law entitle the creditor to benefit from the time fixed in the contract.

Article 2779 – Definition

A contract of bailment is a contract whereby one person, the bailee, undertakes to receive a chattel from another, the bailor, and to keep it on the latter's behalf.

Article 2886 – End of bailment – 1. Bailor's right

- 1) *The bailee shall return the chattel to the bailor as soon as the latter claims it, unless a fixed term has been provided in favour of the bailee.*

- 2) *The bailor shall indemnify the bailee for expenses he has incurred in consideration of the agreed term.*

As provided under Article 2779 in a contract of bailment, the bailee deposits a certain corporeal chattel on behalf and for the advantage of the bailor. This may be done for consideration or gratuitously. Because the bailee is keeping the corporeal chattel on behalf of the bailor, he has to give back the chattel as soon as he required doing so by the bailor (Article 2786). The bailor has such right of demanding the restoration of the chattel even prior to the expiry of the term fixed in the contract. We can, therefore, conclude that the time of performance, in the case of contract of bailment, is fixed for the exclusive advantage of the creditor (bailor) and as such the debtor (bailee) shall not benefit from the presumption laid down by Article 1865.

In addition to the clear provisions of the law, the particular circumstances of the case may dictate that the benefit of time is fixed for the exclusive advantage of the creditor alone or for the mutual advantage of both parties. Let's consider the following example.

In the example given on page 12, we said it up to the creditor to fix the exact date of the delivery of the specified items because the time is fixed for his exclusive advantage. By the same token, he may require the debtor to perform his obligation at any time prior to the lapse of the fixed period of time. The debtor may not refuse to deliver the items prior to the lapse of the fixed period of time.

As pointed out herein above, where the term is fixed for the mutual benefit of the contracting parties, the debtor shall lose his benefit of period of time. Let's see the following quote taken from Tilahun Teshome's "Principles of Ethiopian Contract Law" material (Page 355)

“... በውሉ የተቀመጠው የጊዜ ገደብ ለሁለቱም ወገኖች ተብሎ መሆኑ በሚታወቅበት ጊዜ የግራ ቀኙ ጥቅም እግምት ውስጥ ሊገባ ያስፈልጋል። ... አንድ ተቋራጭ ሕንጻ ሰርቶ ለማስረከብ የሚሰጠውን የጊዜ ገደብ እንመልከት። ሥራው በሁለት ዓመት የሚጠናቀቅ ባለአስር ፎቅ ሕንጻ ለመስራት ተቋራጩ ከአሰሪው ጋር ቢስማማ ይህን ግዴታ መፈጸምን በተመለከተ ተቋራጩ ባለዕዳ ነው። የሥራ ማጠናቀቂያ ጊዜው የሚሰጠውም ተግባሩን የሚያከናውንባቸውን የአካባቢ ሁኔታዎች እግምት ውስጥ በማስገባት ስለሆነ የጊዜው ተጠቃሚ የሚሆነው አሰሪ ነው። ነገር ግን የውሉ አፈጻጸም ባህርይ እንደሚያሳየን ጊዜው ለሥራ ተቋራጩ ብቻ ተብሎ የተቆረጠ አይደለም። በሁለት ዓመት ማለቅ ያለበትን ይህን ሥራ ሠራተኛ ጨምሮና ሌሊትና ቀን ሰርቶ በስድስት ወር ላስረከብ ሲል አሠሪው አካል ሊቃወመው ይችላል። ሥራው የሚሠራው ደረጃ በደረጃ ከመሆኑም ሌላ እያንዳንዱ የሥራ ደረጃ የራሱ ጊዜ ያለው ነው። የሥራው ባህርይ ራሱ በየደረጃው የተወሰነ ጊዜ መቆየትን የግድ ይላል። መሠረቱ ተጠናክሮ ሌላውን መሸከም እሚችልበት ደረጃ መድረሱ ሳይረጋገጥ ወደፎቅ ሥራው መሄድ የማይቻል ነገር ነው። ከአንዱ ፎቅ ወደ ሌላው ለመሸጋገር የግድ የተወሰነ ጊዜ መቆየት ያስፈልጋል። የመጀመርያው ፎቅ ተሠርቶ ቀጣዩን መሸከም መቻሉ ሳይረጋገጥ ወደ ሁለተኛውና ሦስተኛው ፎቅ ለመሄድ የሥራው ተፈጥሯዊ ጠባይ አይፈቅድም።”

In this example, if the contractor wants to complete the construction project before the two years period of time, he must secure the prior consent of the other party as the benefit of the period of time is fixed for the mutual advantage of both parties.

Whether the creditor or the debtor has the benefit of the period of time, what then is the effect or implication of this benefit of time?

Where the debtor has the benefit of time, the creditor may not demand the performance of the obligation before the due date of the obligation. Where the period is fixed for the mutual advantage of both parties, the consent of both parties is required to perform the obligation prior to the due date. If, on the other hand, by an express agreement or circumstances of the case show that the benefit of time is for the exclusive advantage of the creditor, Article 1867 provides that the latter may demand performance before the expiry of the due date.

Article 1867 – Rights of the creditor

- 1) *The creditor may not demand performance before the expiry of the agreed period of time unless such period was fixed for his exclusive benefit.*
- 2) *Where the period is fixed for the exclusive benefit of the creditor, he shall, where necessary, grant a reasonable period of time for the debtor to discharge his obligations.*

As pointed out herein above, where the period is fixed for the exclusive benefit of the creditor, he may require the performance of the obligation even prior to the expiry of the agreed period of time. Requiring the performance of the obligation before the due date may put pressure on the party debtor. Thus, Article 1867 (2) imposes an obligation on the creditor, even where he has exclusive benefit over the period of time, to give a reasonable time, where necessary, so that the debtor will be able to discharge his obligation at ease. What is necessary and what is a reasonable period of time are questions of fact which will be decided upon by the court in the event of dispute between the parties.

2.1.2.1. Renunciation or Forfeiture of Benefit of Time

In the normal course of things an obligation has to be performed by the debtor upon the expiry of the period of time fixed by the agreement of the parties. Simply stated, the obligation has to be carried out by the debtor at the due date. The debtor may, however, perform the obligation prior to the due date in two circumstances:

- ❖ Renunciation (waiver) of the benefit of time (Article 1866), and
- ❖ Forfeiture (loss) of the benefit of time (Article 1868)

Where the benefit of time is fixed for the exclusive advantage of the debtor, the creditor may not require the performance of the obligation prior to the expiry of the

agreed period of time. The creditor may, however, waive (renounce) such benefit of time unilaterally by offering to perform the obligation prior to the due date. Once the renunciation is made, it shall be final and cannot be withdrawn. Thus, payments made prior to the due date cannot be recovered by the debtor (Article 1866 (2)). Such payment may not be considered as undue payment in the sense of Article 2164 of the civil code and as such cannot be reclaimed back. In addition to this, a debtor who waived his benefit of time and performed the obligation prior to the due date cannot demand counter performance from the other party before the due date of the other obligation.

The second circumstance in which the debtor may lose the benefit of time fixed for his exclusive advantage is envisaged under Article 1868 of the Civil Code.

Article 1868 – Loss of benefit of time

The debtor whose insolvency has been established or who has reduced the value of the securities given by him to the creditor shall lose the benefit of the agreed period of time.

Unlike the case of renunciation, in the case of forfeiture the debtor loses the benefit of time by the operation of the law against his will. Such loss of the benefit of time results from two grounds:

- ❖ The debtor's insolvency, and
- ❖ Debtor's act of reducing the value of the securities given by him to the creditor.

In the first case, if the debtor's insolvency/bankruptcy has been "*established*", the debtor will automatically lose the benefit of time with the consequent result of being obliged to perform the obligation prior to the due date. The very term "*established*" under Article 1868, shows the insolvency of the debtor refers to a judicially established insolvency/bankruptcy. We can, therefore, conclude that the debtor may

not lose his benefit of time due to the mere fact of his inability to satisfy the claims of his creditors unless his inability has been formalized by a court judgement. The declaration of insolvency/bankruptcy shall have the immediate effect of making all debts shouldered by the debtor exigible as of the time of the declaration of insolvency. Once the bankruptcy of the debtor is established by the court, it is useless to wait for performance by the debtor. The risk of waiting for the due date is rather high. Therefore, if there is any right the creditor has under the contract, he may demand performance before the due date. Such effect of declaration of insolvency is provided under Article 1027 of the Commercial Code of Ethiopia.

Article 1027 – Outstanding debts rendered due

- 1) *On adjudication all debts owing to the debtor shall become due immediately.*
- 2) *Debts expressed in foreign currencies shall be converted in to local currency at the official rate of exchange on the day of adjudication.*

In addition to the declaration of insolvency, the debtor's act of reducing the value of the securities given by him to the creditor shall snatch the debtor's benefit of time. The securities may take the forms of pledge or mortgage. The debtor's act of reducing the value of securities will decrease the probability of the creditor being paid and militate against the interest of the creditor.

Example

Zerihun lent 10,000.00 birr to Wasyihun which the latter has to pay back after six months. In concluding the contract of loan, Wasyihun pledges his car as a security for the performance of the principal obligation of paying back the 10,000.00 birr. Two months after the conclusion of the contract, Wasyihun started to sell parts of the car by dismantling it. Because such acts of the creditor reduce the value of the security

(the car), the creditor (Zerihun) can require the payment back of the 10,000.00 birr even before the expiry of the six months period of time.

It has to be borne in mind that the decrease in the value of the securities given by the debtor must be attributable, directly or indirectly, to the acts of the debtor. The debtor may not lose the benefit of time if the security given has been lost or its value has diminished fortuitously. The same goes for instance where the value of the car, in the example above, falls because of the downwards trends of the car market.

Dear distance learner, so far we have tried to give you a bird's eye view of contractual terms (period of performance). Let's finalize this sub-section by adding few words about legal and judicial terms.

In addition to terms fixed by the mutual agreement of the parties, the period of performance, in some circumstances, may also be fixed by the law (legal terms) or the intervention of the courts (judicial terms).

In some circumstances the legislator may intervene in the agreement of the parties and grant, usually for the party debtor, a certain extended period of performance to soften the harsh impacts of some exceptional circumstances. Such is the case in the difficult circumstances of a war, where performance is made very difficult for instance because of the restrictions on means of transport or the accessibility of raw materials. Some countries, for instance France, also adopted some consumer protection laws to protect the consumer from entering detrimental contracts too fast, pushed by too effective salesmen. For instance, in France, no contract of sale concluded after a salesman has come to the home of a private person may be effective before seven days from the conclusion. This type of term is designed to enable the consumer to think twice about the purchase before it is too late, and is accompanied by statutory right to unilaterally cancel the contract within these seven days. Such

types of legal terms are not, however, envisaged under the civil code time provisions. This does not, in fact, preclude the legislature from coming up with such types of terms when the need arises.

As you may recall from the discussion about variation of contracts, courts are given limited power of revising the terms of the contract. As a matter of principle, the parties are expected to perform their obligation upon the expiry of the agreed period of time. Exceptionally, however, the court is given limited power of extending the time of performance by giving a grace period for a term not exceeding six months (Article 1770). This is an exceptional power of revision of contracts granted to the judges, and Article 1770 severely curbs the power of judges by stating that judges have to identify that the position of the debtor and equity calls for such measure. Though exceptional it may be, we can say that the Ethiopian contract law recognizes judicial terms. There are, however, complaints that such severe restriction on the power of revision of contracts by judges does not fast track with the contemporary economic trends and consumer protection schemes.

Dear distance learner, hoping that you are well acquainted with the concepts related with the time provisions; we are going to introduce you to a new concept – conditional contracts.

2.2. Conditional Contractual Obligations

Contracting parties are free to design their contract in any fashion they like as far as they do not contradict the mandatory provisions of the law (Article 1731). Providing a condition upon the fulfillment of which the effect of contract depends is one way by which contracting parties may exercise their freedom of contract. Providing a condition is one way by which parties may determine the fate of their agreement. It

can thereby help them cope with the contingencies. Accordingly, contracting parties can make their contract conditional as a whole or one of its terms.

A contract to which condition is attached is covered by this section. The section is meant for the discussion of the Civil Code provisions running from Article 1869 through Article 1879. While discussing the conditional contract, this section provides the meaning of condition, the obligation of the parties to a conditional contract, the types of condition along with their effect, the relationship between the condition and the contract with reference to validity.

Objectives:

Upon successful completion of this section, students will be able to:

- ❖ Explain what condition is under the civil code,
- ❖ State the two types of conditions along with their effect on the contract,
- ❖ Explain whether validity of the condition affects the contract,
- ❖ State the acts, which the parties can do before or after the fulfillment of the condition.

2.2.1. Definition and Types of Conditions

A condition is an event situated in the future but of which no one knows whether it will in fact happen or not. In the case of condition, the uncertainty relates to the happening or non-happening of the very event itself. In this regard a condition is different from a term of no fixed date. A term of no fixed date is a future event which is sure to happen, even if the date is unknown. Though both a condition and a term of no fixed date are future events, in the former case there is uncertainty as to the very

happening or non-happening of the event while in the latter case the event is sure to happen though there is uncertainty as to the date of its happening. Let's illustrate the distinction between the two by taking an example.

Example

In a life insurance between an insurer and insured, the former undertakes to pay a certain sum of money as compensation to the beneficiaries of the insured upon his death. In this case, the insurer's obligation for payment of the compensation shall be invoked upon the death of the insured. The event (the death of the insured) is sure to happen but there is uncertainty as to the date at which the insured will die. This is a term of no fixed date. But if the event is labeled "if the insured dies before his wife", this is a condition because no one is sure that the insured will die before his wife.

Article 1869 of the Civil Code, which defines conditional contracts, provides the following:

Article 1869 – Principle

A contract shall be deemed to be conditional where it relates to an obligation whose existence depends on the occurrence or non-occurrence of uncertain event.

Generally speaking, a conditional contract is one of which existence or extinguishment is dependent upon the fulfillment or otherwise of an uncertain event. This means, either the performance or the extinguishment of the contract will depend on the fulfillment or otherwise of the uncertain event.

To better understand the meaning of Article 1869, let's first see the distinction between the two basic types of conditions – condition precedent and condition subsequent.

A condition precedent is the situation where an otherwise perfectly valid obligation is suspended to the arrival of a future and uncertain event. Had it not been the condition attached to it, the obligation could have been executed from the very moment of its creation. The attachment of the condition to the contract shall make the obligation dormant until the time when the uncertain event (condition) is fulfilled. This implies that neither the creditor can require performance nor the debtor be obliged to perform his obligations until the uncertain event arrives. A condition precedent (also known as suspensive condition), therefore, will make the contract temporarily ineffective. Article 1871 of the civil code, which governs condition precedents, reads:

Article 1871 – Condition precedent

Unless otherwise agreed, the contract shall be effective as from the day when the condition is fulfilled.

Example

1. In property insurance for burglary signed between the insured and the insurer, the latter's obligation for the payment of compensation will be suspended until such time when the property is robbed.
2. If the parties to a sale contract agreed that the sale will take place if the bank lends money to the buyer for the purchase, the sale agreement will not take effect until the buyer secures the loan from the said bank.

A condition subsequent is the situation where the contract is concluded and performed, but it may be challenged by the arrival of a future and uncertain event. The contract is effective from the very day of its conclusion and as such produces the regular effects of contracts – the creditor is entitled to claim performance and the

debtor is bound to carry out his obligations under the contract. But upon the arrival of the uncertain event the contract ceases to produce any effect whatsoever. Thus, the arrival of the future and uncertain event shall make the already effective contract ineffective one. Article 1872, which provides for condition subsequent, reads:

Article 1872 – Condition subsequent

- 1) *A contract whose cancellation depends on the occurrence of an uncertain event shall be effective forthwith.*
- 2) *It shall cease to be effective as from the day when the condition is fulfilled.*

Example

1. An elder brother undertakes an obligation to make a contribution of 200 birr per month to his little brother until the latter secures an employment. The obligation of the elder brother starts to produce effect as of the time of its creation but ceases to produce effect as soon as the little brother secures a job.

2. A contract of lease of a house signed subject to the regular payment of the rent by the lessee shall be performed from the very moment of its conclusion. If the lessee fails to pay a monthly term, the contract of lease is terminated and the leaser shall possess the property and the lessee will be kicked out of the house.

It is only where a contract is subjected to a condition precedent that its existence depends on the occurrence or non-occurrence of an uncertain event. Where, on the other hand, the contract is subjected to a condition subsequent, it shall become effective from the very moment of conclusion but will be cancelled upon the happening or non-happening of the uncertain event. Stated otherwise, an obligation attached to such type of contract exists right from the very moment of the conclusion

of the contract and it is not its existence that depends on the happening or non-happening of the uncertain event but its cancellation or extinguishment.

Article 1869 defines a conditional contract as one whose existence depends on the occurrence or non-occurrence of an uncertain event. This definition seems to take in to account an obligation which depends on a condition precedent. This is because, as discussed earlier, it is only in the case of an obligation attached with a condition precedent that the existence (performance or effectiveness) of the obligation depends upon the occurrence or non-occurrence of the uncertain event. In a nutshell, therefore, Article 1869 seems to disregard a contract attached with a condition subsequent. This does not, however, mean that a contract dependent upon a condition subsequent is not given any place under the Ethiopian contract law. Article 1871 and Article 1872 provides for condition precedent and condition subsequent, respectively. We can therefore conclude that conditional contract is ill-defined under Article 1869 to include only a contract dependent upon condition precedent.

As it has been pointed out herein before, so as to speak about a conditional contract, either the performance or extinguishment of the obligation must be contingent upon the fulfillment or otherwise of an uncertain event. The uncertainty of the event relates to two things – either as to the very happening or non-happening of the event itself or the date of the happening of the event (though there is no uncertainty about the occurrence of the event). We have said that where the uncertainty relates only to the date of happening of the event, such shall not be considered as a condition but only a term of no fixed date. Thus, where the performance or cancellation of the contract is dependent upon a term of no fixed date, such contract cannot be considered as conditional one. Such does not, however, seem the case when we refer the definition of conditional contracts. Professor Rene David provides the following about the nature of the condition attached to a contract:

“The condition must relate to an uncertain event by definition. But the uncertainty may relate to whether the event will occur or not or to the date when it will occur.”

This statement, therefore, implies that a term of no fixed date is also considered as a condition under our contract law. Professor David’s definition of conditional obligation is materially broader than the traditional concept. Most legal systems, as discussed above, regard as conditional only those obligations whose very existence is uncertain. Where only the date of the event is uncertain, as the death of a specified person, most legal systems consider that there is an uncertain time for performance (a term of no fixed date), but not a condition. While the Amharic version of Article 1869 supports the broad interpretation of conditional obligations adopted by Professor David, the English version specifically excludes it; since it refers to “an obligation whose *existence* depends on the *occurrence or non-occurrence* of an uncertain event.” Since the Amharic version is the official version, it shall prevail over the English one.

✎ **What if the agreement of the parties is silent or vague about the type of condition attached to the obligation?**

Article 1871 of the civil code gives a solution to this problem. By providing “*unless otherwise agreed*”, the contract shall be effective as from the day when the condition is fulfilled”, this article takes a presumption in favor of condition precedent. Though condition subsequent is also recognized by our law, such recognition is exceptional. It is only in the circumstances where the parties have qualified their agreement is attached to a condition subsequent that the contract can be treated as such. In the absence of any clear guideline as to the type of the condition attached to the contract, the condition shall be presumed to have been a condition precedent type and suspend the performance of the obligation until the fulfillment of the uncertain event. The presumption laid down by Article 1871 goes in line with Article 1738 of the Civil

Code which demands interpretation of doubts in favor of the debtor. This is because the debtor's performance of the obligation cannot be invoked until the uncertain event has materialized

2.2.2. Validity of Conditional Contracts

Dear distance learner, what requirements, do you think, should be satisfied for a certain conditional contract to be considered as valid?

In this sub-section, we are going to bring to your attention some of the validity requirements of conditional contracts.

The mere fulfillment of the definition of conditional contracts does not make the conditional contract a valid one. In addition to qualifying the basic definition, a conditional contract is expected to satisfy certain validity requirements provided by the relevant provisions of the civil code.

To begin with, since conditional contracts are one type of contracts, they have to satisfy all the essential requirements of a valid contract (Article 1678 of the Civil Code). Thus, the parties to the conditional contract must be capable of contracting and give their consent sustainable at law, create a effective object that is lawful, possible, moral and sufficiently precise and make their agreement in the form prescribed by the law.

In addition to the essential validity requirements of Article 1678, Article 1878 provides that the conditions attached to the contract must be lawful, moral and possible.

Article 1878 – Impossible, unlawful or immoral condition

The provisions relating to the impossible, unlawful or immoral object of a contract (Article 1715 and 1716) shall apply where the condition on which a contract depends is impossible, unlawful or immoral.

Unlawful, immoral or impossible conditions are regulated by applying provisions relating to the impossible, unlawful or immoral object of a contract, starting Art.1715-1716. Since impossible, unlawful or immoral obligations have been explored earlier (the first module of Law of Contracts I), they now need to be considered briefly from the angle of a condition. Under Article 1715 and 1716, the impossibility, unlawfulness or immorality relates to the very obligation undertaken by the parties. The cases referred under Article 1878, however, envisage cases where the object of the contract is perfectly valid but the conditions attached to such valid obligation happen to be impossible, unlawful or immoral.

Examples

1. Impossible condition: I will sell you my house if you bring ten quintals of coffee from Mars. In this example, the obligation created by the sell contract is perfectly valid but the condition attached to its performance is impossible.

2. Unlawful condition: A person promise to pay a salary to his employee if the latter steals the trade secrets of the former's competitor.

3. Immoral condition: The prospective employer promises to employ the housemaid if she accepts sexual relations with him.

As regards the impossibility, it may relate to physical or legal impossibility. The first arise when a condition is permanently hindered by a certain legal obstacle. The

fulfillment of the condition is impossible not because of its physical nature but rather due to legal prohibitions. If, therefore, a person promises to sell his house to another at a reduced price if the buyer marries his own sister is said to have been attached to a condition the fulfillment of which is legally impossible.

Physical impossibility relates to a thing or fact the fulfillment of which is absolutely impossible according to the laws of nature as whose accomplishments involve, in the ordinary course of things, insurmountable difficulties. If the debtor's obligation is assumed subject to an impossible condition, it is presumed that the debtor did not intend to be bound by the contract because there is no single opportunity for the condition to be fulfilled.

It has to be borne in mind that the impossibility, be it legal or physical, must exist at the time of the conclusion of the contract. If the impossibility appears at a later date, the creditor can request variation as per Article 1768 or declare the cancellation of the contract as per Article 1788.

As it can easily be grasped from the reading of Article 1878, the rules under articles 1715 and 1716 shall apply (by analogy) in respect of impossible, unlawful or immoral conditions. Article 1878 simply by cross referring the application of articles 1715 and 1716 is far from clear and this imprecision of the drafting creates a difficulty in understanding what is really intended. We can tell for sure that the impossible, unlawful or immoral condition is void, but does it bring the nullity of the entire contract? Articles 1715 and 1716 do indeed provide for the nullity of the nullity of the entire contract but they are drafted to address the question of the impossibility, unlawfulness or immorality of the obligation itself. In the case of impossibility, unlawfulness or immorality of conditions, we are studying the consequence of a modality of a contract which is otherwise valid.

In this regard, Professor David wrote in his commentary that the consequence of such impossible, unlawful or immoral conditions “depend on the importance of the condition in relation to the whole contract.” Jean Mark Baissus, in his general commentary on law of contracts under the civil code of Ethiopia, provides that the source of Professor David’s answer is the French case law and provides the following as explanation.

“The answer amounts to a fall back on the fundamental rules of the law of contracts and attempt to identify the intention of the parties. If the parties intended to make the unlawful, immoral or illicit condition central to their agreement, the impulsive and determinative cause of their respective obligations, then the defect of the condition infects the contract itself, which must be declared void. If, on the contrary, the defective condition was only a secondary or accessory clause within the entire economy of the contract, the nullity will be restricted to this condition only and the rest of the contract will be allowed to survive.”

Such a solution is in effect declaring partial invalidation of the contract where such is possible (Article 1813 of the Civil Code). We can also get a practical illustration which also confirms the validity of the analysis suggested for Article 879, which states that a condition which is impossible, unlawful or immoral will be declared void but that the legacy itself will not be declared void. In fact Article 879 goes even further than the case we raised in relation to Article 1878 because it refuses the nullity of the entire legacy, even if the condition induced the testator to make the disposition. Stated otherwise, no matter how central the condition may be, if the condition is impossible, unlawful or immoral, it shall in all cases be disregarded and the legacy will be executed as unconditional one.

Contracting parties have the autonomy to attach any condition of their choice subject, however, to the limitations of Article 1878 and 1879 of the Civil Code. Article 1878

prohibits the parties from attaching impossible, unlawful or immoral conditions while Article 1879 bans attaching conditions of which fulfillment is exclusively dependent on a party. The latter types of conditions are known as potestive conditions. Thus, potestive conditions are types of conditions the fulfillment of which is exclusively dependent on either of the parties to the contract. A potestive condition can be divided in to two types – a condition whose fulfillment totally depends upon the party who assumes an obligation (potestive on the obligee), and a condition of which fulfillment totally depends upon the will of the party who is entitled to require performance (potestive on the obligor). Article 1879, which deals with potestive conditions, reads:

Article 1879 – Condition depending on a party

- 1) *An obligation assumed subject to a condition the fulfillment of which depends solely on the party who assumes the obligation shall be of no effect.*
- 2) *An obligation shall be deemed to be assumed under sub-article (1) where the promisor's liability for non-performance of the contract is excluded in the contract.*

This article addresses the situation where a condition is solely in the hands of the party who assumes the obligation, in other words, in the hands of the debtor. This article, therefore, declares a case for nullity where the obligation is conditioned by a condition which solely rests with the debtor, who may or may not, arbitrarily, decide to fulfill it. For instance, such is the case where the debtor would say, in the contract of sale, “I will pay if I feel like it”. The arrival of the condition is entirely at his discretion. It therefore cannot be said that there is an enforceable contract; the creditor would be powerless. The reason behind declaring such types of conditional contracts void is the fact that where the party debtor assumes his obligation subject to a potestive condition, it is presumed that such party did not intend to be bound by his agreement, i.e., the *intentio obligandi* element of the contract is missing (see Article

1679 of the Civil Code). This voids the contract of its binding nature. Since the condition's fulfillment is exclusively dependent on the promisor's will, he will only be bound by the contract by bringing about the condition's fulfillment if he wishes. Such a contract lacks mutuality of obligations and as a result Article 1879 declares it to be considered as void.

It has to be borne in mind that unlike the cases referred under Article 1878 above, a potestive condition is a cause of nullity of the obligation itself, and not only of the condition. The arbitrariness is so gross as to make the agreement inexistent.

✎ **Dear distance learner, what if the condition is potestive on the creditor (potestive on the obligor)? Will it cause the nullity of the obligation?**

Article 1879 considers potestive conditions only from the side of the debtor. Therefore, a potestive condition may be admissible when it is in the hands of the creditor. This is justifiable because in this situation the debtor is bound by the obligation, whereas the reverse is not true. A debt does not cease to exist simply because the creditor does not claim its payment. On the other hand, a debt cannot exist if the debtor is not obliged to pay.

The fact that a contract is subjected to a potestive condition need not always be expressed in the contract itself. Article 1879 (2) states that where a party who assumes the obligation is granted a clause in the contract which excludes his liability for non-performance, the obligation is deemed contracted under a potestive condition, and is therefore void. The fact that the debtor's liability for the non-performance of the obligation was excluded in the contract shows that the obligation lacks its binding nature.

- ✎ **Dear distance learner, do you think a condition that is potestive on the obligor renders the contract subjected to it null and void both in case of a contract subjected to a condition precedent and condition subsequent?**

At times it may be difficult to distinguish potestive conditions from other types of conditions. In the case of potestive conditions, no outside element may come and influence the decision of the debtor; he is entirely free to do as he wishes. If the decision of the debtor is influenced by such an exterior element, even to a minimal extent, the condition is said not to solely depend on the debtor, and it is therefore perfectly valid. Types of conditions the fulfillment of which is influenced by both the will of the debtor and also exterior elements are known as mixed conditions. Thus, in the case of mixed conditions the will of the debtor plays an important role towards or against the fulfillment of the condition, but it is not the sole element in the fulfillment of the condition.

Examples

1. The person undertakes to make a donation to a church if he marries before Christmas.
2. A son promises to make a monthly family contribution if he gets employed in the coming six months.

Similar to that of mixed types of conditions, any condition the fulfillment or otherwise of which is unconnected with the will of the party is perfectly valid. This is the case where the event only depends on fortuitous events, of natural causes, or of the will or behavior of a third party. Such types of conditions contingent upon fortuitous events, of natural causes, or of the will or behavior of a third party are

known as independent conditions. These conditions are always valid, provided that they are moral, legal and possible.

Examples

1. The contract will be terminated if rains tomorrow.
2. The insurance compensation shall be paid in the event of an accident.
3. The contract of employment shall take effect if the employer is granted an administrative license to trade.

In all the above cases, the fulfillment or otherwise of the conditions is outside of the control of the parties to the contract.

Dear distance learner, so far we have been discussing the meaning, types and validity requirements of conditional contracts. Now it is time to discuss the various effects of conditional contracts which are created by satisfying the requirements discussed herein above.

2.2.3. Effects of Conditional Contracts

Where the conditions attached to a contract satisfy the validity requirements as laid down under Articles 1878 and 1879, they produce various effects. In this sub-section, we are going to discuss these multifarious effects of valid conditional contracts.

2.2.3.1. Occurrence of Condition

It is not uncommon for the contracting parties not to precisely put the type of the condition that is attached to their agreement. Thus, the first type of difficulty that a judge may encounter is where the definition of the condition is unclear. Where the parties fail to exactly designate the type of the condition attached to their agreement,

Article 1871 takes a presumption in favor of the condition precedent. Thus, the performance of the condition shall be suspended until the occurrence of the uncertain event and as such the debtor will not be required to perform his obligation prior to the fulfillment of the condition. This presumption favors the party debtor because he is not going to be required to perform his obligation prior to the fulfillment of the condition and goes in line with the principle of interpretation that doubts have to be in favor of the debtor.

Example

Assume that Macdona private college, which is permitted to run Diploma program, and Ato Tatek entered into a contract of employment. They said verbally “The College and Ato Tatek have concluded contract of employment on condition that the government permits the college to start a degree program.” There is no indication whether the condition is subsequent or precedent.

It is accordingly questionable if the contract shall be effective or remain ineffective till the condition is fulfilled. To solve such problem that emanates from a possible gap, the law presumes a condition to be regarded as condition precedent. Ato Tatek can start his work or the college can have Ato Tatek start his work as in condition precedent, the contract is effective when the condition is fulfilled. Before the fulfillment of the condition the contract is not effective. Another connotation incorporated in this provision is its effect on the contract. The effect of contract starts upon the fulfillment of the condition.

Even in the circumstances where the type of the condition is clearly indicated by the parties, a dispute may arise as to the fulfillment or otherwise of the condition attached to the contract. In such a case, the court must try to find out the exact

intention of the parties with the means of investigation at his disposal. Consider the following example.

A and B conclude a contract whereby A undertakes to play music at B's outdoor party unless the weather is rainy. On the day of the party, rain does occur, but only falls for ten minutes, the rest of the day being cloudy. Is the condition fulfilled?

In such and other similar situations, the judge should try to ascertain what really was intended by the parties by providing the condition stated in their agreement. The judge may not, however, substitute his own appreciation of the condition because such will amount to making a new agreement which was not intended by the contracting parties. The burden of proving whether the resolute condition has been satisfied or not lies on the party who is claiming that the condition is fulfilled.

2.2.3.2. Automatism of the Operations of Conditions

Where the fulfillment of the condition is not disputed by the parties and, even if disputed, the court decides that the condition is satisfied, the consequences of the fulfillment of the condition are automatic. From the moment where the moment the uncertain event happens, the provisions of the contract as to the condition come into force without any other formality. Especially no notice is required to be given to the other party to exercise the rights emanating from the fulfillment of the conditions. Should a dispute arise and the case be brought to court, the role of the judge is restricted to checking the condition is indeed fulfilled. The judge has no decisional power; the judgment will be declarative and not constitutive. Let's take an illustration from Jean Mark Baissus' material.

Example: A resolute condition is provided for in the contract of lease of a house between A, the lessor and B, the lessee. The contract includes a resolute clause for

the non-payment of rent. In other words, if the lessee fails to pay the rent on the due date, the contract of lease shall be terminated. B does not pay his rent as from Tikimt 15, 2001. A files a suit against him with the court on Yekatit 10, 2001. The court rules on Miazia 21, 2001. The court can only check whether it is true that B has stopped paying his rent and declare the resolutive condition fulfilled as from Tikimt 15, 2001. The court has no power of appreciation once the fact of the non-payment is established by A, and it cannot in principle grant delays to B; the contract was already terminated long before the suit was filed.

2.2.3.3. The Duty of Good Faith

The other general effect of conditional contracts is the duty of good faith. To this effect, Article 1870 provides the following:

Article 1870 – Good faith

A party may regard a condition as fulfilled where the other party has prevented its fulfillment in a manner contrary to good faith.

Good faith is the back bone of any contractual relationships and as such is a very frequently cited concept to illustrate how the duties of the parties must be discharged. You may, for example, see the practical relevance of good faith from Article 1161, 1698 and 1702 of the Civil Code. It is a far ranging concept which implies that a party is bound by the consequences of the obligation undertaken if, specifically, they are dictated by good faith in the performance of the contract (Article 1713 of the Civil Code). The general sanction of the absence of good faith will be the termination of the contract, decided by the court, as provided for under Article 1785.

Where parties to a conditional contract fail to act in good faith, the special provision of Article 1870 puts the sanction against the party who acted in bad faith and

prevented the fulfillment of the condition. It has to be borne in mind that Article 1870 shall be applicable in the case of “mixed” conditions upon the fulfillment of which the parties have some limited control. A contrario reasoning, this article is not going to be invoked in the case of the so called “independent” conditions because the parties can in no way influence the happening or non-happening of the uncertain event.

This article provides that where a party prevented the fulfillment of the condition in a manner contrary to good faith, the other party (the innocent party) can consider the condition as fulfilled. The sanction of bad faith is, therefore, in the hands of the innocent party; he has the option either to let the condition run until its ordinary fulfillment, or to deem it already fulfilled. It can be said that the party who was acting in bad faith is going to accept (as a sanction) what he sought to avoid by acting in bad faith. Let's see the effect of lack of good faith from the perspective of condition precedent and condition subsequent one after the other.

In the case of condition precedent, the party who is given the option of regarding the condition as fulfilled (where the other party acted in bad faith and prevents the happening of the event), can require the performance of the obligation the performance of which was suspended by the suspensive condition. As you might have speculated, it is more likely that the debtor will work against the fulfillment of the condition. This is because if the condition is fulfilled, the debtor will be required to perform the obligation he undertook. To evade this and get some breathing space, the debtor may act in bad faith and prevent the fulfillment of the condition. It is unlikely that the creditor will jeopardize the fulfillment of the condition in a manner contrary to good faith. This is because the creditor will acquire an entitlement to require the performance of the obligation by the debtor. Thus, in the case where the contract is conditioned upon suspensive condition, it is usually the creditor that

would exercise the option provided under Article 1870. In exercising his option the creditor must also be prepared to perform whatever he owes to the debtor.

Example: A concludes a contract of sale for a house with B, for the price of 100,000 birr. A suspensive condition is provided whereby B must find within three months a bank which will lend him the money at 8 % interest over ten years. If no such loan can be obtained by B, the contract of sale will not take effect. But B discovers a cheaper house a little later, and wants to avoid buying A's house. B then either does not look for a loan, asks his bank only to make offers above 8% so as to make the contract of sale ineffective. Such bad faith behavior should be sanctioned by the fact of that the condition is deemed fulfilled. A will then be in a position to ask for the enforcement of the sale and payment by B. in doing so, however, A must also be prepared to perform his own part – transferring the ownership title of the house to B.

In case where the contract is conditioned upon resolute condition, where one party hinders the fulfillment of the condition, the other party, by exercising his option provided under Article 1870, can consider the condition as fulfilled and the contract would be cancelled. The effect of such cancellation will then be the reinstatement of the parties. Thus, each contract party will be required to give back to the other party whatever he has received by way of performance. In other words, while exercising his option under Article 1870, the innocent party should be ready to give back to the other party whatever he received by way of performance of the contract.

✎ **Dear distance learner, do you think an act contrary to good faith includes both intentional as well as negligent acts?**

Where one party to a conditional contract acted intentionally to hinder the fulfillment of the condition, no doubt that Article 1870 can be invoked and the other innocent party can exercise his option provided by that article. But it is arguable if the

fulfillment of the condition is tampered as a result of the negligent acts of one of the contracting parties. One may argue that the negligent acts of a party, no matter how honest, may have caused harm to the legally protected interests of the other party. Moreover, since fault includes also negligent acts, it would be better to include negligent acts under Article 1870.

It may also happen that a party, rather than preventing the fulfillment of the condition, may procure the fulfillment of the condition in a manner contrary to good faith. Our law does not provide any precise solution for such types of cases. But one may argue that taking the purpose of Article 1870 and considering the principle of good faith that is the basis of contract law, the party who procured a condition's fulfillment in bad faith should not take advantage of this act.

2.2.3.4. Scope of Rights of Parties to a Conditional Contract

Dear distance learner, in this sub-section we are going to outline the respective rights and obligations of the parties to a conditional contract before and after the fulfillment of the condition.

Where the contract is contingent upon precedent condition, the conditional right that is created by the mutual consent of the parties is only a potential one (Article 1871). From the very day of the conclusion of the contract, the debtor is bound by its terms, and the creditor may take preservation measures prior to the fulfillment of the conditions if the debtor is not acting in good faith. He may not, however, implement an *actio paulia*^{*1} nor exercise the debtor's rights if the latter is negligent (Refer Article

^{*} A transfer of property that is made to swindle, hinder, or delay a creditor, or to put such property beyond his or her reach. For example, a man transfers his bank account to a relative by putting the account in the relative's name. He informs the relative that he has not relinquished ownership of the funds, but merely wants to isolate the

1993). The conditional right is in the estate of the creditor and as such he may assign it, give it as a security; his heirs inherit it if he dies before the condition is fulfilled.

Since the conditional right of the creditor is only potential, he can neither ask for performance nor cancellation (for absence of performance) of the contract. He has no right on the thing concerned by the contract. Limitation periods do not begin to run. Risks are for the debtor. If the debtor effects payment before the fulfillment of the condition, it is an undue payment and can be reclaimed by the rules of Article 2164 and following provisions. These all are the normal legal consequences of a suspensive condition before it is fulfilled. As an illustration of the principle of freedom of contract, Article 1871 allows the parties to agree on modification of the aforesaid effects.

After the suspensive condition is fulfilled, the contract becomes effective. Thus, the contract shall produce effects as of the day at which the condition is fulfilled. This implies that the effect of the fulfillment of suspensive conditions is not retroactive. Whatever has been received by the debtor prior to the fulfillment of the condition shall be retained by the debtor himself. The parties have to provide an express stipulation in their agreement if they want the fulfillment of the condition to have a retroactive effect.

Where the contract is conditioned upon a resolute condition, the contract is effective forthwith (Article 1872 (1)). The fulfillment of the condition, therefore, affects the cancellation of the contract. The contract has to be performed as of the day of its conclusion. The creditor may have it enforced. He may exercise the debtor's rights

money from the reach of his creditors. This is a fraudulent conveyance that can be set aside by the court at the request of the defrauded creditor.

and the *actio paulia*. The creditor assumes the risks. His rights may be transferred to another person subject however to the limitations provided under Articles 1873 to 1875. This means, the rights of each of the parties are not absolute. It is as if the debtor is granted benefit of a suspensive condition: he is then the one who is to take preservation measures as per Article 1877, and the debtor's rights can be assigned or transferred to a third party.

Once the resolutive condition is fulfilled, the effective contract shall cease to produce effects and cancelled (Article 1872 (2)). Similar to the case of suspensive conditions, the consequences of fulfillment of a resolutive condition shall be established for the future. There is no principle of retroactivity and any consequence deriving from the performance of the contract is in principle valid. For instance, if the resolutive condition applies to a lease for non-payment of a rent, the rents due for the period prior to the fulfillment of the condition remain due to the creditor.

The rights and obligations of the parties to a conditional contract discussed above are qualified by the provisions of the Civil Code running from Article 1873 – 1875. Let's have a brief look at these provisions.

A. Duty of Non-interference

Parties to a conditional, in addition to their obligation of refraining from tampering the occurrence of the event in a manner contrary to good faith, must refrain from performing any acts that may potentially preclude them from performing their obligations upon the fulfillment of the condition. This duty of non-interference is provided under Article 1873.

Article 1873 – Non-interference

The parties shall refrain from doing any act likely to prevent the regular performance of the contract upon the fulfillment of the condition.

The wording of this article seems to mean that it is applicable in relation to contracts attached to suspensive conditions. This is because it is in the case of suspensive conditions that performance takes place upon the fulfillment of the condition. Where the contract is conditioned upon resolutive conditions, upon the occurrence of the uncertain event, the contract shall not be performed rather it will be cancelled. Thus, Article 1873, while warning the parties not to perform any act prior to the fulfillment of the condition that may “*prevent the performance of the contract*”, seems to refer only to suspensive conditions. Does it mean, therefore that this article is applicable only to suspensive conditions? The real spirit of the provision does not seem so. For one thing, the subsequent two provisions which are meant to supplement Article 1873 do not make any specific reference to either of the two types of conditions. For another, the drafter of the Civil Code, Professor Rene David, does not make any distinction in his commentary between the two types of conditions as regards the application of Article 1873. Finally, the drafter also provides that Article 1873 is inspired by Article 152 (1) and 1358 of the Swiss Code of Obligations and the Italian Civil Code, respectively. A reference to these latter articles shows that they make no distinction between the two types of conditions as to the applicability of the rule. Thus, parties should refrain from doing any act that would prevent the normal effects of the condition’s fulfillment.

It has to be emphasized that Article 1873 does not provide an absolute rule of non-interference. The *acontrario* reading of the article implies that parties are allowed to perform acts if those acts do not have the nature of preventing the normal effects of the conditions’ fulfillment. On top of this, the subsequent articles specifically outline

the types of acts that may validly performed by the parties prior to the fulfillment of the conditions. Let's consider the types of acts the parties are allowed to perform before the occurrence of the uncertain event.

B. Acts of Management

Article 1874 of the Civil Code specifically provides for the acts which can validly performed by the conditional right holder prior to the fulfillment of the conditions. Since the acts referred under this article are valid, they are legally enforceable as against the other party. Article 1874 provides:

Article 1874 – Acts of management

Acts of management done prior to the fulfillment of the condition by the party who exercise the right shall remain valid where the condition is fulfilled. Damages may be claimed where such acts were done in bad faith.

As it has been said in relation to Article 1873, parties to a conditional contract are allowed to perform acts, even prior to the fulfillment of the conditions, if such acts do not have the nature of precluding them from carrying out their obligations upon the fulfillment of the conditions. Article 1874 is giving precision for Article 1873 by providing that the acts which the parties are allowed to perform prior to the fulfillment of the conditions are acts of management. Still Article 1874 lacks precision since it does not put what acts of management are. Acts of management are defined under Article 2204 of the Civil Code, which reads:

Article 2204 – Acts of management

- 1) *Acts done for the preservation or maintenance of property, leases for terms not exceeding three years, the collection of debts, the investment of income and the discharge of debts shall be deemed to be acts of management.*
- 2) *The sale of crops, goods intended to be sold or perishable commodities shall be deemed to be acts of management.*

The party who is exercising the rights under the contract before the fulfillment of the conditions (the conditional right holder), can perform either of the acts listed under Article 2204 of the Civil Code. These acts are deemed in the common interest of the parties and at times they may even prevent the conditional right from being dissipation or disappearance.

The right to perform the acts of management is vested upon the conditional right holder. Who is this party? In the case of contracts conditioned upon suspensive conditions, the contract shall start to produce effects upon the fulfillment of the condition. Prior to the fulfillment of the condition, the debtor enjoys the benefits of the contract. In the contract of sale of an immovable subject to a condition precedent, therefore, the seller is the person who enjoys the conditional rights prior to the fulfillment of the condition. Thus, the conditional right holder, in the cases of suspensive conditions, is the debtor and he is entitled to perform acts of management pending the fulfillment of the conditions.

On the other side of the spectrum, where the contract is contingent upon resolute conditions, the contract shall take effect, at least in principle, as of the very first day of the conclusion of the contract. Thus, the party who is entitled to claim performance of the obligation (the obligee) shall enjoy the benefits of the conditional contract pending the fulfillment of the resolute condition. In a lease of a house based on the resolute condition of non-payment of the rent, the lessee shall possess the house and start to live in it from the day of conclusion of the contract of lease pending the

non-payment of the rent due. Thus, the lessee is the person who is entitled to exercise acts of management prior to the fulfillment of the conditions.

The fact that the conditional right holder is entitled to perform acts of management prior to the fulfillment of the conditions does not mean that he is at liberty to perform such acts of management in any way he pleases. The acts of management must be performed in good faith. If they are made in bad faith, they will open a right for the other party to claim damages. Thus, the acts of management must not be done to injure the other party or disregarding the interests of the other party who will acquire rights upon the fulfillment of the conditions. The damages shall be due when the condition is fulfilled.

Example

1. A sells a house under a resolutive condition. B, during his tenure, has all the trees in the garden cut down and cashes the money for the wood. If the sale is terminated (cancelled), B may keep the price of the wood, because it is implicit that the trees were mature. If it appears this is not the case and B had them cut to make a quick profit before the termination of sale, he has acted in bad faith, and will be obliged to return the money, without prejudice to further damages.

2. Lemlem sells her house to Helen under a suspensive condition of celebrating a marriage. In such a case, Lemlem, being the conditional right holder, is entitled to perform acts of management like renting the house for a term not exceeding three years and all the rents due prior to the fulfillment of the condition shall be retained by her. If she rents the house for three years knowing that she is going to celebrate her marriage after a week time, she is considered to have acted in bad faith and as such she may be obliged to give the rents she collected back to Helen.

In addition to the right to perform acts of management, the conditional right holder is given the privilege to collect fruits and profits prior to the fulfillment of the conditions provided that such fruits and profits are collected in good faith. To this effect, Article 1876 provides:

Article 1876 – Fruits and profits

The party who exercises the right prior to the fulfillment of the condition shall, where the condition is fulfilled, retain the fruits and profits he received in good faith prior to the fulfillment of the condition.

Fruits and profits collected are in principle for the party who exercises the rights prior to the fulfillment of the conditions, provided he acted in good faith. where the conditional right holder collected the fruits prematurely or accelerated the accrual of the profits, for instance, he shall be considered to have acted in bad faith and all what he has received in the form of fruits and profits will be handed over to the other party upon the fulfillment of the condition.

Example

A sells a house to B under a suspensive condition that B obtains a loan to pay for the house. In the meantime, A leases the house to C. A may keep the rent when finally B obtains his loan to pay price for the house.

Article 1873 requires the conditional right holder prior to the fulfillment of the condition to do whatever is necessary to protect this right. Article 1877 gives the other party the right to take protective measures. This latter provision reads:

Article 1877 – Protective measures

A party whose conditional rights are imperiled may take such protective measures as he could take, were his rights not conditional.

Too much extensive rights are vested on the party whose conditional rights are imperiled. As far as taking protective measures is concerned, the right of the party is as extensive as any other party to an unconditional contract. In the case of contract attached with a condition precedent, for example, the debtor is already bound by the contract and the creditor may take preservation measures (attachments, seizures, sureties,) if the debtor is not acting in good faith. Let's put an illustration from Jean Mark Baissus' material.

Example

A sells a house to B under the suspensive condition that B obtains a loan from the bank. In the mean time A decides to create a chemical company which he locates in the house. B fears that the fire will destroy the house and he knows A refuses to take a fire insurance. B may conclude such insurance, and the cost will finally be for A.

Dear distance learner, so far we have been discussing the acts that may validly be performed by the conditional right holder or the other party prior to the fulfillment of the condition. What do you think will follow if the conditional right holder exceeds his rights provided under Article 1874 (leasing the immovable for a term exceeding three years, alienating the property, giving the property as a security)? If the conditional right holder performed acts exceeding his power under Article 1874, the consequences of Article 1875 shall follow.

C. Acts beyond Management

Acts beyond management can be defined by way of exclusion. Stated otherwise, those acts performed by the conditional right holder by exceeding his power under Article 1874 and 2204 of the Civil Code can be considered as acts beyond management. Specifically, Article 2205 of the Civil Code lists down what types of acts shall be considered as acts beyond management. This provision reads:

Article 2205 – Special agency

- 1) Special authority shall be required where the agent is called upon to perform acts other than acts of management.
- 2) The agent may not without special authority alienate or mortgage real estate, invest capitals, signs bills of exchange, effect a settlement, consent to arbitration, make donations or bring or defend an action.

Because Article 2205 is contained in the chapter of the civil code governing agency, acts beyond management are defined with particular reference to powers of the agent. This article declares that the agent may not perform such acts as alienating or mortgaging the property, signing a bill of exchange, consenting to arbitration unless he is specifically authorized to perform these acts. By the same token, a conditional right holder may not perform any of the acts specified under Article 2205 prior to the fulfillment of the condition. The consequences of performing acts beyond management are outlined by Article 1875 of the Civil Code.

Article 1875 – Acts beyond management

- 1) *Acts beyond management done by the party who exercises the right may be invalidated where the other party so requires.*

- 2) *Any interested party may require the other party to state within a reasonable period of time whether he will require the acts beyond management to be invalidated.*
- 3) *The effects of invalidation shall be as provided by Articles 1808 – 1818.*

Acts beyond management are always open in principle to be performed to the party who exercises the rights before the fulfillment of the conditions (the seller where a suspensive condition is provided, and the buyer where a resolutive condition is provided). This is implied from Article 1875 (1) and explainable in that until the fulfillment of the condition the party who holds the right is supposed to be the rightful and exclusive owner of the asset concerned. Once the uncertain event happens, the other party is entitled to request invalidation of the acts beyond management. These acts by their very nature are likely to prevent the normal effect of the contract upon the occurrence of the uncertain event and as such excluded under Article 1873. Thus, making acts of management performed prior to the fulfillment of the condition goes against the idea of Article 1873 which warns the parties not to perform acts that may prevent the normal effects of the contract upon the fulfillment of the condition. The invalidation of the acts beyond management can only be required by the other party to the conditional contract.

Article 1875 (2) opens up a right to interested parties (the other contracting party or third parties with a legitimate interest) to force the person benefiting from the fulfillment of the conditions to state clearly his intention: will such party ask for invalidation of the acts beyond management or confirm them? Upon receiving such a request, the party is expected to give his answer within a reasonable delay, which will be appreciated according to the particular circumstances of the case by the court in case it is disputed.

Example: Hanna sells her house to Helen under a resolutive condition. Helen decides to sell the living quarters attached to the house to Joseph. No doubt that Helen is

entitled to do so because she is the rightful owner of the house prior to the happening of the resolute condition. Unfortunately, the condition is fulfilled and as a consequence of which the sale contract shall be cancelled. In such a case, Joseph is in uncomfortable situation of not knowing whether Hanna wants the living quarters be returned to her or not. Joseph may, therefore, request within a reasonable time Hanna tells him her intentions as to such living quarters.

✎ **What will happen if the party who is entitled to require invalidation, after receiving the request from the other party, fails to state his intention of invalidating or confirming the acts beyond management within a reasonable period of time? Can we hold that such failure should be construed as waiver of the right to require invalidation?**

In this regard, Article 1875 does not give any clear solution. In his commentary, the drafter of the Civil Code, Professor Rene David, provides the following.

“The right to invalidate the act disappears if within a reasonable period of time the person has not declared his intention to do so.”

From the text quoted above, we can infer that the failure by the party to give a prompt answer after receiving the request from the other party shall be considered as confirmation of the acts beyond management and as such acts can no more be contested as invalid ones. A contrary solution is envisaged under Article 1814 of the Civil Code but almost in a similar circumstance. This latter provision imposes an obligation upon the party, who is entitled to require invalidation of a voidable contract or the cancellation of a breached contract, to an answer without delay whether he intends to cancel or confirm the contract. Where the party fails to give his answers in due time, notwithstanding any proof to the contrary, the contract shall be deemed to be cancelled. This implies that failure to give answer, in the cases referred

under Article 1814, shall not be deemed as waiver of the right to require invalidation or cancellation. If this is the solution adopted by the law in the case of invalidation of voidable contracts, why is the drafter holding a perfectly opposite stand? Do we have any firm justification to provide contrary to Article 1814 (2) in the cases referred under Article 1875 (2)? This is left for your own consideration.

Article 1875 (3) provides that the effects of the invalidation of acts beyond management is similar to that of invalidation of contracts and cross refers to the application of Articles 1808 – 1818. The reference to these set of provisions seems, however, to be erroneous. This is because the effects of invalidation of contracts are governed only by the provisions from Article 1815 to Article 1818. Stated otherwise, the provisions of the Civil Code running from Article 1808 through Article 1814, even if they deal with invalidation of contracts, are not meant to specifically deal with the effects of invalidation. Upon invalidation of the acts beyond management, therefore, the parties will be reinstated to their position before the making of the contract (Article 1875 (3) and 1815).

A reference to Article 1816 also dictates that there are circumstances in which acts beyond management may not be invalidated. This is the case where the interest of third parties in good faith requires. In the example given above, the sale of the living quarters may be invalidated on the basis of Article 1815, unless the court decides to protect the rights of Joseph who acted in good faith. Even in such cases Hanna will be entitled to damages for the loss of the living quarter (Article 1817 (2)).

- ✎ **When do we say a third party has acted in good faith and as such be entitled for the protection of Article 1816? Do you think all the requirements of possession in good faith (Article 1161 - 1163) should be satisfied to say the third party was in good faith?**

We may hold that a party who does not know the invalid nature of the act whose invalidation would affect his interest is in good faith. A party who is not reasonably expected to know is also in good faith. In some cases due to the very nature of the act itself, the third party may be excluded to invoke the protection of Article 1816. This is the case, for example, if the act related to transferring property rights relating to immovable properties or special movables in which cases there are requirements of registration and publicity to transfer the rights relating to these properties. In this regard Ato Tilahun Teshome provides the following:

“ንብረቱ እጅ ሲለውጥ እንደምዝገባና ማስታወቂያ የመሳሰሉ ልዩ ደንቦች ተፈጻሚ የሚሆንበት የንብረት ዓይነት (ለምሳሌ የማይንቀሳቀስ ንብረት ወይም መኪና) ከሆነ ይህ የቅን ልቦና ባለይዞታዎችን መብት የሚጠብቀው ደንብ ተፈጻሚ አይሆንም፡፡”

Dear distance learner, hoping that you have grasped good knowledge of the concepts discussed so far, let's take you to another new concept of contract law – Alternative obligations.

2.3. Alternative Obligations

Among the different ways in which contracting parties can agree is providing alternative obligations. The debtor may assume an alternative obligation where he is to discharge either of the several obligations contained in a single contract.

Making a stipulation of alternative obligations may probably leave gaps as to:

- ❖ Who will choose the obligation to be discharged,
- ❖ What would happen if one of the alternative obligations is impossible, and

- ❖ What if such impossibility was owing to one of the parties?

This chapter, inter alia, is allotted to deal with the aforementioned gaps.

Objectives:

Upon successful completion of this sub-section, students will be able to:

- ❖ Define what alternative obligation is,
- ❖ Identify the party that is entitled to choose the obligation to be performed,
- ❖ State the position of the law when one of the obligations becomes impossible

The presentation of general contracts law was based up to now on the assumption that we were dealing with a given obligation, which had a single object and concerned a single creditor and a single debtor. But of course this presentation is made in the interest of simplification. In practice things may be much more complex. For instance, several creditors and debtors may be involved and even as between a single creditor and a single debtor, the obligation may cover several objects. Such types of obligations may take two forms: conjunctive and disjunctive obligations. The latter can also be sub-divided in to alternative and optional obligations.

- ❖ **Conjunctive obligation:** It is a single obligation which entails several things to perform for a party. For instance, a party sells by the same contract an immovable and the business which it houses. Conjunctive obligations may also involve several creditors and/or debtors.

- ❖ **Disjunctive obligation:** This is the perfect opposite of the above one and can either be optional or alternative.

An optional obligation is solely open for the debtor. It has only one object, but the debtor may choose to release himself through another performance. A case in point is Article 1812 in respect of unconscionable contracts, where the debtor may block any attempts to invalidate the sale by using the option of paying a supplement. Another case is where an immovable is bequeathed by the decedent to a third party, and the heir prefers to pay an amount of money rather than handing the immovable over. The basic difference between an optional and alternative obligation is that in the case of the optional obligation, the debtor is not held to perform the subsidiary obligation if the principal one becomes fortuitously impossible or void. Conversely, the creditor may only require the performance of the principal obligation. A fairly detailed analysis of alternative obligations will be given in the upcoming sections.

2.3.1. Definition of Alternative Obligations

An alternative obligation is that which has as its object two or several presentations which are due in such a manner that the debtor is discharged the delivery of one them. Since the several obligations contained in the contract are alternative, the debtor shall be released if he performs either of the two or several obligations. The Civil code defines conditional contracts under Article 1880, which reads:

Article 1880 – Principle

A debtor who is to discharge alternative obligations shall be released where he discharges either of the duties provided in the contract.

From this definition of alternative, we can grasp the following important points. The alternative obligations have to be provided for by contract. It is not for the debtor to impose an alternative where the creditor was not in agreement on this point. Allowing the debtor to provide something else than provided by the contract is in

effect allowing him to deliver an object having different identity which is prohibited under Article 1745. Only the alternatives provided in the contract are open for the debtor, who may not attempt to suggest a third mode of payment. If at all something else than provided by the contract has to be performed, it has to be done based on the mutual consent of the parties.

Article 1880 only considers the right to exercise the option under the angle of the debtor. But it has to be borne in mind that in the immense majority of contracts each party is creditor and debtor. For instance, if Jacob sells a television which may either be a Sony or Vestel to Isaac, who may pay either in Birr or in U.S. Dollars, each party is debtor of an alternative obligation. Thus, Jacob may freely deliver either Sony or Vestel and Isaac can also pay the price, at his option, in Birr or in U.S. Dollar.

A close look at Article 1880 (especially the Amharic version), seems to imply that the number of the alternative obligations is two. This does not, however, go in line with the classic definition of alternative obligations. The number of the alternatives cannot be less than two but can be as many as the parties deems proper. Here the Amharic version of Article 1880 is reproduced for your consideration.

አንቀጽ 1880 - ማማረጫ ያለው ግዴታ - መሠረት

ባለሰው በውለታው ከተመለከቱት ሁለት ዓይነቶች ግዴታዎች አንዱን የፈጸመ እንደሆነ ግዴታውን ፈጸመ ማለት ነው፡፡

The several obligations set out in the contract are alternative and not cumulative. This is the reason why the debtor shall be released by performing any one of those several obligations. This is the illustration of the free will of the parties. Parties may consider two obligations of disproportional value as alternatives. This element is irrelevant as far as the parties have decided to establish unequal obligations as equivalent, and the

judge, for instance, may not intervene out of equity or other grounds to amend the will of the parties.

2.3.2. The Right of Option

An interesting question worth addressing is who shall determine (select) the obligation to be performed from the several obligations provided by the contract? Article 1881 addresses this issue. This provision reads:

Article 1881 – Right of the debtor

- 1) *The debtor may choose which duty he will discharge unless such right is expressly conferred on the creditor or a third party.*
- 2) *Where the party entitled to choose does not exercise his right on being required to do so, such right shall pass to the other party.*

Article 1881 (1) takes a presumption that the debtor is to make the choice as to which of the several obligations shall be performed. This presumption may not operate where the right to select the obligation has been expressly conferred upon the creditor or a third party.

Where the right of option is not expressly conferred upon the creditor or a third party, the debtor has to make his choice as soon as the creditor puts him in default by giving him the notice of Article 1772.

Example 1: A sells a car to B, who will pay either in Birr or in U.S. Dollars. The contract may decide that the option is for the creditor, who will choose of course according to what is more favourable for him.

Example 2: A sells a car to B, who will pay either in Birr or in U.S. Dollars, according to whether his commissions will be paid in Birr or in U.S. Dollars by his employer, C.

The choice is in the hands of C, who is a third party in respect of the contract of sale (but who must be mentioned in the contract anyhow as having the right of option).

The right to exercise an option does not mean that the debtor may mix the options to satisfy the creditor. If, for instance, the option is either 100 meters of polyester cloth or 20 shmmas, the debtor cannot force the creditor to accept 50 meters of cloth and 10 shmmas. This can be considered as an illustration of the rule prohibiting part payments, stated under Article 1746.

Article 1881 (2) considers the problem of the failure of the party entitled to choose to do so, thus paralyzing the performance of the obligation. The code offers a precise solution – the party with the right of option will be summoned to exercise this option, failing which, the right will pass to the other party. The party who is summoned to make the choice has to communicate the same within a reasonable delay. Moreover, though the law does not require the request be made in any special form, it is better to make the request in writing so that proving the same will be done at ease in case of dispute.

Example: A sells a car to B for 10,000 Birr or the equivalent in U.S. Dollars. B refuses to make a choice. A will serve him a written summons stating that he is entitled to choose the currency, if, within seven days, B has not made his choice known.

In simple terms, if the creditor fails to make the choice, in being required to do so, the right of option shall pass to the debtor, or vice versa.

- ✎ **What will happen if the right of option was expressly given for a third party and that party fails to make the choice lest a notice given to him? Who will exercise the right of option in default of the third party?**

Professor Rene David acknowledges this situation is not provided for in the code and that the contract shall be considered as lacking sufficiently precise object and as such declared void. But the third party may be held liable for damages where he promised to make the choice and ultimately failed to do that.

Another solution is proposed by some scholars. The debtor should benefit from such ambiguous situation and be given the right of option in default of the third party. Let's quote what Ato Tilahun Teshome writes in this regard:

“ከዚህ ጋር አብሮ መታየት ያለበት ጉዳይ የምርጫ መብቱ ለሶስተኛ ወገን በሚሰጥበት ጊዜ ሊነሳ የሚችለው ችግር ነው። በዚህ የመምረጥ መብቱ ካልሰራበት ወይም ሊሰራበት ካልፈለገ የምርጫ መብቱ የሚተላለፈው በውሉ ተገዳጅ ለሆነው ሰው ነው ወይስ በውሉ አስገዳጅ ለሆነው ሰው? ለዚህ ጥያቄ ህጉ የሚሰጠው ምላሽ የለም። የፍትሐ ብሔር ሕጉን ያረቀቁት ፕሮፌሰር ዳቪድ እንደዚህ ዓይነቱ ውል በማይበቃ አኳኋን እንደተመለከተ ስምምነት ተደርጎ መወሰድ አለበት የሚል እምነት አላቸው። ይሁንና ይህን መሰሉ ችግር የውል አተረጓጎም ጥያቄ የሚያስነሳ ስለሆነ የባለሙያው እምነት ራሱን የቻለ ሌላ የአፈጻጸም ችግር ሊያመጣ ይችላል። አንድ ውል በማይበቃ አኳኋን የተወሰነ እንደሆነ እንደነገሩ ሁኔታ በሙሉ ወይም በከፊል ዋጋ አልባ ሆኖ የመፍረስ እጣ ሊገኘው ይችላል (አንቀጽ 1714፣ 1808 – 1818፣ 1710)። ነገር ግን ውሎች በሚተረጎሙበት ጊዜ ውሉን ከሚያፈርሰው ይልቅ ለውሉ ውጤት የሚሰጠው ትርጉም፤ በውሉ አስገዳጅ ለሆነው ሰው ከሚጠቅመው ይልቅ በውሉ ተገዳጅ ለሆነው ወገን የሚጠቅመው ትርጉም ሊመረጥ እንደሚገባው በሕጉ የተቀመጡትና ብዙዎቹ የሕግ ሊቃውንት የሚስማሙባቸው የትርጉም ደንቦች ያመለክቱናል (አንቀጽ 1737፣ 1738 (1))። በዚህ የትርጉም ደንብ መሠረት ሦስተኛው ወገን በምርጫ መብቱ በማናቸውም ምክንያት ያልሠራ እንደሆነ መብቱን ለባዕለዳው ፡በመስጠት ውሉን ውጤታማ ማድረጉ ይመረጣል።”

- ✎ Dear distance learner, have you grasped the central idea behind the two arguments given above? Which one of the two arguments given above do you think is tenable?

2.3.3. Performance Impossible

The last provision governing alternative obligation, Article 1882, settles the question of the impossibility to discharge one of the obligations of the alternative. This provision reads:

Article 1882 – Performance impossible

- 1) *Where the discharge of one of the duties is or becomes impossible, the debtor shall discharge the other duty.*
- 2) *Damages shall be due where such impossibility is due to the fault of a party who was not entitled to choose the duty to be discharged.*

Similar to the principle provided under Article 1880, this provision assumes that there are only two obligations and one of these obligations becomes impossible to perform. Where there are only two alternative obligations and one of them becomes impossible to perform, then the obligation will no more be an alternative one. Thus, the debtor will not have any option except performing the remaining obligation.

If, on the other hand, there are several alternative obligations and one of these obligations is or becomes impossible, then the obligation is still alternative but the option is now reduced by one. Where the performance of all the obligations is or becomes impossible, the debtor will be released since there is no single obligation that can be performed.

Article 1882 (2) considers the case where the impossibility is due to the fault of the party who was not entitled to choose. In effect, this will lead to prejudicing the debtor/creditor that loses his right to choose. The party losing his right to choose will be granted damages. It has to be emphasized that in such a case the sanction is not invalidation of the contract. The party who is claiming damages shall shoulder the

burden to prove that the other party has committed fault and as a result of which he has sustained damage.

Example: A sells a car to B for 10,000 Birr or the equivalent in U.S. Dollars, drawn from B's foreign currency account at the National Bank. B wants to come back on the sale. So not only does he refuse to make a choice, but he closes his foreign currency account and changes all his dollars into Birr. He has made it impossible to pay it in dollars, but since his refusal to express a choice may have led to transferring the option to A, A may claim damages.

✎ What would happen if one of the two alternative obligations is impossible in part? Can the debtor choose to implement the partly impossible obligation than the fully possible one?

Where the obligation is impossible only in part, the question boils down to whether Article 1768 can apply. Jean Mark Baissus provides the answer to be 'no'. This is because it calls for a court action where, by definition, an equivalent performance was agreed upon by the parties. The conclusion seems to be that Article 1768 is inapplicable to alternative obligations.

✎ What do you think will happen if one of the two alternative obligations is impossible and the other is impossible in part? Can in such a case the debtor choose to perform the partly impossible obligation?

✎ What if the impossibility of performance is due to a party who is entitled to choose which of these obligations is to be discharged?

To claim damages as per Article 1882 (2), one must prove that the performance of either of the alternative obligations has become impossible due to a fault attributable

to a party who is not entitled to make a choice. Where the debtor claims damages, therefore, he has to prove that the creditor does not have the right to choose the obligation to be discharged and as a result of a fault committed by him the debtor has sustained damage. The *acontrario* consequence of Article 1882 (2) is that no damages are due to the creditor where the debtor himself makes an obligation impossible, if the debtor was entitled to choose the obligation to be discharged. This is admissible because the creditor accepted that either obligation was satisfactory.

 **What if the impossibility is due to a fault attributable to a third party and this causes damage upon either the creditor or the debtor?**

Finally, Article 1882 only addresses the issue of the impossibility of obligations. What are the effects of immoral and unlawful obligations in alternative obligations? A logical answer is to proceed by analogy, and to apply the solutions exposed above in respect of an impossible obligation to unlawful or immoral obligations. Where one obligation is unlawful or immoral, it obviously cannot be implemented and as such the remaining obligation is enforceable.

2.4. Earnest

There is a great deal of disagreement on the nature and significance of earnest. In spite of disagreements, it is an old and frequently practiced concept. Earnest is considered as testament for the conclusion of a contract.

Objectives:

After dealing with this section, you will be able to:

- ❖ Explain what earnest is,
- ❖ Discuss earnest in comparison to contract, and

- ❖ Identify effect of earnest in cases of performance and non-performance of the contract.

2.4.1. Definition of Earnest

The Civil Code, without defining the concept of earnest, simply put the effects of earnest. Let's first define the concept and proceed to discussing its effects.

Black's Law dictionary provides the following as the meaning of earnest and earnest money.

"Earnest is the payment of a part of the price of goods sold, or the delivery of part of such goods, for the purpose of binding the contract; a token or pledge passing between the parties, by way of evidence, or ratification."

"Earnest money is a sum of money paid by a buyer at the time of entering a contract to indicate the intention and ability of the buyer to carry out the contract. Normally, such earnest money is applied against the purchase price. Often the contract provides for forfeiture of this sum if the buyer defaults."

From these definitions we can grasp that the concept of earnest is not only applicable to money debts but also to other obligations which involve the delivery of goods.

Let's see the nature of earnest under our law in light of the definitions given above. Article 1883 of the Civil Code provides the effects of earnest as:

Article 1883 – Effects of earnest

The giving of earnest shall be proof of the making of the contract.

This article provides that a payment by the debtor to the creditor on the form of earnest shall be a conclusive proof to the existence of a contract between the party

who effects the payment and the one who receives such payment. Earnest is therefore the action of giving a certain sum of money by the debtor to the creditor, with the intention of the making the contract finally binding on the parties. It is in the nature of part payment. Though earnest can serve as a conclusive proof for the making of a contract, the other validity requirements of contracts must at the same time be met. Thus, earnest shall serve as a proof for the making of a contract where the other essential requirements for the making of a contract are fulfilled.

Earnest is usually used by the parties who do not have the full amount of the sale price available, but who nevertheless wish to finalize the deal. B pays 5 % of the price of the house he wants to buy from A; the contract is concluded and A cannot sell the house to another person. In the mean time, B can search for funds to pay the remaining 95 % of the price.

Earnest has also another advantage, which makes it a specific institution. As laid down under Article 1885, it enables the contracting parties to terminate the contract unilaterally, as an exception to the binding force of contracts. Once a valid contract has been created by the agreement of the parties, such agreement shall be binding upon the parties as if it were law (Article 1731). If either of the parties fails to live up to the words of their agreement, the remedies of non-performance may be invoked and applied by the other party against the defaulting party. But such is not strictly the case. Either of the contracting parties can relieve themselves from the contractual burden simply by forfeiting a sum equal to the earnest money or double the amount of the earnest money as the case may be. The other party cannot therefore require, for example, enforcement of the contract in case where the contract was supported by an earnest. If the payment is stipulated as being an earnest, this amounts to include in to the contract a unilateral termination contract.

✂ What differentiates earnest from other types of part payments? Can we say that all part payments are earnest?

Not all part payments can be considered as earnest. The difficult problem, however, is deciding whether a particular part payment should be qualified as earnest or not where the parties failed to qualify the payment as such. Jean Mark Baissus suggest that such doubtful cases have to be interpreted against the existence of earnest. This is because since earnest is a special situation which entails the exceptional clause of unilateral cancellation, the logical solution seems to be that in case of doubt, such payment cannot be interpreted as earnest.

Example: Ayantu sells her house to Chala and accepts 5 % of the total price immediately, and agrees to be paid the remaining 95 % after three months. Can Chala claim that the 5 % is in fact earnest and ask for a unilateral cancellation of the contract? Since the agreement of the parties is not specific, the court will rule that the 5 % was simply a down payment and that Ayantu may enforce the sale by forcing Chala to pay the remaining 95 %.

2.4.2. Consequences of Earnest

The consequences of earnest are provided by Article 1884 and 1885. The first article tries to put the effect of earnest where the contract is performed while the latter governs the consequences that follow from the non-performance of the obligation. Article 1884 reads:

Article 1884 – Performance of contract

Unless otherwise agreed, the party who has received earnest shall return it or deduct it from his claim where the contract is performed.

This article is answering the question whether earnest can be considered as a down payment or an additional payment. In the absence of any contrary stipulation by the agreement of the parties the earnest shall be considered as a down payment. Thus, where the contract is finally performed, the party receiving earnest has the option of either returning the earnest, and therefore get paid the full price, or to deduct it from his claim. But where the parties provide otherwise by their agreement, the earnest can be considered as an additional payment and the presumption of Article 1884 shall not operate and as such the earnest shall be kept by the seller, and the buyer will pay on top of such interest the full price.

Article 1885 provides the loose effects of earnest in the case of the non-performance of the contract. This provision provides:

Article 1885 – Non-performance of contract

- 1) *Unless otherwise agreed, the party who has given earnest may cancel the contract subject to forfeiture of the earnest given by him.*
- 2) *Unless otherwise agreed, the party who has received earnest may cancel the contract subject to repayment of double of the amount received by him.*

The interesting and special effect of earnest is the path opened by it to unilaterally declare the cancellation of the contract in the event of non-performance. Each party has the right to unilateral cancellation of the contract, but in fact, subject to losing something. The party who gave earnest (the buyer in a contract of sale) will lose this amount of money, which is a form of indemnity for the seller who loses the benefit of the sale. Conversely, the party who received earnest (the seller in a contract of sale) can unilaterally cancel such contract by repaying the double the amount received.

The parties are not expected to put reasons for their unilateral cancellation of the contract. The option is entirely open for the parties who do not have to explain their

choice. Extra damages is not also possible save instances where the party cancelling the contract abuses his right.

The very purpose behind earnest, that is securing the contract by the giving of earnest, is frustrated by this bilateral possibility of cancelling the contract. Thus, at times the giving of earnest, rather than being a mechanism of reinforcing the performance of the obligation, may serve as an easy way out from the contractual obligations. In fact the parties can avoid this lose effect of earnest by stipulating a contrary agreement in which case either or both of the parties may be precluded from unilaterally cancelling the contract simply by forfeiting a certain sum of money.

✎ *When does earnest cease to have effect?*

As it has been explained herein before, a contract that is supported by earnest can be cancelled simply by forfeiting a sum equal to the earnest money of double its amount, as the case may be. This effect of earnest shall keep going only until the time when the proper performance of the obligation has been started. In a sale contract, for instance, it is not possible to apply Article 1885 and cancel the contract after the buyer who has paid the earnest has paid the remaining outstanding balance of the price and the seller has delivered part of the agreed goods.

2.5. Provisions as to Liability

There might be circumstances where the parties fail to perform the obligation, which they assumed. The Ethiopian law of contract has provided remedies of non-performance as a gap filling ones. Nevertheless, the freedom of the parties to set aside such gap filling provision and provide their own is permitted.

Provision as to liability is one of the ways where such gap filling provisions can be set aside. In doing so, the parties can either extend or limit their liability subject to the

legal limitation of unconscionable contract. Still in extending or limiting liability, the parties may probably leave gaps. This section also fills the gap left in either extending or limiting liability.

Objectives

By the time you finish reading this section you will be able to:

- ❖ locate the scope of the parties' right in extending and limiting their liability,
- ❖ differentiate penalty and earnest,
- ❖ discuss the effects of penalty clauses, and
- ❖ explain the effect of invalid penalty on the main contract and vice versa

As you could remember from your study of Law of Contracts I, the parties' contractual liability to pay damages is governed by Articles 1771 (2) and more in detail under 1790 to 1805. The provisions running from Article 1886 through Article 1895 allows the contractual amendment of the general rules governing payment of contractual damages (Article 1791 to 1805).

The liability of the parties for the payment of contractual damages may be amended by two specific clauses. In the first sense, the clause affects the scope of the parties' liability. In other words, the parties are allowed, in fact with certain limitations, to make their liability more (Article 1886) or less (Article 1887 & 1888) extensive than that normally provided for by Articles 1791 to 1798. In the second sense, the clause affects the amount of the compensation normally derived from Articles 1799 to Article 1805 either by establishing a penalty clause (Article 1889 - 1894) or by providing for other sanctions (Article 1895).

2.5.1. Liability Extension Clauses

The Ethiopian law of contracts follows irrespective of fault liability principle in establishing the liability of contracting parties for the payment of contractual damages (Article 1791 (2)). Thus, the defaulting party shall always be liable, at least in principle, for the payment of damages for the other party whether the non-performance was due to his fault or not. The party claiming compensation is not required to establish fault on the part of the defaulting party for the non-performance of the obligation, save the exceptions of Article 1795 and 1796. The rationale behind this strict contractual liability principle is securing economic transactions and ensuring contractual security. The only defense available for the defaulting party to exclude his liability for the payment of damages is proving that the performance of the obligation was prevented by force majeure (Article 1791 (2)). Thus, the liability of the defaulting party for the payment of the contractual compensation may not transcend the boundary of force majeure. This boundary may, however, be avoided by the contracting parties by providing an express stipulation to extend their liability even beyond the boundary of force majeure. This implies that Article 1791 is only a supplementary provision which can be set aside by the express otherwise agreement of the parties. This latter situation is provided under Article 1886.

Article 1886 – Extension of liability

The parties may extend their liability under the contract and provide that they will be liable for non-performance notwithstanding that performance is prevented by force majeure.

If the parties wish to extend their contractual liability, therefore, the extension will consist in the defaulting party from being able to claim the defense of force majeure, either generally or for special cases only. This is another manifestation of the principle of freedom of contracts.

In addition to the cases referred under Article 1886, you may also take the case of stipulating penalty clauses as another instance of extending the contractual liability of the parties. As will be discussed later on, penalty clauses shall be due even in the absence of any actual damage (Article 1892 (1)). Had there been no penalty clause, the creditor would not have been entitled to claim compensation without showing that he has sustained actual loss as a result of the non-performance of the obligation (Article 1799 (1)). Thus, the parties, by inserting a penalty clause in their agreement, are in effect extending their liability for the payment of damages even in the absence of any actual damage.

 **Can we imagine an extension of liability where the parties agree to change the nature of their obligation from an obligation of means to an obligation of result (see Article 1712 (2), Article 1791, 1795 and 1796)?**

Jean Mark Baissus provides we can imagine an extension of liability where the parties agree to change the nature of the obligation from obligation of means to obligation of result.* Despite such an opinion of this scholar, there seems no single phrase under Article 1886 which tends to allow extension of liability even in the cases of obligations of means. Where the parties are changing their obligation of means to one of result, the debtor is in effect undertaking to procure the end result, which at times may amount to promising the impossible.

* In the case of obligation of result, the debtor undertakes to procure a specified end result (for instance, delivering specified goods, payment of money). Failure to achieve the end result shall be considered as non-performance of the obligation (Article 1712 (2) and 1791). Conversely, in the case of obligation of means, the debtor, without guaranteeing the achievement of the end result, the debtor promises to try his best with due diligence for the achievement of a specified end result (the obligation undertaken by an advocate in a contract of advocacy). The debtor of an obligation of means may not be held accountable for payment of damages simply for failing to achieve the end result unless he has committed fault or grave fault (Article 1712 (2), 1795 – 1796).

2.5.2. Liability Restriction Clauses

Agreement that set aside gap filling provision is made not only to extend but also to limit liability due to non-performance. Jean Mark Baissus, in providing the prospects and dangers of these liability restriction clauses, provides the following.

The rationale for such clauses is that they allow professionals to see their liability less often challenged, thus lowering their risks and costs. This enables traders and manufacturers to sell cheaper and makes the economy overall more competitive. Another advantage is the fewer disputes should arise as well as fewer court actions, because the plaintiff will be deterred by the necessity of bringing the proof of a contractual fault of his opponent. Conversely, the danger of such liability restriction clauses is that they are generally provided by the pre-drafted contracts of professionals, and may be at the detriment of consumers. They also tend to encourage bad performance, because the contracting party considers his liability is reduced. The risk is also that by allowing such clauses, the law opens the door to abusive clauses or illicitly restricted clauses. Finally, it is disputable whether such clauses do indeed limit the number of disputes. All these explain why liability restriction clauses are possible but remain nevertheless strictly limited.

Due to all the above considerations, liability restriction cannot, for instance, be extended to the point of liability exemption. This can be grasped from Article 1879 (2) which provides a contract in which the debtor's liability for non-performance of the obligation is excluded shall be considered as void. It goes without saying that a party who refuses any liability for non-performance or bad performance of contract is not truly inspired to respect the existence of the contract. Meaning the *intentio obligandi* element is missed (Article 1679).

Article 1887, which provides for one instance of limitation of liability, provides:

Article 1887 – Limitation of liability

The parties may limit their liability under the contract and provide that they will not be liable unless they commit a fault.

As it has been explained herein above, the Ethiopian contract law follows irrespective of fault liability principle in establishing the contractual liability of parties for payment of damages. To this effect Article 1791 (1) declares that the non-performing party shall be held liable for the payment of damages in all cases of non-performance, save the cases of force majeure, even if he has not committed fault. Otherwise expressed, damages are due because of the simple fact of non-performance, irrespective of whether the non-performing party has committed a fault or not.

Article 1887 allows the limitation of the extent of the liability that is defined under Article 1791 (1). Thus, the parties are entitled to insert a contractual clause to limit their liability only to cases of fault. A non-performance which does not carry a fault does not lead to liability. Where in the general liability regime (Article 1291 (1)) the plaintiff only has to make the relatively simple proof of the non-performance of the contractual obligation, in the situation where the contract provides for a liability restriction clause, the plaintiff will have to prove two things: the non-performance plus the existence of a fault. If the plaintiff fails to prove the existence of fault in a conclusive manner, he may not be entitled to claim damages despite a clear absence of performance of the obligation. In this regard the seriousness of the fault may not be taken in to account as regards establishing the liability of the defaulting party. No matter how slight the fault may be, the defaulting party may be held accountable.

 **How do you think the fault should be established? What are the guidelines to be employed in saying the debtor was at fault or vice versa?**

The contract law provisions do not give any guideline as to how fault can be established and as such the only way out is resorting the pertinent provisions of extra-contractual liability provisions.

Acontrario reading of Article 1887 dictates that the parties may not agree to exclude their liability even in the case of fault. If the parties provide so, their agreement shall be considered as void since there is no single circumstance in which these parties may be held liable for their non-performance and by their agreement the parties are avoiding the binding nature of their agreement.

Article 1888 envisages the second circumstance in which the parties to a contract may limit their liability for the non-performance of the contract where even in the cases of fault where such fault is attributable to their employees or auxiliaries. This provision reads:

Article 1888 – Acts of employees

- 1) *The parties may provide that they will not be liable where non-performance is caused by a fault of their employees or auxiliaries.*
- 2) *Any such provision shall be of no effect where it is made to the prejudice of a party who is the employee of the other party.*

This article has to be seen in conjunction with Article 2129 and 2130, which establish the liability of the employer and juridical persons, respectively, for the faulty acts of their employees. These employers or juridical persons can exclude their liability which is defined by the extra-contractual liability provisions by entering in to agreements in accordance with Article 1888. Still it has to be noted that the parties are not allowed to exclude liability where the fault is attributable to themselves. The restriction does not only refer to employees but extends to auxiliaries also. Auxiliaries, in the broad sense of the term, include wide range of persons from

attorneys, advocates, through to agents and employees. Let's give you an illustration taken from Jean Mark Baissus' material.

Example: A is a shopkeeper selling computers. B is his salesman. B sells to C a computer on which he personally took the initiative of switching the voltage to 110 V, which is incompatible with the electric norms used in the country (220 V). B further does not inform C of the danger of using the computer without electric protection. The computer burns down. C wants to sue for compensation, but a liability restriction clause drafted in the meaning of Article 1888 (1), will prevent him from suing A for compensation.

Article 1888 (2) mentions an exception to the preceding sub-article. A liability restriction clause which exonerates the employer from any liability where the non-performance is due to a fault attributable to his employees or auxiliaries may not be invoked against a person who is himself the employee of the contracting party.

Example: Assume a certain construction company limits its liability emanating from the fault of its employees. When the employer is relieved of such liability, the employee might be held liable for more than the liability he would be liable had the employer been not relieved, since both the employer and employee are jointly liable. Such liability might then negatively affect the employee. Such negative impact of limiting of liability is of no effect with regard to the employee pursuant to Article 1888 of the civil Code.

2.5.2. Penalty Clauses

The civil code provisions running from Article 1889 through 1895 govern the amount of damages that may be paid for the non-performance of the obligation. These set of

provisions are modifications to the general guidelines of calculating amount of damages provided under Article 1799 to Article 1805.

2.5.2.1. Meaning and Nature of Penalty Clauses

Marcel Planiol describes the nature of penalty clauses in the following manner;

“The parties often foresee the non-performance or the tardy performance, and they themselves fix in advance the amount of the indemnity which is to be paid in the case that happens. This is done by means of an agreement called a penalty clause; it is ordinarily inserted in the principal act, but it is equally valid if it is made afterwards, by a separate act. The penalty clause is, therefore, a contractual liquidation of damages, which is made arbitrarily, because it is known in advance what the real damage will be.”

A penalty clause as explained by Planiol is an arbitrary contractual liquidation of damages. It is arbitrary because it is fixed without knowing the extent of loss that may be suffered by a creditor as a result of the non-performance.

Penalty clause has its own advantages and disadvantages. Fixing the amount of damages by the penalty clause avoids lengthy discussions as to the amount of damages which will have to be paid, and prevent parties from seeking judicial assistance. Penalty clauses also ensure the enforceability of the contracts. Their amount may be such that the party liable to pay the penalty is encouraged to his utmost to implement the contract rather than pay. Conversely, there are also dangers in the use of penalty clauses. If their amount is too low the defaulting party may prefer to break his obligations, as he knows precisely how much this will cost him.

Penalty clause is defined by Article 1889, which reads:

Article 1889 – Penalty

The parties may fix the amount of damages which will be due should a party fail to discharge his obligations or to discharge them completely and in due time.

The penalty clause may be invoked in the cases of total or partial non-performance or delayed performance of the obligation. Being the result of the mutual consent of the parties, it must satisfy the requirements of validity of contracts. The validity of penalty clause is assured in light with the validity requirements of general contract provisions. A penalty clause which is made owing to mistake, fraud, duress and undue influence is subjected to invalidation of a contract provided that the grounds which foster invalidation are fulfilled. An illegal penalty clause will not again have effect as illegal acts are required to be deterred.

As unconscionable contract is also subjected to invalidation, the problem related with lesionary penalty can be moot in penalty clause. It seems to put limit in determining the penalty clause with reference to unconscionable nature of the clause.

Article 1710 shall, consequently, be applied to limit the extent of the amount of damage at the time of non- performance of contract. If the penalty is terribly high and backed up by condition that renders the party in unequal bargaining power, it is subjected to invalidation on the account of unconscionable contract pursuant to Article 1710 or to rectification pursuant to Article 1812.

✍ **Dear colleague, what is the difference between earnest and penalty clauses?**

Earnest is paid initially at the beginning of the contract, and irrespective of non-performance. It also provides a unilateral right of termination rather than a penalty. Finally, a penalty clause is stipulated only for the creditor of the non-performed obligation and the debtor has no choice, whereas earnest is possible for both parties.

✎ **What about the difference between alternative obligations and a contract containing penalty clause?**

Alternative obligations are considered only from the side of the debtor. They must be clearly stipulated as such and in case of doubt the qualification of penalty clause will be preferred and it will be in favor of the creditor.

2.5.2.2. Effects and Enforcement of Penalty Clauses

Article 1890 defines the rights of the creditor emanating from a contract that contains a penalty clause. This provision reads:

Article 1890 – Rights of Creditor

- 1) *Unless otherwise agreed, the creditor may require the performance of a contract which includes a penalty.*
- 2) *He may not require both the enforcement of the contract and the penalty unless the penalty was provided in respect of delay or the non-performance of a collateral obligation.*

Article 1890 (1) puts a presumption against alternative obligations. Even where a penalty clause was provided for in case of non-performance, the creditor may require and enforce performance from the defaulting debtor. Stated otherwise, the mere fact of inclusion of a penalty clause should not limit the rights of the creditor to require the enforcement of the contract. At his option, he may claim the penalty or even require the enforcement of the contract. Unless it is agreed that the penalty is an alternative obligation, the debtor cannot extinguish his obligations by paying the amount stated in the penalty clause. He may, however, be entitled to require both payment of penalty and enforcement of the contract, in some limited instances specified by Article 1890 (2).

If the creditor wants to require both the payment of the damages fixed by the penalty clause and the specific performance of the obligation, he has to show that the penalty was fixed either for delayed performance or non-performance of a collateral obligation. In principle, therefore, the creditor will not be entitled to require payment of the penalty and the enforcement of the contract simultaneously. This is because the penalty clause will be interpreted as covering any non-performance. Let's take the following illustration from Rene David's commentary:

Example: A purchased some wool from B, with the stipulation that B is to deliver wool of particular quality. It is agreed that if, upon inspection of a bale to be chosen by the purchaser, the wool is shown to be of a quality inferior to that promised, B will pay A a compensation equal to 10% of the sale price. In such a case, A can require both the performance of the contract and the payment of the penalty, since the penalty related only to the seller's accessory obligation to guarantee the quality of the goods sold.

Article 1891 addresses the manner in which penalty clauses are enforced. It has been explained above that a penalty clause is a contractual liquidation of damages. When shall, therefore, these damages be due and the creditor be entitled to claim it?

Article 1891 – Conditions of application

The penalty shall be due whenever the creditor is entitled to claim damages by reason of non-performance of the contract.

The penalty is due every time that the creditor is normally entitled to claim damages. This provision is cross referring to the application of the rules governing the circumstances in which damages are due for non-performance of the obligation. Subject to the agreement of the parties to extend, limit or exclude their liability, the

ordinary rules governing the admissibility of damages have to be observed as stated in the general part of the law of contracts (Article 1771 - 1805).

Accordingly, the creditor must put the debtor in default by giving default notice of Article 1772 or prove the fulfillment of either of the instances of Article 1775 in which case the debtor will be in default without giving default notice. He may not be entitled to invoke the penalty clause where the debtor proves that the performance was prevented by force majeure (Article 1791 (2)). In case where the obligation of the debtor is one of obligation of means, the creditor must prove fault or grave fault on the part of the debtor (Article 1795 and 1796). These and other similar requirements set out under the provisions cited above must be satisfied before the creditor is entitled to invoke the penalty clause.

Even though the aforementioned conditions are fulfilled, unless there is actual damage, a party is not entitled to compensation as it can be inferred from Article 1801. Such condition is not, however, applied in case of penalty. An exception to 1891 has been provided under Article 1892, which sets aside the condition to get compensation to be applied to penalty. This provision shows that there shall be penalty even in the absence of actual damage.

The same holds true when actual damage is more than the penalty. In its Sub Article (2), this provision deviates from payment of actual damage when the penalty is less than the actual damage. Actual damage which is more than the penalty and less than the penalty cannot be required. However, exceptionally actual damage instead of penalty can be required if the damage is caused intentionally or with gross negligence or grave fault.

The underlying reason to provide a penalty clause is to be certain as to the remedies of non-performance. Consequently, the role of the courts in varying the penalty is

limited to protect the required certainty of the parties. Article 1893 is testament to this.

Art. 1893 - Variation of penalty

The agreed amount of penalty due for non-performance may not be reduced by the court unless partial performance has taken place.

The court can vary the penalty clause only if there is partial performance. Allowing the power of variation provided when there is partial performance seems to be justified on account of securing justice vent at the expense of certainty. Ordering the whole penalty while there is partial performance is actually unfair which begs correction even paying certainty as a cost.

✎ Dear colleague, in what proportion is the court entitled to reduce the penalty in cases of partial performance of the obligation?

Article 1893 does not state any rule of proportionality between the scope of the part payment and the amount of the reduction; in other words, it is technically possible a court may reduce the amount of the penalty clause almost to nothing even though the part performance was very small. The court may not, however, set aside completely the contractually fixed damages. On the contrary, if courts want to be very strict, they can systematically refuse to reduce penalty clauses, even if performance is almost complete. Thus, this article will become what the courts make of it.

Example: Assume Berhane, a pianist, entered into an agreement with the owner of a Hotel in which the pianist agreed to present concert for five consecutive days with penalty of 100,000 for failure. After he made his concert for four days, he got a better payment and went away. In such a case the court has the discretion to vary the penalty of 100,000 to the extent the court thinks to be fair.

The validity of a penalty clause can be affected by the validity of the main contract. Invalid nature of the penalty clause does not on the other hand affect the validity of the main contract. This is stipulated under Article 1894.

Article 1894 – Invalidation

- 1) *A penalty shall be of no effect where the contract in which it is prescribed is invalidated.*
- 2) *A contract shall remain in force notwithstanding that the penalty is not valid.*

This provision governs the relation between the penalty clause and the principal obligation. Seen in light of sub-article one of this Article, a penalty clause is an accessory obligation and as such it cannot subsist by itself where the principal obligation is invalidated for any of the grounds of invalidation. But the principal obligation can subsist even after the invalidation of the penalty clause. In such a case, since the amount of damages fixed by the penalty is not valid, the damages shall be calculated by the general rules governing the extent of damages (Article 1791 - 1805).

Illustration: Assume Ato Belay entered into contract with Ato Gadissa owing to mistake. The contract is backed up by penalty clause. If the contract is invalidated, the penalty will not have effect, pursuant to sub-article (1) of 1894.

Assume in the above example Ato Belay and Gadissa concluded a valid contract. Later Ato Belay agreed to a penalty owing to mistake. In this case the main contract is valid although the penalty is invalidated pursuant to Sub-article (2) of the aforementioned provision.

Assume for example that Anbassa shoes factory employed Ato Chanyalew for one-year contract deceived by false documents. The factory assumes penalty of 1000 for

breach of contract before one year. In the case at hand if the main contract is invalidated, the penalty is of no effect.

Let us assume that there was no penalty clause in the main contract but the penalty clause was inserted because of intimidation that amounts to duress made by Ato Chanyalew on the manager of the factory. In this case only the penalty clause is invalidated and the main contract remains effective.

2.5.3. Other Sanctions

Article 1895 examines the possibility of other sanctions (other than penalty clauses) in the area of contractual liability. Unfortunately, however, there is an apparent contradiction between the English and Amharic versions of this article.

Article 1895 – Contractual Sanctions

Where a contract provides that a party may apply certain sanctions, should the other party fail to carry out one of his duties, the court shall, notwithstanding any provision to the contrary, verify whether the agreed sanctions may be applied.

አንቀጽ 1895 - በውሉ የሚወሰን ቅጣት

አንድ ተዋዋይ የገባበትን ግዴታ ባንደላ ጊዜ ሁለተኛው ወገን የተለዩ ቅጣቶችን ያስፈጽምበታል ተብሎ በውሉ ስምምነት ተደርጎ እንደ ሆነ ማረጋገጥ ተቃራኒ ስምምነት ቢኖርም እንኳን ተባሉትን ቅጣቶች የሚያስከትሉ ነገሮች ተደርገው እንደሆነ ለማረጋገጥ የሚችሉት ዳኞች ናቸው፡፡

The Amharic version empowers the courts to find out whether the debtor failed to perform his obligations and other requirements of the law are fulfilled before enforcing the contractual sanction.

The English version, on the other hand, empowers the courts to verify whether the contractual sanction agreed as between the parties can be applied in the particular

circumstances of the case. As per the English version, therefore, the court is not going to inquire whether there is non-performance or not.

✎ **Which one of the two versions of this article seems logical?**

The “contractual sanctions” referred under this article seems to refer neither the ordinary damages nor the penalty clause considered earlier. This article seems to sanctions fixed in terms of performance in kind rather than in money. If we hold so, therefore, Article 1889 shall be construed to refer only to penalties fixed in terms of a certain sum of money.

Example: A peasant undertakes to sell his crop of 500 kilos of teff to a seed merchant after the harvesting season. Should the 500 kilos not be delivered, the merchant imposes the added sanction that the peasant will give him his horse. Thus, if the peasant delivers 450 kilos, he may have to give his horse as well to the merchant.

This example shows the dangers of this provision. So as to avoid, or at least minimize such dangers, the law gives uncontested authority to the courts to verify whether the agreed sanction must be applied. The provision, however, fails to specify the extent of the powers of the court in the process of verification. Can they totally disregard the applicability of the sanction? Or are they going to reduce the severity of the sanction? Can we apply, *mutatis mutandis*, the rules governing penalty clauses labeled in money?

Chapter Summary

Providing a gap filling provision for incidents which contracting parties do not predict is among the purposes of the law of contract. In light of this, the Ethiopian law of contract has provides certain provisions with this purpose. Special terms of obligation or contracts play gap-filling role of the law of contract.

Provisions as to time are among the laws, which fill the most repeatedly happening gap in contractual agreement. Accordingly, when the time is fixed in days, the day of the formation of the contract is not considered in assessing the time. Time fixed in weeks is determined with reference to the corresponding name of the last week unlike the period fixed in months, which is determined referring to the corresponding day of the last month by number.

In addition to provisions of time, provisions dealing with condition also play gap-filling role. When a contract depends on the occurrence and non-occurrence of uncertain even, it is said to be a conditional contract. Condition may be condition precedent if the contract will be effective upon the fulfillment of the condition. It can also be condition subsequent if the contract is cancelled upon the fulfillment of the condition being effective before the fulfillment of the condition. The presumption is in favor of condition precedent.

The other gap filling provisions provided under the civil code are provisions which deal with alternative obligation. When there is gap as to the party who will choose the obligation to be performed, the law fills the gap by presuming in favor of the debtor. When the party with the right to choose does not exercise his right, the other party can choose the obligation to be performed.

When contractants provide earnest for their contract, this in itself is proof for the presence of a contract. It however, entitles also either of the contractant the right to cancel the contract upon causing the other party to profit the amount of earnest.

Finally, provisions as to liability, with certain restrictions on the freedom of contract, have been provided. The parties are free to either extend or limit their liability subject to the mandatory provisions. Unconscionable nature of a contract and negative impact of exclusion of liability on third parties, are the ones among the limitations.

Generally, provision as to time, condition, earnest, provision as to liability are all about the fate of a contract which is not fully addressed with reference to the said incidents. The law fills such gaps and provides mandatory provisions to protect the very purpose of a contract.

Review Questions

1. Andreas and Mimi signed a contract loan on the 1st day of January, 2009 and the former borrowed 500 Birr from the latter and Andreas undertook to pay it back after two months. Falling in an unfortunate situation, Andreas appealed before his lender for additional time of performance; in response which Mimi agreed to add two months grace period. When is the due date of the obligation?

2. Mamush sells his diesel generator to Meried at a reduced price subject to a suspensive condition of his marrying his lover, Selam. A week in advance of the day of his marriage, he leased the generator to Abel for a term of three years. What remedies, if any, are available for Meried upon the fulfillment of the suspensive condition?

3. Haramaya University and Snap Computers PLC signed a contract whereby the latter is to deliver twenty five Apple brand laptop computers or forty Toshiba brand laptop computers. And the university agreed to pay 100,000.00.

A) Who has the right to choose the type of computers to be delivered? Why?

B) Can Snap Computers PLC claim to deliver partly from Apple brand and partly from Toshiba brand?

C) If the right to make the choice was reserved in the contract for Haramaya University, can it request for the delivery of the laptops partly from the Apple brand and partly from the Toshiba brand?

4. In a contract of sale of an immovable between A and B, A sold his house for the latter for 500,000.00 Birr. They also inserted a penalty clause that if either of the parties fails to carry out their obligation under the contract, the defaulting party will be held liable for the payment of 25,000.00 for the other party and another 25,000.00 Birr for the government. It is unfortunate that B refused the price of the house on the due date. Do you think the government has a legal entitlement to claim the 25,000.00 Birr which is fixed as a penalty between the parties? Why or why not?

CHAPTER THREE

PLURALITY OF DEBTORS OR CREDITORS

Introduction

The presentation of the general law of contracts was based up to now on the assumption that it was dealing with a given obligation, which had a single creditor and a single debtor. But of course, this presentation is made in the interest of simplification. In practice things may be much more complex. An important and frequent variation on the scheme of a single obligation binding one creditor and one debtor is where more than one party is involved in the performance of the obligation. For instance, several creditors and debtors may be involved. The study of this situation is the object of the present chapter.

In our law, Chapter six of Title Twelve of the Civil Code deals with plurality of debtors or creditors. However, it is worth noting to show the different terminologies used in different legal systems in the common law, the French law, and our Civil Code. There are different terms used in those systems.

For reasons of consistency it will be better to use the term solidary obligation from the perspective of debtors, creditors, and nature of obligation itself. Thus, this chapter covers three units: solidary obligations in case of plurality of debtors, solidary obligations in case of plurality of creditors and obligations other than solidary obligations in case of plurality of debtors or creditors.

Objectives:

After having completed this chapter, you will be able to:

- ❖ Define joint and several liability or solidary obligations;
- ❖ Explain the effect of joint and several liability among co-debtors;
- ❖ Discuss the relationship of co-debtors with the creditor;
- ❖ Discuss the relationship of co-debtors among themselves;
- ❖ Define joint obligations in the case of plurality of creditors;
- ❖ Explain the effect of joint creditorship;
- ❖ Discuss the relationship of the joint creditors *inter se*;
- ❖ Distinguish indivisible and divisible obligations and explain their effects.

3.1. Solidary Obligations in case of Plurality of Debtors

Solidary obligations in case of plurality of debtors in the French legal system and joint and several obligations in the common law legal system, which is termed as debtors jointly and severally liable in the Civil Code relate to solidary obligations that exist among plurality of debtors. The provisions of the civil code which deal with such plurality of debtors are Articles 1896 through 1909 of the Civil Code.

Accordingly, the title solidary obligations on debtors is used to refer to a situation where there is a joint and several obligations among debtors. In this unit, we will discuss the nature of solidary obligation in different legal systems, the relationship between a creditor and co-debtors and the relationship among co-debtors.

Objectives:

After having completed this section, the student will be able to:

- ❖ Define joint, several, and joint and several (solidary) obligation;
- ❖ Explain the effect of solidary obligations among plurality of debtors;
- ❖ Discuss the relationship between the co-debtors and the creditor;
- ❖ Discuss the relationship of co-debtors among themselves.

3.1.1 Nature of plurality of debtors or creditors in different legal systems

The concept of plurality of debtors or creditors is treated as solidary obligations in the civil law and as joint and several obligations in the common law. The common law has three categories of promises: joint, several, and joint and several. A joint promise is a single promise made by several persons to perform the same obligation with the stipulation that each of them is only proportionally liable. In a joint promise there is only one cause of action against the promissory, and consequently, performance by, or discharge of, one of the joint obligors releases the others. On the other hand, a several promise is made by one person to perform an obligation even though that promise might be in an instrument which contains the promises of other promissors; and the creditor will be entitled to as many causes of actions as there are promissors. As to the type of joint and joint and several obligations, please refer Law of Contracts I, the discussions on types of obligations.

A joint and several promise binds all obligors jointly as well as severally for the performance of the total obligation. Actually each party contracts a several promise to discharge the total obligation in addition to contracting a joint promise with the other. Although a joint and several obligation is to the disadvantage of debtors, in many

instances it is the only type of contract a creditor will accept. In common law, because all joint obligations are contracted as one, it was necessary that all of them should be joined as defendants in a suit on a joint contract. However, a joint and several obligors can be sued individually and a successful suit against one of the co-obligors does not prevent the common creditor from suing the other obligors either jointly or individually. Nevertheless, if a debt is completely satisfied by one debtor, the creditor can have no further satisfaction against the other debtors. Also, a discharge of one joint and several debtors is generally held to release co-debtors.

A joint and several obligor who is compelled to pay the whole debt has a right of contribution against his co-debtors. Contribution in this sense means that each co-debtor must compensate the performing debtor to the extent of his proportionate liability for the total debt.

Therefore, it may be said that all joint and several debtors are liable individually to the creditor for the whole debt but among themselves the co-obligors are liable only for their proportionate share. The respective shares of the co-obligors may be regulated by a contract created for that purpose or stated in the joint and several obligations, but in the absence of such a stipulation the law will imply that they joined equally in the venture.

The French concept of solidary obligation and the common law concept of joint and several obligations have a common feature, i.e., that each solidary debtor binds himself for the whole obligation with the result that performance by one debtor discharges the other debtors.

In the French legal system, solidary obligations are divided into two forms: those which are contracted in favor of several creditors, active solidarity and those which are contracted by several debtors, passive solidarity.

The starting point in the French codal provisions as to debts contracted solidarily is that the creditor of a solidary obligation has an advantage in that he may obtain payment from any solidary debtor. Although the debtors are obliged to perform the same object of the contract, they may be obliged in different ways; for example, one debtor may be bound purely and simply and another may be bound subject to a condition or a term.

The creditor who has taken action against one of the solidary co-debtors is not barred from taking action against the others. Furthermore, a judicial demand against one of the solidary debtors interrupts prescription as to all co-debtors. The theory used by the French commentators and the jurisprudence to explain the rights and duties of solidary debtors is that there is either a fictitious or real reciprocal mandate among the debtors. Furthermore, a co-debtor may not increase the burden of the debt upon the other co-debtors. In a suit by the creditor a solidary co-debtor may plead defenses which are common to all the co-debtors in addition to defenses which result from the nature of the obligation and his own personal defenses. However, the solidary co-debtors may not use those defenses which are personal to other co-debtors.

Defenses which are common to all the co-debtors are payment, novation and prescription and various grounds of invalidation of contract that make the contract null and void. The personal exceptions such as duress, error or incapacity belong to one or several of the debtors but not to all of them.

If a debtor is released by the creditor and the creditor fails to reserve the solidarity against the other co-debtors, all co-debtors are released and the debt is extinguished. The remission by a creditor in favor of a solidary co-debtor discharges the other debtors unless the creditor expressly reserves his rights against them. Solidary debtors inter se are liable only for their respective interests in the debt; and payment of the whole debt by one co-debtor renders the others liable for contribution to the

paying co-debtor. There is a presumption that the obligation is divided into equal portions among the co-debtors, but this presumption is open to rebuttal by evidence of a prior agreement between the debtors. Therefore, the debtor who pays the creditor more than his portion of the debt may pursue his co-debtors for their respective shares of the excessive payment. If one of the co-debtors is insolvent his share is borne equally by the remaining co-debtors.

3.1.2. Solidary obligations in case of plurality of debtors under the Ethiopian Law

In a solidary obligation in case of plurality of debtors, each debtor is considered in his relation with the creditor as debtor of the entire obligation or each debtor is obliged as if he were the only debtor. In this regard, the principle is provided under Articles 1896 & 1897 of the Civil Code.

Article 1896 – Cases of joint and several liability

Unless otherwise agreed or provided by law, co-debtors shall be jointly and severally liable.

Article 1897 – The principle of joint and several liability

- 1) *The creditor may require all the debtors or one of them to discharge the obligation in whole or in part.*
- 2) *Each debtor shall be liable until the obligation is fully discharged.*

These provisions illustrate the idea of solidary obligation among plurality of debtors. An obligation is said to be joint and several among the debtors when each debtor is considered in his relation with the creditor as debtor of the entire performance (as if he were the only debtor) or where both debtors are jointly liable for the whole debt. Each solidary debtor or both solidary debtors, in so far as the creditor or creditors are

concerned, is/are the debtor (s) of the entire amount individually (severally) or jointly.

Thus, each debtor is held liable until the obligation is fully discharged. The same debt may be required, be it divisible or indivisible, from only one of the co-debtors. The creditor has the discretion to select the most solvent debtor and ask everything from such debtor.

Under our law, Article 1896 of the Civil Code lays down a fundamental rule regarding the situation where several debtors are concerned by the same debt. It reads, unless otherwise agreed or provided by law, co-debtors shall be jointly and severally liable. This implies that failing an express provision to the contrary, the very fact that there are two or more debtors makes them jointly and severally compelled to perform the obligation. Of course, joint and several liabilities arise from the law. Such a presumption favors the creditor and goes against the principle of interpretation which provides that doubts have to be interpreted in favor of the debtor (*Article 1738 (1)*).

One has to say that the presumption of joint obligation is by no means evident. The presumption in French law is exactly the reverse: where no express provision so states, a plurality of debtors does not make them joint debtors and the same goes for German law for divisible obligations. The foreign legislations decide to protect debtors first and foremost, because it is considered that in case of doubt a person does not have to be held beyond his share of the debt. On the contrary, the Ethiopian Civil Code is in favor of creditors. Where no express provision prohibits them from acting this, they may always claim that the debtors are joint debtors, and therefore ask for payment of the entire debt of one of them only.

The Ethiopian solution is a choice probably dictated by the intention of seeing contracts effectively enforced, rather than putting creditors at the risk of insolvency in

the many cases where no written contract is drafted. Another advantage is that the creditor does not have to divide his actions between the joint debtors: he will simply select the one most likely to be able to pay in full and lets him later take the risk of getting refunded from his co-debtors (Article 1908). It is almost a pedagogical approach, forcing upon the debtors the meaning of the enforceability of contracts. On the other hand, in an age where consumer protection expands more and more, such a presumption of joint liability may not be in line with current trends.

Accordingly, a joint obligation is therefore on automatic by-product where a contract involves several debtors. But the law itself might decide to impose a joint obligation in various other cases; for instance in the case of the debts contracted by spouses, for persons jointly held to pay maintenance (Article 819), for the persons concerned by the cummulation of liabilities (Articles 2124, 2125, 2136 of the Civil Code), for persons involved in the same criminal action as instigator, principal or accomplice (Article 2155(2)), or persons required to make good the same damage (Article 2155 (3), or "*obligation in solidum*"), plurality of principals in the contract of agency (Article 2225). See also the following Articles: 458,510,2155,2195,2225 of the Civil Code and Articles 255, 296, 301, 308, 309, 328,342, 364,366, 780, 790, 825,868, 872 of the Commercial Code.

3.1.3. The effect of joint and several obligations on the relations between creditor(s) and co-debtors

Apart from the effect we have discussed, the fundamental effect of joint and several obligations with respect to co-debtors may also be reflected in the case of novation, remission of debt, payment of the whole debt by one co-debtor etc. All the effects, among debtors, derive from the principle that each of the co-debtors, taken

separately, is bound towards the creditor so completely and absolutely as if he was the only debtor.

Since the co-debtors are bound one for the others and each for all, for the entire debt, they must be considered in their collective relations with the creditor as representing each other. This representation, which serves primarily the interests of the creditor towards the several co-debtors, serves likewise the interest of the debtors against the creditor. This mandate produces the following effects.

A) On Resjudicata

Article 1898 – Res judicata

Proceedings instituted against one of the debtors shall be no bar to similar proceedings being instituted against the other debtors.

Firstly, Article 1897, sub 2 of the Civil Code provides that each debtor will be liable until the obligation is fully discharged. The extent of this plurality of rights is illustrated by the fact that the creditor may assign his right in respect of one debtor and exercise it in respect of another, or that he may prosecute different debtors before different courts if necessary.

This shows that the action of the creditor against one debtor does not amount to a waiver of the actions open against the others later (Article 1898). Conversely, the inadmissibility of the action against one debtor is no bar on the links to the other debtors.

The situation can be described as a series of independent and direct links between each joint debtor and the creditor, but which are unconnected. Personal objections may not be extended from one debtor to the other. But each link may have a specific

term or/and condition. Conversely, the obligations of each debtor may be of different amounts, such is the case for suretyship.

Accordingly, an action brought against one of the co-debtors shall be no bar to an action which may be brought against the others so long as the debt has not been fully discharged. The creditor has the liberty to pursue successively all his debtors so long as the obligation is not fully discharged (see Article 1898 of the Civil Code).

✎ **Dear distance learner, can the creditor bring successive actions against the same debtor repeatedly?**

By *acontrario* reading of Article 1898, the idea is that the creditor who has instituted a court action against one joint debtor is precluded from proceeding against the same person. This is implied from the phrase "other debtors".

The other issue that may be raised in connection with Article 1898 is whether or not the creditor who has instituted a suit against a joint debtor partially is allowed to institute another case on the remaining debt against the same co-debtor if he won the previous case.

✎ **Dear colleague, how do you see the splitting of claims under Article 217 of the Civil Procedure Code in case of plurality of debtors?**

B. On Default notice

Secondly, a notice given to one is deemed given to all, and interrupts limitation

Article 1899 – Notice

Notice placing one debtor in default shall be effective against all the debtors.

A default notice putting one of the co-debtors in default implies that such notice is deemed to have also been given to the other co-debtors pursuant to Article 1899 of the Civil Code. The notice sent to one transfers risks for all debtors. As you remember, a creditor who has a right to demand performance from co-debtors is required to put the debtors in default to claim rights arising from the non performance of the debtors unless it is unnecessary according to Article 1775 of the Civil Code.

The principle enshrined in Article 1899 is a direct reflection of the principle of reciprocal representation of the co-debtors, also known as the principle of mandate, whereby the act accomplished by or against one of them is considered to be made by or against the others with regard to whom it produces the same effect as if it were done by them. Co-debtors represent each other in their collective relations with the creditor.

Example: Mimi and Andreas jointly ordered for the supply of goods which are to be manufactured by Jacob. At the due date of the obligation, Jacob gave a notice to Mimi stating that she should take delivery of the goods from the agreed place, his warehouse. Neither Mimi nor Andreas could collect the goods and in the mean time the goods were totally destroyed by an unforeseen earth quake. In such a case, the default notice given to Mimi shall operate against Andreas also and he shall bear the risks for the loss of the manufactured goods.

(C) On void and voidable contracts

The third effect relates to void and voidable contracts. As to the nature of void and voidable contracts, the reader is advised to read Chapter One.

Article 1900 – Nullity of obligations

(1) Any debtor may set up against the creditor defenses based on the nullity of the obligation.

(2) Where the obligation is null owing to a defect in the consent or to the incapacity of the debtor, such nullity may be raised by that debtor only.

From this article, you can understand that there are defenses common to all co-debtors and defenses which are strictly personal. In this regard sub-Article one seems to refer to void contracts while the second sub Article relates to contracts which are voidable.

Thus, where the contract is void, any of the co-debtors can raise this defense against the creditor(s). Accordingly, this defense is classified under common defense available to all. For instance, if the object of the contract is unlawful, immoral or the contract doesn't fulfill the prescribed formality requirement, any co-debtor can raise such defense.

On the other hand, where the contract is voidable owing to the defect in the consent or incapacity of either of the co-debtors, this may not be raised by all the co-debtors. It is only a debtor who is affected by the defect in consent or the incapacity that may raise it as a defense. Accordingly, the defense is said to be a personal one. For instance, if the contract suffers from defect in consent or in capacity by one of the co-debtors, it is only this co-debtor, who is mistaken, deceived, compelled, or incapable, that can raise this defense.

D) On payment and Limitation

Among the common defenses that are available to all the co-debtors are payment and limitation of actions.

Article 1901 – Payment and limitation

Any debtor may set up against the creditor defenses based on the total or partial payment of the debt or on limitation.

Where there has been a total or partial payment or where the claim of the creditor is barred by limitation, each debtor may invoke this as a defense according to Article 1901 of the Civil Code. In this regard, in case of total payment and limitation of actions, the defense is to bar the total obligation. If payment is made by one, being the same debt, all are released in respect of the creditor. In case of particular payment by one of the co-debtors, however, the obligation will be reduced to the extent of the payment made by the co-debtor. This is the reflection of the theory that the joint debtors are bound as one.

E) On remission of debt

The fifth effect relates to remission of debt by the creditor. Remission is an act of pure liberty by virtue of which the creditor, without having received any compensation or equivalent, renounces his right to enforce the obligation, thereby extinguishing the same either in its entirety, or in the part or aspect thereof to which the remission refers. The effects of joint and several obligations on remission of debts is governed by Article 1902, which reads;

Article 1902 – Remission of debt

(1) Where the debt is remitted to one debtor, all co-debtors shall be released.

(2) Notwithstanding the provisions of sub-article (1), the creditor may specify that the debt is remitted for the exclusive advantage of one debtor.

(3) A remission under sub-article (2) shall not release all the co-debtors unless the debt ultimately rests with the debtor for whose advantage the remission was made.

In cases where there is solidarity of debtors, remission of debt may be absolute or relative. In this regard, if the creditor remits the debt to all co-debtors, the obligation is extinguished and all co-debtors are released and this is known as total remission.

However, if the creditor remits one of the co-debtors, there may arise a problem for applying such remission. Sub-article (1) of Article 1902 states that where the creditor remits the debt to one of the co-debtors, then all the co-debtors will benefit from such remission as they are released from the obligation to the extent of the remitted debt.

Be that as it may, the creditor can make the remission to benefit only one of the co-debtors and reserve his right against the others. In this regard, the remission will benefit only that debtor and the creditor has a right to collect from the others less the amount he has remitted. But this will be the case where the creditor has expressly stated that the debt is remitted for the exclusive benefit of one debtor and that his right against the other debtors is reserved. This is clearly enshrined under Sub-article 3 of 1902. Thus,, if the creditor does not expressly reserve his rights, then the remission may benefit all the co-debtors.

There is, however, a discrepancy between the two versions of Sub-Article 3 of Article 1902. Let's first give you the Amharic version of this article so that you can easily appreciate the discrepancy.

ቁጥር 1902 - ዕዳን ስለመግር

(1) ባለ ገንዘቡ የጋራ ባለዕዳዎች ከሆኑት መካከል አንዱን ዕዳውን የማረው እንደሆነ የጋራ ባለዕዳዎች ለሆኑት ሁሉ ለአንዱ የተደረገ ምህረት ጠቃሚ ይሆናቸዋል፡፡

(2) ቢሆንም ባለገንዘቡ ዕዳውን የማረው አጋራ ባለዕዳዎቹ መካከል በተለይ አንዱን ብቻ መሆኑን ለመግለጽ ይችላል።

(3) እንዲህም በሆነ ጊዜ ለሌሎች የጋራ ባለዕዳዎች የዕዳው መማር ጠቃሚ የሚሆናቸው ዕዳውን የተማረው ባለዕዳ በመጨረሻ ይከፍል በነበረው ገንዘብ ልክ ብቻ ነው።

The English version implies that where the entire debt rests upon the debtor whose share has been remitted by the creditor, the other joint debtors are going to be released. It seems to imply that the remission relates to the whole of the obligation, as it is only then that the co-debtors will be released. It does not seem to refer to the share of the debt of the remitted debtor. Thus, the English version seems to rule out the possibility of remission of debt relating to part only of the obligation. In this latter case (in the case of partial remission), the co-debtors are not going to be released but they will be benefited by it as their obligation will be reduced by the same extent.

On the other hand, the Amharic version clearly deals with the share in the debt of the debtor whose debt has been remitted. This means where the creditor has remitted for the exclusive advantage of one of the co-debtors, the other co-debtors remain responsible towards the creditor who is merely entitled to deduct from the common debt the portion owed by the one discharged. Meaning, the Amharic version gives sense both in the case of total and partial remissions. Thus,, in this regard, the Amharic version seems preferable.

In respect of joint obligations of co-debtors, Article 1902, which settles the question the remission of the debt granted to one co-debtor releases all the other co-debtors. This is the logical consequence that the debt granted to one co-debtor releases all the other co-debtors. This is the logical consequence of the presumption of "joint and several liabilities". But it is a rebuttable presumption.

The opposite is true when the creditor specifies that the remission is for the exclusive advantage of one debtor only. The provision insists ("specifies") on the fact that such an exclusive advantage must be clearly stated by the creditor. In case of doubt, the court will therefore extend the benefit of the remission to all co-debtors. Where the remission is limited to one co-debtor, the others however, benefit from it (Article 1902, sub. 3). It means that they may only claim a reduction of their own share if it is clear that the remission was meant to reduce the global debt by the amount remitted.

The following example will illustrate what has been just said. A, B and C are debtors of 900 birr in respect of P. Failing any contrary contractual or legal provision, they are deemed jointly liable, that is, each one may be required to pay 900 birr to P if he is the first to be asked. If he pays, he will then ask the other two debtors each for one third of the debt (300 birr) pursuant to Article 1907 and 1908 (1). Suppose P decides to remit B's debt. If P doesn't state clearly that such remission is in the exclusive interest of B, then one must consider that the entire debt of 900 Birr is remitted and that A and C are therefore released (Article 1902 (1)).

P may state that the remission is in the sole interest of B. If he does not say anything else, the other debtors remain held for the total amount less the share of the co-debtor to whom exclusive advantage the remission was made. In the previous example A or C may be asked to pay 600 birr, and may only require from the other half of what he paid (300 Birr).

F) On novation

Sixthly, in case where the creditor agrees with one of the co-debtors to substitute a new obligation for the original one, then provisions of Article 1902 will *mutatis mutandis* apply.

Article 1903 – Novation

- (1) The provisions of Article 1902 shall apply where the creditor agrees with one debtor to substitute a new debt for an existing debt.*
- (2) The creditor may specify that novation shall only apply to the share of that debtor.*

Thus,, pursuant to Article 1903(1) cum 1902(1), where novation occurs between one of the co-debtors and creditor, all the other co-debtors will be released from their obligation.

- ✎ **Dear distance learner, how do you see the requirement of unequivocal intention to novation under Article 1828 for the remaining co-debtors? As per-Article 1903(1) of the Civil Code, the very fact that there is a novation agreement between the creditor and one of the co-debtors relieves the other co-debtors from their obligations.**

Under Article 1820, the law requires that there will not be a novation unless the parties show their unequivocal intention to extinguish the original obligation. In the cases referred under Article 1903 (1), all the co-debtors have not given their consent. Accordingly, the very fact that there is a novation agreement between the creditor and one of the joint debtors relieves the other joint debtors from their obligation. This in effect deviates from the requirements of Article 1828.

As is the case of remission of debt, the creditor may limit the effect of the novation to only one of the co-debtors. This he can do by expressly specifying that the novation will only apply to the share of that co-debtor. Where this occurs in accordance with Article 1902(3), the remaining co-debtors will remain liable to the creditor but their liability will be reduced to the extent of the share of the co-debtor who has agreed with the creditor.

Example: A, B and C bought certain goods and commodities worth of 150,000 Birr from XYZ company on a credit basis. Later on A and the company make a deal and agreed to substitute the obligation of A by advocacy service which he undertook to give for five years. They further stipulate that the novation shall apply only to the share of A in the entire debt. In such a case, A, in lieu of payment of money, will give the advocacy service for the five year period. The remaining parties shall remain bound by the contract for the payment of the entire obligation less the share of A. Thus they will jointly and severally pay 100,000 Birr to the company (presuming equality of share in the debt as between the co-debtors).

G) On set off

The seventh effect is on set-off which is provided under Article 1904 of the Civil Code.

Article 1904 – Set-off

Where the creditor owes a debt to one debtor, the co-debtors shall not be released unless the debt ultimately rests with the debtor with whom the set-off was made.

Similar to 1902, the two versions of Article 1904 seem to have discrepancy. However, the Amharic version seems appropriate for the same reason discussed under Article 1902.

In this regard, Article 1904 clearly allows the co-debtor who is owed by the creditor to invoke set-off. The issue, however, is whether or not the other co-debtors can invoke set-off on behalf of the other co-debtor. The other co-debtors can plead set-off to the extent of the obligation of the debtor who is owed by the creditor.

Example: The two brothers, A and B, borrowed 10,000.00 Birr from C. in a car accident, for which C is held accountable, A sustains injury and was awarded 7,000.00 Birr compensation from C. If, in such a case, C requires the performance of the obligation from B, the latter can invoke set-off to the extent of the share in the debt of A, i.e., 5,000.00 Birr. B will then be held accountable for the payment of the remaining 5,000.00 Birr.

G) On Merger

The last effect, merger in cases of co-debtors, is treated under Article 1905 of the Civil Code.

Article 1905 – Merger

Where one debtor becomes the creditor, merger shall not release the co-debtors unless the debt would ultimately rest with the debtor who became the creditor.

This article states that merger between the creditor and one co-debtor does not release the co-debtors unless the debt should have ultimately rested with the beneficiary of the merger.

For example, C, D and E are joint debtors of A for 1,000 Birr. A dies and C is his heir. Merger therefore happens between A and C, the latter may request of D and E their share in the contribution, or 333 Birr each as a consequence of Article 1907, unless the whole 1,000 Birr was supposed to rest with C.

There is also discrepancy in the two versions. But you have to take the Amharic version for the reason we discussed above. If there is merger, on the debt between one co-debtor and creditor, the portion of the common debt that relates to one of the co-debtors will no longer exist. Accordingly, the new creditor, the co-debtors will no longer exist. Thus,, the new creditor, the co-debtor whose debt is merged with the

previous creditor, may demand payment from the remaining co-debtors less the amount that relates to his share.

3.1.4. Defenses Open to Joint Debtors

Schematic arrangements of defenses open to joint debtors.

Common Objections	Personal objections extended to all	Purely personal objections	Debt rests finally with other debtor
Payment (total or part)	Remission of debtor to one debtor (Art 1902 (1))	Incapacity and vices of consent	Remission of debt (Art 1902 (2))
Absolute nullity	Novation (Art 1903 (1))	Term and condition	Set-off (Art 1904)
Remission of debt to all co-debtors		Specific remission (Art 1902 (2))	Merger (Art 1905)
Limitation of action		Specific novation (Art 1903 (2))	
Liability (Article 1906 (2))		Set-off (Art 1904)	
		Merger (Art 1905)	

The defenses open to joint debtors must be distributed according to their scope in the four categories set out above. The first category is that of the defenses common to all, which may be exercised by any of them. In fact, Article 1906 (2) of the Civil Code states the duty for a debtor to raise all objections common to all debtors.

Certain objections are personal to one of the joint debtors, but by a mechanical effect they may be extended to all. The third category is that of purely personal objections. The last category is where the debt rests finally with another debtor, even if the joint debtors were called at one stage to contribute.

3.1.5. The Relation of the co-debtors inter se

The relation of the co-debtors as between or among themselves is regulated under Article 1906 through 1909 of the Civil Code. These will be discussed in the following manner.

Article 1906 – Liability

(1) A debtor who is jointly and severally liable may do nothing to increase the liabilities of the co-debtors.

(2) A debtor shall be liable to the co-debtors where he fails to raise defenses common to all the co-debtors.

Firstly, where several debtors are bound jointly and severally for the performance of one and the same obligation, they are duty bound to promote the betterment of the condition of all of them. Accordingly, a debtor is required to abstain from doing anything which might aggravate the situation of the other co-debtors. This principle is incorporated under Article 1906 of the Civil Code. Article 1906(1) imposes upon each joint debtor the prohibition to aggravate by his behavior the situation of the other debtors. You may, for instance, consider a situation where the claim of the creditor is barred by limitation but one of the co-debtors fails to raise this defense. This failure implies an increase in the liability of the other co-debtors.

Apart from this, Sub Article 2 provides that where the debtor fails to raise a defense that is available to all co-debtors, then such a debtor will be liable to the other co-debtors. Such is the case where one of the co-debtors fails to raise limitation as defense.

Secondly, the co-debtors will share the common debt after payment. In this regard Article 1907 provides the following;

Article 1907 – Share in the debt

Unless otherwise agreed or provided by law, each debtor shall share equally in payments made to the creditor.

The fact that each debtor is held liable for the performance of the whole obligation in his relation with the creditor does not prevent the common debt from being divided. After the performance of the obligation, the obligation becomes divisible among the co-debtors. This is because every one of them is presumably acting for his own benefit and thus must have a share in the debt despite the fact that the undertaking by the co-debtors is considered as involving a common debt in their relation to the creditor.

This being said, the principle, once the creditor has been paid, is that the joint liability ceases and that the principle is that of the division of the debt between the debtors, on an equal basis, unless otherwise provided (Article 1907 of the Civil Code). This provision provides the manner of the division of the debt among the co-debtors.

This provision takes a presumption of equality in the share of the debt among the co-debtors. This presumption may, however, be rebutted where there is either a contrary agreement among the parties or a contrary provision of the law. If, for instance, the co-debtors have a separate agreement which states that the shares of each debtor in the total debt are not equal, the contribution is to be made in accordance with their agreement.

Thirdly, in so far as each debtor is liable to contribute to the extent of his part in the common debt, a debtor who has paid in excess of his share will be entitled to a right of recourse against the remaining co-debtors for the excess amount as per-Article 1908.

Article 1908 – Claims as between co-debtors

- (1) A debtor who pays in excess of his share may claim the amount paid in excess from the co-debtors in proportion to their share.*
- (2) Any amount which cannot be recovered from one of the debtors shall be repaid by the other debtors in proportion to their shares.*

Thus, the operation of division is made along the lines set out by Article 1908 of the Civil Code. The debtor who paid more than his share may be refunded the surplus by each other debtor in proportion of their share. Equality is not necessarily absolute if the contractual provisions stated different shares to rest on the heads of the debtors. Where one of the debtors is insolvent, the risk is assumed by the others who pay his share, again in proportion of their own (Article 1908(2)).

Sub Article 1 of Article 1908 provides that the debtor who has paid in excess of his share may claim the amount paid in excess of his share from the other co-debtors in proportion to their shares. Once the obligation towards the creditor has been fully discharged, the solidary nature of the debt comes to an end. The paying debtor may only claim the excess amount he paid from the co-debtors in proportion to their shares in the common debt as there is no joint and several obligations among the co-debtors.

However, where one of the debtor's shares cannot be recovered, Sub Article (2) provides that such unrecovered amount is to be repaid by the other co-debtors in proportion to their share. This may include insolvency of the debtor. Thus, where one of the co-debtors becomes insolvent, such risk of insolvency is borne by the other co-debtors in proportion to their shares in the common debt. A co-debtor with greater share in the common debt will assume the greater risk and the co-debtor with a smaller share in the common debt will assume smaller risk.

Lastly, a debtor who has paid in excess of his share will be entitled to a right of recourse against the other co-debtors who have not yet paid their shares pursuant to Article 1909 of the Civil Code.

Article 1909 – Substitution

- (1) A debtor who may claim under Article 1908 shall substitute himself for the creditor to the extent of the amount paid by him to the creditor.*
- (2) The creditor shall hand to the debtor who makes the payment all documents and make all formalities to enable the debtor to claim from the other debtors.*
- (3) Where the creditor makes substitution impossible, he shall be liable for the damage caused by him to the debtor.*

The paying debtor by virtue of this provision is entitled to claim contribution from the other co-debtors. Such action is what is called the legal right of subrogation as a result of which such paying debtor will be placed in the position of the creditor to the extent of the amount paid by him to the latter. In such cases, the creditor is legally required to hand over any document and make available all information to the paying debtor to enable the latter to claim from his co-debtors. If the creditor fails to discharge this legal duty, he is subject to the payment of damage arising from his failure.

Accordingly, the debtor who has paid may exercise his action to the extent of the amount paid. The creditor has a duty of collaboration with the debtor who paid him, and must specifically hand all the documents and make all the formalities necessary for the refund. This duty of collaboration of creditor is sanctioned by Article 1909(3): he will be liable for the damage caused by him to the debtor who has paid when such substitution is impossible because of his own behavior.

3.2. Joint Creditors

Regarding joint creditors, the law takes a presumption against solidarity or joint and several entitlements.

Article 1910 – scope of application

Unless otherwise agreed or provided by law, joint creditors shall not be jointly and severally entitled to claim payment.

Article 1911 – Principle

- (1) Each joint creditor may require the debtor to pay the whole debt.*
- (2) Payments made to one of the creditors shall be effective against all creditors.*
- (3) The debtor may, at his option, pay any one of the joint creditors until he is informed that proceedings have been instituted by one of them.*

Article 1910 of the Civil Code states exactly the reverse rule from Article 1896 of the Civil Code: joint creditors are not jointly entitled to claim payment. To this effect, Article 1910 provides that unless otherwise agreed or provided by law, joint creditors shall not be jointly and severally entitled to claim payment. It means the law presumes that, where there is plurality of creditors, each co-creditor is only entitled to claim his share of the total claim and cannot claim the totality of the claim. This presumption, however, will not operate where there is an agreement otherwise. It is clear that solidarity of creditors may be established by contract or testament.

✎ Can solidarity be created between creditors by the operation of the law?

Article 1910 seems to imply that solidarity between the creditors may be created by law. This, however, is wrong as such solidarity is never established by operation of

the law. Article 1910 should accordingly be corrected. The sources of joint entitlement may either be the agreement of the parties or a will (left by the deceased) which gives joint entitlement for several parties over the estates of the deceased.

✎ **How do you see the principle of non existence of joint and several entitlement under Article 1910 and requiring payment of the total debt by each joint creditor from the debtor under Article 1911?**

Regarding the second question, there are two arguments. The first argument is that Article 1911 of the Civil Code is applicable only when there is agreement between creditors as to joint and several entitlements. It means when their agreement reflects the fact that each joint creditor can require the total debt, Article 1911 may be effected. In this case each joint creditor is considered as a principal creditor for requiring payment of the total debt.

The second argument is that, as joint and several entitlements in case of plurality of creditors are exception, Article 1911 doesn't provide about this issue. As per this argument, each creditor may require the debtor to pay the whole debt by way of mutual representation or mutual agency, but not as a principal creditor. Thus, the basic principle underlying joint creditors is that there is a relationship of mutual agency among the solidarity creditors by virtue of which each creditor is empowered to exercise against the debtor and only the right which corresponds to him, but also all the rights which correspond to the other creditors, with the consequent obligation to render an account of his acts to such creditors.

As a result of the mandate given to each joint creditor to sue and collect payment of what is due to others, each creditor may demand the debtor to pay the whole debt. The debtor may not plead the benefit of division of the credit. Accordingly, the debtor

may pay the entire debt to any of the creditors and such payment extinguishes the obligation of the debtor.

The debtor has a right of choice as to which of the creditors to effect payment of the total debt subject to the limitation put under Article 1911(3) of the Civil Code. There seems to be a slight inconsistency between the two versions of this sub Article.

The English version seems to imply that where there has been a court action instituted by any one of the creditors, the debtor may not pay the other creditors. On the other hand, the Amharic version merely says that where the debtor has been given notice by any one of the creditors, not court action being instituted, the debtor may not have such choice.

If so, which version is more tenable? In this regard, it seems tenable to uphold the Amharic version for there is no presumption of joint and several entitlements to protect co-creditors. Accordingly, where there is any judicial or extra judicial demand of payment by one of the creditors, such creditor is to take precedence. This is because such notice warns the debtor from paying the other creditor(s).

The other implication of the principle of unity of debt, in addition to mutual agency, is that any act interrupting the period of limitation as regards one of the joint creditors interrupts it for the benefit of all the joint creditors as per Article 1912 of the Civil Code.

Article 1912 – Limitation

An act interrupting the period of limitation as regards one joint creditor shall interrupt it for the benefit of all

- ✎ **However, if one of the co-creditors puts the debtor(s) in default, would the effect of such default benefit the other co-creditors?**

In the French law, if one of the co-creditors gives default notice for the debtor, the effect of such default is to benefit all the creditors. In our law, there is similar provision on joint debtors. There is also mutual representation among the co-creditor. Thus, it seems that the answer to the above question is positive.

Thus, the situation of joint creditors can be analyzed along the same lines as that of the joint debtors, i.e. in terms of unity of the debt. The unity of the debt is considered under Articles 1911 and 1912. Each creditor may require payment of the whole debt, the payment to one amounts to payment to all, and any interruption of limitation benefits all. Translated on the side of the debtor, it allows the latter to pay the creditor of his choice, at least until proceedings have been instituted by another, who then takes precedence.

The plurality of links can be seen in Articles 1913 and 1914 of the Civil Code, where a remission of debt or a novation granted by one creditor only affects this creditor's share. In the same sense, in the event of a set-off, Article 1915 of the Civil Code states that the debtor may only oppose such a defense to the extent of the creditor's ultimate share in the claim.

Although each creditor is considered as a representative of the other, solidary creditors do not have the right to dispose of the entire credit individually. In reality, the credit belongs to each creditor only for his part. Each of the co-creditors may do whatever may be useful to the others, but not anything which may be prejudicial to the latter.

Accordingly, there is a limitation on the power of each creditor to represent the other joint debtors. These limitations are enshrined under Articles 1913 through 1915 of the Civil Code.

Firstly, no one of the joint creditors can remit the entire debt without the consent of the others. Where remission of debt is made by one joint creditor, the credit remains intact with regard to the other creditors. The remission will be effective only as to the part of the joint creditor who effected the remission. The remission thus made only releases the debtor in respect of such remitting creditor. This principle is incorporated under Article 1913.

For example: C1, C2, and C3 are joint creditors of the sum of 900 Birr in respect of D. If C2 remits the debt to D, D sees his debt drop by the share of C2 (300 birr) and he stands to pay 600 Birr either for C1 or C2.

✎ Dear colleague, what is the consequence of a remission of debt on guarantors?

The suretyship granted to the creditor is given in respect of a precise debt (Articles 1920, 1928 and 1946 (*acontrario*) of the Civil Code, the suretyship is an accessory to the principal contractual relation. Where the creditor remits the principal debt, the suretyship has no reason to endure and the guarantor is released at the same time (Articles 1926 of the Civil Code). On the other hand, the creditor's act of remission in favor of the surety may release the guarantor and this does not affect the existence of the principal debt.

In the event of a plurality of guarantors, the release of the suretyship granted by the creditor should logically follow the same lines as what has been said for the case of several debtors, that is, it varies according to whether the guarantors are jointly held or are simple guarantors.

Secondly, similar to remission, a joint creditor does not have the mandate to enter into a novation agreement with regard to the entire credit.

Article 1914 – Novation

The provisions of Article 1913 shall apply to a novation agreed up on between one joint creditor and the debtor.

Any novation agreement made by a joint creditor will have effect only with respect to the share of that creditor as per Article 1914 of the Civil Code. However, where the other joint creditors have consented to the novation, it may have effect as regards such consenting creditors.

Thirdly, in case where the debtor becomes creditor of one of the co-creditors, the debtor may invoke set off against the other co-creditors only to the extent of the share of such creditor pursuant to Article 1915 of the Civil Code.

Article 1915 – Set-off

Where the debtor becomes creditor of one joint creditor, he may invoke a set-off against the other co-creditors only to the extent of such creditor's ultimate share in the claim.

Lastly, Article 1916 governs the relationship between and among the joint creditors.

Article 1916 – Ultimate sharing

- (1) Unless otherwise provided by the contract or by law, each joint creditor shall be entitled to an equal share of the debtor's payment.*
- (2) A creditor receiving more than receiving his share shall account for the excess to the other creditors.*

Where one of the co-creditors has collected the entire amount of the debt from the debtor(s), there arises an obligation on such creditor to tender an account to his co-creditors. He is held liable to the others for the share in the obligation corresponding to them. A joint creditor who is paid more than his share must then distribute the

surplus between his co-creditors, in proportion of their respective shares. With respect to such distribution between the co-creditors of the debt paid, Article 1916 of the Civil Code provides the mode of distribution. The principle incorporated under Article 1916 is that of equality of shares in the distribution of the payment made by the debtor. This principle may not work where a contrary provision is there in the agreement of the parties, i.e., the co-creditors. Here again, one must insist on the fact that a joint creditorship does not necessarily mean that each creditor is ultimately entitled to an equal share. The judge will have to study the contract.

3.3. Non Joint Obligations

There may be situations where there is plurality of debtors and/or creditors regarding an obligation that is not joint and several one. The obligation may be either indivisible or divisible. Indivisible obligation is treated under Article 1917 of the Civil Code and divisible obligation is treated under Articles 1918 and 1919 of the Civil Code.

3.3.1. Indivisible obligations

The Ethiopian Civil Code has nowhere defined indivisible obligations. Accordingly, it would be better to consult literature and other legal systems about indivisible obligations. Indivisibility is generally a characteristic of the object of the obligation. For instance, a car is indivisible if this is the object of the obligation. The same applies to a given obligation to perform a service. If there exists a plurality of debtors, the situation is de facto very close to a joint obligation. Hence, the rule stated by Article 1917 is the applicability by analogy of the rules governing joint obligations.

In the French law, an obligation is indivisible where corporal or intellectual division of its object is legally or physically impossible. Thus, where the obligation is indivisible, the debtor cannot execute the obligation in part. In such cases, it is

impossible for the debtor to perform his obligation in part, but must be performed altogether.

An indivisible obligation is either absolute or relative. An obligation is absolutely indivisible where the object of the obligation is indivisible under whatever aspect it is envisaged, in such a way that it can never be due without the obligation being indivisible. For instance, in a contract of sale of a horse, obligation of delivery of a horse is absolutely indivisible.

On the other hand, relative indivisibility is present when the thing considered in its natural form is indivisible, although one can conceive that it can be executed successively and by fractions. The best example given to this kind of impossibility is the obligation to construct a house.

However, indivisibility of an obligation may also arise from an express provision of the law. In this regard, the law provides that shares and debentures, or bonds are indivisible. (See Articles 434 and 328 of the Commercial Code).

Coming to the Civil Code, natural indivisibility of an obligation is recognized. Article 1917 provides that the provisions regarding joint obligations shall apply by analogy to obligations which are indivisible owing to their nature. The origin is generally natural in origin as stated in this Article. But nothing prevents the parties from stipulating that a given performance will be indivisible even if it is divisible by nature, such as a sum of money. This can be used as a form of security. But it must be explicitly stated in the contract if the rule of Article 1896 is not applicable.

Indivisibility of an obligation has its own effects in case of plurality of debtors and creditors. In this regard, Article 1917 which is the only Article dealing with such obligation simply provides that the provisions dealing with joint obligations are to apply by analogy to obligations that are indivisible. Accordingly, it is important to

see the various effects of indivisibility where there are several debtors and/or creditors.

In case of plurality of debtors, firstly, since the object due to not being susceptible of a partial performance, the co-debtors must necessarily execute the obligation at one time. It follows that each one of the co-debtors can be sued for the total debt or obligation. Where the obligation is fully discharged by one of the co-debtors, the obligation is validly discharged. Accordingly, the creditor has no right of recourse against the other co-debtors.

Secondly, interruption of period of limitation of actions effected against one of the co-debtors preserves fully the rights of the creditor as against all. (See Articles 1899 cum 1917 of the Civil Code).

In general, the provisions dealing with jointly and severally liable co-debtors is applicable for those co-debtors whose obligation are indivisible by its own nature (see Articles 1896 through 1909 cum 1917 of the Civil Code).

On the other hand, indivisibility of obligation may have certain effects in cases where there are pluralities of creditors. Each creditor may demand performance of the obligation in full and may validly discharge the debtor. However, each creditor may not be entitled for remission of entire debt or make novation agreement over the total debt. If this happens, the debtor remains bound to the other creditors, deductions being made of the part of the one who dealt with him.

Nevertheless, interruption caused by one of the creditors, and suspension of prescription established in favor of one of them, benefits all others. On top of this, if one of the creditors received the payment, he is required to reimburse the extra amount he received.

To sum up, for the case of plurality of creditors in case of indivisible obligation, refer to Articles 1910 through 1916 of the Civil Code.

3.3.2. Divisible obligations

The other type of obligation treating the concurrence of two or more debtors and, or creditors is the concept of divisible obligations. Under our law divisible obligations in cases of plurality of debtors is governed by Article 1918 while the case of plurality creditors is regulated by Article 1919.

Article 1918, which deals with plurality of debtors to a divisible obligation, defines such obligation negatively. This means according to such provision, an obligation is said to be divisible where it is neither joint nor indivisible. Thus, the principle underlying divisible obligations among several debtors is that the debt is to be divided into as many fractions as there are debtors. Unlike the case of joint obligations, there is no representation among the co-debtors. If the obligation is not a joint one but a divisible obligation, Article 1918 states that each debtor may only be held for his own share.

From this principle the following effects arise. Firstly, each debtor is bound to pay, only his respective portion of the debt which of course is not necessarily equal to that of the others, rather depends on their contract or law in every case. But there may be a situation where one of the debtors has acted as a surety and guaranteed the performance of the obligation by the principal debtor. In such cases, such debtor will be held liable for his own share in the debt as well as for that of the debtor whose performance he guaranteed to the guarantor.

Secondly, acts interrupting the period of limitation directed against only one of the debtors cannot be asserted against the other debtors.

Thirdly, the risk of insolvency of one of the debtors is assumed by the creditor and not by the other debtors.

Fourthly, where the divisible obligation is accompanied by a penalty clause, the penalty is incurred by the debtor who breaches the obligation and only for the portion of the principal obligation for which he is bound.

Fifthly, the default of one of the debtors is absolutely without effect as to others. Then a remission of debt made by a creditor to a co-debtor will only have effect with regard to the share of such debtor.

Next, the remission of the debt made to one of them is without incidence on the others. The remission does not profit nor burden them, because their obligation is divisible. For example, A, B and C are not joint debtors of P according to the contract which binds them. Suppose they owe P respectively; 450, 300 and 150 Birr. Even if P remits the entire debt of B, this has no influence on A and C, who will stand to pay 450 and 150 Birr respectively.

Lastly, a novation agreement made between a creditor and a co-debtor will release only such co-debtor, but no effect with respect to the other co-debtors.

Thus, one has to imagine a situation where the obligation is neither joint nor indivisible; in practice this will be the case for a divisibility stipulated by contract, and therefore it will have a relatively limited scope, especially because it is of little interest to creditors. Each debtor of a divisible obligation will only be liable for his own share, which of course is not necessarily equal to that of the others. The judge will have to check the contract in every case.

The effect of a divisible obligation is that each link to the creditor is independent of the others. If one is void, it does not affect the others. If one is paid it does not affect

the share of the others. A notice to one debtor does not concern the others. The interruption of limitation in respect of one debtor does not affect his co-debtors. Article 1918(3) of the Civil Code, moreover, states that the fact that the obligation is divisible does not affect the suretyship, which may have been granted by one debtor to the principal debtor.

Similar to Article 1918, Article 1919 provides that obligations which are neither joint nor indivisible are considered to be divisible among the creditors. In respect of creditors, the divisible nature of the obligation means that each creditor may only claim his share of the obligation and no more, whether determined by contract or by law (Article 1919 of the Civil Code).

This aspect explains that the situation considered by Article 1919 will in practice be far more frequent than that of joint creditors. The interest for the creditor, who is generally the dominant party in the contract, is that the work, expense and liability of determining the respective shares of the creditors, of sending them the payments and of proving that such payments have been made rests on the paying debtor.

The basic principle underlying divisible obligations among several creditors is that the portion of the various creditors in a divisible obligation are to be considered as being as many distinct credits as there are creditors. Based on this principle, the following principles arise.

Firstly, each creditor may claim only his respective portion of the debt that is determined based on the contract. Secondly, acts interrupting a period of limitation proceeding from only one of the creditors do not benefit the other creditors. Moreover, remission of debt, novation, set-off applies only to the co-debtor who is the beneficiary of them.

Chapter Summary

Most contracts are created through the mutual agreement of only two parties; one creditor and one debtor. It is not uncommon, however, to witness, in today's increasingly complex commercial transactions, contracts involving several parties both on the creditors' and debtors' side.

Where there is plurality of debtors, the law takes a presumption that these co-debtors are jointly and severally liable for the performance of the obligation. In such a case, each co-debtor is considered as the debtor of the entire obligation as if he were the only debtor. Each debtor is also considered to be the agent of all the other co-debtors – the principle of reciprocal representation or mandate.

After one co-debtor performs the entire debt to the creditor, he is entitled to be subrogated to all the rights of the creditor and require contribution from the remaining co-debtors in proportion to their share.

Several debtors may be relieved the burdensome joint and several liability by their own agreement with the creditor or by the provisions of the law. In such a case, each debtor shall be held accountable only for his lawful share.

In the case of plurality of creditors, unlike plurality of debtors, the law takes presumption against joint entitlement. Thus, each co-creditor is entitled to claim performance of the obligation to the extent of his lawful share. The creditors may, however, have joint entitlement where such is expressly agreed as between them and the debtor/s. In case of joint entitlement, each co-creditor shall be entitled to claim the performance of the entire obligation to him, but shall remit the excess amount to the other creditors in proportion to their shares. The debtor shall also be released from his obligation by effecting payment to any one of the joint creditors, save the exception laid down under Article 1911 (3).

Indivisible obligations, which are indivisible owing to their nature or legal or contractual prescriptions, have similar effects with joint obligations.

Review Questions

A and B borrowed 60,000.00 birr from C and D by signing a single contract of loan. Answer the first three questions based on this fact.

1) What is the obligation undertaken by the debtors, simple joint or joint and several? Why?

2) Will the debtors be released from their obligation by paying the whole debt only to C?

3) To what extent of the debt will D be entitled to make a remission?

4) A, B and C jointly borrowed 300,000 Birr from Z on January 1, 2007. Perfectly after two years on January 1, 2009, A settles the entire debt as soon as he was required to do so by the creditor. On January 2, 2009, the creditor declared he has made a remission for the exclusive advantage of B. A week after the extinguishment of the obligation A requires contribution from B and C in proportion to their shares in the debt. B invoked the remission made for his exclusive advantage and refused to make any contribution. Do you think B is relieved of his obligation by the remission made by the creditor? Why or why not?

Answer key for Review Questions

Here are answer keys for the review questions raised under each respective chapter. You are advised not to rush in to the answers before attempting the questions.

Answer keys for Chapter One

1. Set-off and payments are not the same although both are grounds of extinction of obligation. Set-off is not mode of payment. This can be exemplified by the validity of set-off made with an incapable person and invalid nature of payment made to incapable person unless it is proved that the incapable benefited. Therefore, we can say that set off is not part payment and the creditor can refuse if the debtor raises it on his favor.

2. Merger happens when the position of creditor and debtor become one and the same and with its peculiar effect brings an obligation to an end. Merger has certain peculiar characteristics, as obligation extinguished by merger might revive in certain circumstances. The circumstance which results in revival of obligation extinguished by merger is when the merger comes to an end. This is typically the case where a person is declared absent and his property is taken by one of his heirs. If the absentee previously has a claim against his heir but if he is declared absent, we can say that merger has happened and the heir will no more bound to pay what he owed from his father. But there are cases where the absentee may reappear as you well remember it in your law of person's course. Therefore, merger will come to an end when the absentee reappears. And the original obligation of paying the debt will revive.

Regarding calculation of period of limitation-The rule of calculation is to omit the initial day from the count to end the period the very end of the last day of the period.

One looks for the day in the month and the month which the same numeral as the day when the limitation started but ten years later.(try on your own how it be calculated having regard to exceptional cases of Gregorian calendar and the thirteenth month of Ethiopia)

3. **Invalidation** means making an effective contract ineffective when it has a problem in its formation. Invalidation is related with the problem in the formation of the contract. Invalidation comes into question when one of the parties wants to be free from the contractual obligation owing to a problem in the formation of the contract.

Cancellation on the other hand is making a contract ineffective when there is non-performance. Cancellation of a contract is one effect of contract in that the contract is formed within the legally provided requirements. When one of the contracting parties fails to perform a contract the other party might cancel the contract as one remedy of non-performance of the contract. There might be again other grounds of cancellation like the condition which results in cancellation.

Termination of contract is making the contract ineffective starting from the time of termination of the contract.

The other basic difference between *invalidation and cancellation* is their ground. The ground for invalidation is defect in its formation while the ground for cancellation is non-performance. This does not, however, mean that the only difference is in their ground. They are also different in their effect. Even though the effect of both invalidation and cancellation is restitution, cancellation additionally entitles the party a compensation that rewards the benefit of contract.

The basic difference between *termination on the one hand and invalidation and cancellation on the other* is their effect. The ground of termination is not again attributable to defect in the formation of a contract or non-performance on one of the

parties. Termination can be made by agreement, unilaterally by one party or by court order. However, the grounds of invalidation and cancellation are defect in consent and non-performance in accordance to the terms of the contract respectively. In relation to the effect of the two categories as stated above, invalidation and cancellation have retrospective effect while the effect of termination is prospective

4. In principle where the will expressed in the form of offer and acceptance did not achieve its intended purpose by the parties at the making of the contract we can say that there is a defect in consent and such contract may be invalidated provided that an application to that effect is lodged before court of law. For stronger reason if a minor concludes a contract, the same may be invalidated up on the application of persons mentioned under article 314 of the civil code. And therefore in the case at hand the contract may be invalidated and the parties should be put in a position they would be had the contract not been made. But there are times when such contract may not be invalidated. This is the case where the right of third parties may be prejudiced by the invalidation of the contract. Therefore, third parties in good faith should be protected and the tutor can ask for invalidation without affecting the right of Behailu.

5. A void contract is an empty one. It does not achieve its intended legal consequences. This nature may arise from or caused where the object of the contract is unlawful, immoral impossible or undefined. Such lacunae in the object of the contract will make it void and thereby ineffective and is considered as if it has never existed. In conclusion, a contract which is incapable of having effect according to its apparent purport is said to be void contract and is considered as nonexistent from the very beginning. Even one could not call it as a contract.

Whereas, one which may take effect but is liable to be deprived of its effect at the option of one of the parties is said to be a voidable contract. In other words, this is to

say that it will have effect until invalidated. The cause of such invalidity is either effect in consent or incapacity. Such a contract will have effect until invalidated.

6. The possible defect here in the case at hand relates to that of incapacity of B. In this regard the provision of Article 1808(1) states that only the person whose consent has been vitiated by that defect may require the invalidation of it. No other person is allowed to require it. So, A cannot request the court for the invalidation of the contract.

7(a). Where the object of the contract is unlawful, any of the parties may ask for the invalidation of the contract. Even the public prosecutor will be allowed to bring an action, not for the invalidation of the contract but for the declaration of nullity of it. Because we have said that a void contract is not contract, it has no legal existence from the very beginning.

7(b). Try it by yourself by raising the controversy as to void and voidable contracts.

8. It is clear that where there is a defect in consent the contract will be invalidated provided that an action to this effect will be brought before the court within two years from the ground of invalidation having been disappeared. This is provided under Article 1810(1) of the civil code. But where the defect is due to unconscionability the period within which such action should be brought is different. Sub (2) of the same provision provides that an action to this effect shall be brought to the attention of the court within two years from the making of the contract.

Answer keys for Chapter Two

1. Andreas should discharge his obligation on May 2, 2009. Pursuant to Article 1860, where the period is fixed in terms of months the obligation shall be due on such day of the last month as corresponding by its number to the day of the making of the

contract. Thus, had it not been for the additional time, the obligation would have fallen due on March 1, 2009. But because a two month's additional period is provided, Article 1864 shall be applied to calculate the due date in the case of additional period and this provision stipulates that the new period starts to run from the next day of the expiry of the first period. The first period expires on March 1, 2009 and as such the new period starts to run from March 2. By adding two months on March 2, we can arrive at May 2, 2009.

2. Mamush (the conditional right holder pending the fulfillment of the condition) is entitled to perform acts of management (Article 1874). Leasing a property for a term not exceeding three years is an act of management (Article 2204 (1)). Thus, Mamush is entitled to lease the diesel generator which is subject to the suspensive condition. Despite such an entitlement, he cannot perform acts of management in bad faith. Mamush leases the generator for a term of three years knowing that he is going to celebrate his marriage (the suspensive condition the fulfillment of which entitles Meried to claim delivery of the generator) after a week time. Thus, he shall not be considered to have good faith while performing the act of management (leasing the generator). Consequently, Meried can require payment of damages from Mamush and the latter may be ordered to give back the money he has received from leasing the generator.

3 (a). In the case of alternative obligations, in the absence of any contrary stipulation, the debtor shall have the right to choose the obligation, in fact from the alternatives defined by the contract, to be performed. Snap Computers PLC, being the debtor of delivering the computers, will have the right of choosing either the delivery of laptops with Apple brand or Toshiba brand.

3 (b). The right to exercise an option does not mean that the debtor may mix the options to satisfy the creditor. Thus, though Snap Computers PLC has the right of

option it may not deliver partly from each brand. If at all this has to be done, the consent of the University should be secured.

3 (c). The rule prohibiting mixing of options is applicable against both the creditor and the debtor. Thus, even the University will not have such right of performance by mixing the options.

4. This is left for your own consideration.

Answer keys for Chapter Three

1. Since there is no clear agreement between the debtors and the creditor which specify the type of obligation undertaken by the several debtors, the presumption of Article 1896 shall be applicable and the debtors shall undertake joint and several liability.

2. Try it by yourself in light of the arguments raised in relation to Article 1911.

3. Several creditors, whether they have joint entitlement or not, are entitled to make a remission to the extent of their ultimate share in the claim. Because there is no clear stipulation about the ultimate share of the creditors, we shall presume equality of shares and as such D shall be entitled to make to make a maximum remission of 30,000.00 Birr.

4. B cannot claim that his debt is remitted because the remission was made after one of the debtor, A, has already performed the obligation to the creditor. Thus, the creditor makes a remission for a debt which has already been extinguished as a result of proper performance of the obligation. This means, the creditor's remission is not valid and B has no option except making the required contribution to the extent of his ultimate share in the debt.

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2- አቶ ፍስህ ወርቅነህ
3- አቶ አብዱልቃድር መሃመድ
4- አቶ ሰንዱ አለሙ
5- አቶ መስፍን ዕቁበዮናስ

አመልካች:- ወ/ሮ ፅጌ አጥናፌ

መልስ ሰጭ:- ባላምባራስ ውቤ ሺበሺ

ተዋዋይ ወገን ሳይሆን ውል እንዲሠረዝ ሰለመጠየቅ - በእስተዳደር አካል የተሰጠ የባለቤትነት ማረጋገጫ ደብተር ፍ/ቤት የመሠረዝ ሥልጣን የሌለው ሰለመሆኑ የፍትህብሔር ህግ ቁጥር 1808/2/፣ 1198/2/

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ውሳኔ:- የፌዴራል ጠቅላይ ፍ/ቤት የሠጠው ትዕዛዝ ተሸሯል።

- 1- ተዋዋይ ወገን ሳይሆን በተፈፀመ ውል ምክንያት መብቱ ተነክሏል በማለት ውሉ እንዲሠረዝ ክስ ለማቅረብ የሚቻለው ውሉ የተደረገበት ጉዳይ ወይም ምክንያት ከህግ ውጭ ከሆነ፤ ለህሊና ተቃራኒ ወይም ለውል አፃፃፍ የተደነገገው ፎርም አልጠበቀም በሚል ምክንያት ብቻ ነው። ከዚህ ውጭ የሚቀርብ ጥያቄ የክስ ምክንያት የለውም።
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መዝገቡ ተመርምሮ የሚከተለው ውሣኔ ተሰጥቷል፡፡

ፍ ር ድ

አመልካች የፌዴራል የመጀመሪያ ደረጃ ፍ/ቤት የሰጠውን ውሣኔ በመሻር የፌዴራል ከፍተኛ ፍ/ቤት የሰጠውና የፌዴራል ጠቅላይ ፍርድ ቤት ይፀናው ውሣኔ መሠረታዊ የሕግ ስህተት ተፈጽሞበታል በማለት እንዲሻር ጠይቀዋል፡፡

ጉዳዩ የተጀመረው አመልካች በፌዴራል የመጀመሪያ ደረጃ ፍ/ቤት ባቀረቡት ክስ ሲሆን ይዘቱም ሲጠቃለል በዚህ መዝገብ የሌሉበት የሰር 2ኛ ተከሣሽ በሆነው ባለቤቱ በአቶ ተስፋዬ ውቤ የተመዘገበውን እና የጋራ ንብረታችን የሆነውን በወረዳ 20^ኛ ቀበሌ 44 ፣ የቤ.ቁ. 399 የሆነውን መኖሪያ ቤት የሰር 2ኛ ተከሣሽ ባለቤቱ ከአሁን መ/ሰጭ ጋር በመመሳጠር ለአሁን መ/ሰጭ (የሰር 1ኛ ተከሣሽ) ለማስተላለፍ የስምምነት ውል አድርገዋል፤ ስምምነቱ መብቱን የሚነካ በመሆኑ ውሉ እንዲፈርስ የሚል ነው፡፡ የሰር 2ኛ ተከሣሽ ለክሱ ተቃውሞ እንደሌለው የገለፀ ሲሆን የአሁን መ/ሰጭ በበኩላቸው ክሱ በፍ/ብ/ሕ/ቁ.1810 መሠረት በይርጋ ይታገዳል፤ እኔ በሕይወት ያለሁ በመሆኑ ቤቱ ለሰር 2ኛ ተከሣሽ በውርስ ተላልፎአል ሊባል

አይችልም፤ የቤቱ የባለቤትነት ማረጋገጫ ደብተር በስር 2ኛ ተከሣሽ ስም ይገኛል ለተባለው ደብተሩ የተገኘው በሀሰተኛ መንገድ መሆኑን ደብተሩ በሰሜ እንዲዛወር የእርት ስምምነት ፈርሟል፤ በመሆኑም ቤቱ የራሴ ስለሆነ ክሱ ውድት ይደረግ በማለት ጠይቀዋል። ፍ/ቤቱም ጉዳዩን መርምሮ ቤቱን የአሁን አመልካች እና የስር 2ኛ ተከሣሽ የጋራ ንብረት ነው፤ የስር 2ኛ ተከሣሽም የጋራ ንብረቱን ያለአሁን አመልካች ፈቃድ የማስተላለፍ አይችሉም በማለት የእርት ስምምነቱን ውል ፍ/ቤቱ አፍርሶታል በማለት ወሰነ። ጉዳዩ በይግባኝ የቀረበለት የፌዴራል ከፍተኛ ፍ/ቤት በበኩሉ የአሁን አመልካች ባቀረቡት ክስ የአሁን መ/ሰጭ ክስር 2ኛ ተከሣሽ ጋር ያደረጉት ስምምነት መብቱን ስለሚነካ ስምምነቱ ይፍረስልኝ ያሉት ያለአግባብ ነው በማለት የስር ፍ/ቤት ውሣኔን ሽርታል። የፌዴራል ጠቅላይ ፍርድ ቤትም የከፍተኛው ፍ/ቤት በሰጠው ውሣኔ በምክንያቱ ባይሰማማም በውጤቱ በመስማማት አጽንዖታል።

አመልካች የሰበር አቤቱታ ለዚህ ችሉት ያቀረቡት የፌዴራል ከፍተኛ ፍ/ቤት በሰጠውና የፌዴራል ጠቅላይ ፍርድ ቤት ባፀናው ውሣኔ ቅር በመሰኘት ሲሆን ይዘቱም ሲጠቃለል በስር ፍ/ቤት ያቀረቡት የእርት ስምምነት ይፍረስልኝ የሚል ጥያቄ ሲሆን የእርት ስምምነቱም ውል እንጅ ውሣኔ አይደለም፤ ከፍተኛ ፍ/ቤቱ በውሣኔው የጠቀሳቸው ድንጋጌዎች ከጉዳዩ ጋር የሚገናኙ አይደለም፤ በመሆኑም አቤቱታ የቀረበበት ውሣኔ እንዲሻር የሚል ነው። መ/ሰጭ በበኩላቸው አመልካች ያቀረቡት ክርክር የፍሬ ነገር በመሆኑ በዚህ ሰበር ችሉት የሚታይ አይደለም፤ በተደረገው የእርት ስምምነት አመልካች የሌላችበት መሆኑ ክስ መመሥረት አትችልም በማለት አቤቱታው ውድቅ እንዲደረግ ጠይቀዋል።

በግራ ቀኙ የቀረበው ክርክር ከፍ ብሉ የተመለከተው ሲሆን ችሉቱም ክርክሩን እና አቤቱታ የቀረበበትን ትእዛዝ አግባብነት ካለው ሕግ ጋር አገናዝቦ መርምሮታል።

በዚህም መሠረት አመልካች የእርቅ ስምምነቱን መሠረት በማድረግ ክስ ለማቅረብ የሚያስችላት የክስ ምክንያት አለ? ወይስ የለም? እና ፍ/ቤት ስልጣን ባለው አካል የተሰጠን የባለቤትነት ማስረጃ ደብተርን ሐሰተኛ በሆነ መንገድ የተገኘ ነው በሚል የመሠረዝ ስልጣን አለው? ወይስ የለውም? የሚሉትን ነጥቦች በጉዳዩ መመለስ ያለባቸው ሆኖ አግኝቷቸዋል።

የስር ፍ/ቤት አቤቱታ ለቀረበበት ውሣኔ መሠረት የሆነውን ውሣኔ የሰጠው አመልካች ባቀረቡት ክስ መነሻነት ነው። አመልካች ባቀረቡት ክስ የጠየቁት ዳኝነት በአሁን መ/ሰጭና በስር 2ኛ ተከሣሽ መካከል የተደረገው የእርቅ ስምምነት ውል መብቱን የሚነካ በመሆኑ እንዲሻር የሚል ነው። ይሄም ለከሣቸው መሠረት ያደረጉት እሣቸው የሌሉበትንና በአሁን መ/ሰጭ እና በስር 2ኛ ተከሣሽ መካከል የተደረገውን የእርቅ ስምምነት ውል መሆኑን በግልጽ ያሳያል። በፍ/ብ/ሕ/ቁ.1676(1) መሠረት ስለ ውሉች በጠቅላላ የተደነገጉት ድንጋጌዎች በዚህ ጉዳይ አግባብነት ያላቸው ናቸው። ከእነዚህ ድንጋጌዎች በፍ/ብ/ሕ/ቁ. 1808(2) መሠረት ከተዋዋይ ወገኖች ውጭ የሆነ ማንኛውም ጥቅም አለኝ የሚል ሰው ውሉ እንዲሠረዝ የሚጠይቀው ውሉ የተደረገበት ጉዳይ ወይም ምክንያት ከሕግ ውጭ ከሆነ ወይም ለሕሊና ተቃራኒ ወይም ለውል አፃፍ የተደነገገው ፎርም አልተጠበቀም በሚል ምክንያት ብቻ ነው። በዚህ ጉዳይ የእርቅ ስምምነት ውል ተብሎ የተገለፀው የተደረገበት ምክንያት የማይንቀሳቀስ ንብረት ባለቤትነት ማረጋገጫ ደብተር የወጣበትን ስም ማዛወር ሲሆን ይህም ከሕግ ውጭ ወይም ለህሊና ተቃራኒ ነው የሚባል አይደለም። የእርቅ ስምምነት ውል ነው የተባለው ለውሉ የተደነገገው ፎርም አልተጠበቀም የሚል ክርክር ደግሞ አመልካች አላቀረቡም። እነዚህ ባልተሟሉበት ሁኔታ አመልካች የሌሉበት (ያልገቡት) ውል ይሰረዝ የሚል ክስ የሚያቀርቡበት ሕጋዊ ምክንያት የሌለ በመሆኑ የስር ፍ/ቤት መጀመሪያውን የክስ ምክንያት የሌለ በመሆኑ አመልካች በፍ/ብ/ሥ/ሥ/ሕ/ቁ.33 መሠረት አመልካች ክስ ለማቅረብ የማይችሉ ናቸው በማለት ክሱን

መዝጋት ነበረበት። የፌዴራል ከፍተኛ ፍ/ቤትም ይሄንን ስህተት ማስተካከል ያለፈው በአግባቡ አይደለም። የፌዴራል ጠቅላይ ፍርድ ቤቱም ይሄን ስህተት በተመሳሳይ ሁኔታ ማስተካከል ሲገባው አመልካች ባቀረበችው ክስ እንዲሰረዝ የጠየቀችው የእርት ስምምነት ውል ሳይሆን ውሣኔ ነው በሚል ይግባኝን ውድቅ ማድረጉን ከትእዛዙ መረዳት ይቻላል። በመሠረቱ እንዲሰረዝ የተጠየቀው ጠቅላይ ፍ/ቤቱ እንዳለው ውሣኔ ነው ቢባል እንኳን በቤቱ ላይ መብት አለኝ የሚል ወገን በአፈፃፀም ሆነ በሌላ በማናቸውም ሁኔታ ቤቱን በሚመለከት ክስ ሲያቀርብ አመልካች ቀርበው ከሚከላከሉበት ሁኔታ በቀር ክስ ሳይቀርብባቸው በራሳቸው ክስ በማቅረብ ውሣኔው ይሰረዝልኝ የሚል ጥያቄ የሚያቀርቡበት የሕግ አግባብ የለም። ይሄም አመልካች የእርት ስምምነት ውል ነው ያሉት አንዱ ጠቅላይ ፍ/ቤት ድምዳሜ ውሣኔ ነው ቢባል እንኳን አመልካች ይሰረዝልኝ የሚል ክስ ሊያቀርቡ እንደማይችሉ የሚያመለክት ነው።

በሌላ በኩል ደግሞ የፌዴራል ከፍተኛ ፍ/ቤት ከፍ ብሎ በተብራራው ምክንያት የስር ፍ/ቤትን ውሣኔ መሻር ሲገባው ጉዳዩን መርምሮ የስር 2ኛ ተከሣሽ ያገኘው የባለቤትነት ማስረጃ ደብተር በሐሰተኛ መንገድ የተገኘ ነው፤ በዚህም ምክንያት በፍ/ብ/ሕ/ቁ. 1195(1) የተደነገገው የባለቤትነት ማስረጃ ደብተር የያዘ ሰው የቤቱ ባለሀብት እንደሆነ ይቆጠራል የሚለው የህሊና ግምት በፍ/ብ/ሕ/ቁ.1196(ለ) መሠረት ፈራሽ ሆኗል፤ በመሆኑም የስር 2ኛ ተከሣሽ የቤቱ ባለንብረት ያልሆነ በመሆኑ የእርት ስምምነቱ የአመልካችን መብት አይነካም በማለት ነው የስር ፍ/ቤት ውሣኔን የሻረው። ይሄም ፍ/ቤቱ የአስተዳደር አካል (ክፍል) የሰጠውን የባለቤትነት ማስረጃ ደብተር መሠረዙን ያሳያል። በመሆኑም ፍ/ቤቱ በፍ/ብ/ሕ/ቁ. 1196 መሠረት የአስተዳደር ክፍል የሰጠውን የባለቤትነት ማስረጃ ደብተር የመሠረዝ ስልጣን እንዳለውና እንደሌለው መመርመሩ አስፈላጊ ነው። በመሠረቱ የፍ/ብ/ሕ/ቁ.1196 የሚመለከተው አንድ የአስተዳደር ክፍል (አካል) የሰጠው የባለቤትነት ማስረጃ ደብተር በድንጋጌው በተመለከቱት ሁኔታዎች መሆኑን ባረጋገጠ ጊዜ የሰጠውን

የባለቤትነት ማስረጃ ደብተር የሚሰርዝበትን አግባብ ነው። በመሆኑም የሰጠውን የባለቤትነት ደብተር የመሠረዝ ስልጣን ደብተሩን የሰጠው የአስተዳደር አካል እንጅ የፍ/ቤት አለመሆኑን ከፍ/ብ/ሕ/ ቁ.1198(2) አግባብ ጭምር መረዳት የሚቻል ነው። ይህ ከሆነ ደግሞ የአስተዳደር ክፍሉ የሰጠውን የባለቤትነት ማስረጃ ደብተር በአስተዳደር ክፍሉ እስካልተሠረዘ ድረስ የባለቤትነት ደብተር ያለው ሰው በፍ/ብ/ ሕ/ቁ.1195(1) በተደነገገው መሠረት የቤቱ ባለንብረት እንደሆነ መቆጠሩ የሚቀርበት የሕግ አግባብ አይታይም። በዚህ ረገድ የፌዴራል ጠቅላይ ፍርድ ቤት የፌዴራል ክፍተኛ ፍ/ቤትን ውሣኔ የተቸው ክርክሩ ሳይቀርብለት ትንታኔ የሰጠው በአግባቡ አይደለም በሚል እንጅ ፍ/ቤቱ የአስተዳደር አካል የሰጠውን የባለቤትነት ማስረጃ ደብተር የመሠረዝ ስልጣን የለውም በሚል አይደለም። በመሆኑም የፌዴራል ጠቅላይ ፍርድ ቤት ይህንንም በከፍተኛ ፍ/ቤት ውሣኔ የሚታየውን ስህተት ሳይቀርብለት የቀረበለትን ደግሞ በፍ/ብ/ሥ/ሥ/ሕ/ቁ. 337 መሠረት የሰረዘው በአግባቡ ሆኖ አልተገኘም።

ው ሣ ኔ

1ኛ/ አመልካች በሰር ፍ/ቤት ያቀረቡት ክስ የክስ ምክንያት የለውም በማለት ተወስኗል።

2ኛ/ እንዲሁም በፍ/ብ/ሕ/ቁ.1196 መሠረት ለአከራካሪው ቤት ከአስተዳደር አካል የሰጠውን የቤት ባለቤትነት ማስረጃ ደብተር የመሠረዝ ሥልጣን ያለው ደብተሩን የሰጠው የአስተዳደር አካል እንጂ ፍ/ቤት አይደለም በማለት ተወስኗል።

3ኛ/ ስለሆነም የፌዴራል ጠቅላይ ፍ/ቤት በመ.ቁ. 13999 ጥር 14/1996 ዓ.ም በሰጠው ትእዛዝ አመልካች በሰር ፍ/ቤት ያቀረቡት ክስ የሥነ ሥርዓት ሕጉን ተከትሎ የቀረበ እንዳልሆነ ጠቅሶ የሰጠውን ትችት የሚቀበለው ቢሆንም በመጨረሻ በደረሰበት መደብዳሚያ ግን ባለመስማማት ትእዛዙ በፍ/ብ/ሥ/ሥ ሕግ/ቁ. 348(1) መሠረት ቸርታል።

የማይነሱበት የአምስት ዳኞች ፌርማ አለበት።

- ዳኞች፦**
1. አቶ ከማል በድሪ
 2. አቶ ፍስሐ ወርቅነህ
 3. አቶ ዓብዱልቃድር መሐመድ
 4. አቶ መስፍን እቁበዮናስ
 5. ወ/ት ሒሩት መለህ

አመልካች፦ ወ/ሮ እታገሁ ግዛው ጠ/ቶሎሣ ወልዴ ቀረቡ።

- ተጠሪዎች፦**
1. ወ/ሮ አስራት ዮሴፍ ቀረቡ።
 2. ወ/ት ንጋቷ ዮሴፍ ወኪል አስራት ዮሴፍ ቀረቡ።
 3. ወ/ሮ ውዴ ተ/ጊዮርጊስ ቀረቡ።

ፍ ር ድ

ለዚህ የሰበር አቤቱታ መነሻ የሆነው የአሁኑ ተጠሪዎች በፌ/መ/ደረጃ ፍ/ቤት ያቀረቡት አቤቱታ ነው።

ተጠሪዎች በመሠረቱት ክስ አውራሻቸውና አቶ ዮሴፍ ጅሎ ባልና ሚስት በነበሩበት ወቅት ያፈሩትን የጋራ ንብረት የሆነውን ቤት አውራሻቸው ሲሞቱ አቶ ዮሴፍ የራሳቸው ያልሆነውን ንብረት ጭምር አጠቃለው ለአመልካች ስለሸጡ የሽያጭ ውል ይፍረስልን በማለት ጠይቀዋል። ፍ/ቤቱም የተጠሪዎችን ጥያቄ ተቀብሎ ውሉ እንዲፈርስ የወሰነ ሲሆን ጉዳዩን በይግባኝ የተመለከተው የፌ/ከፍተኛ ፍ/ቤትም የይግባኝ ቅሬታውን ሳይቀበለው ቀርቷል።

የአሁኑ አቤቱታ የቀረበውም በዚህ ውሣኔ ላይ ሲሆን ይህ ችሎትም ውሉ ሊፈርስ ይገባል የተባለበትን የሕግ አግባብ ለመመርመር አቤቱታው ለሠበር ችሎት እንዲቀርብ አድርጓል። ግራ ቀጥሎ ክርክራቸውን በጽሁፍ አቅርበዋል። ይህ ችሎትም ጉዳዩን እንደሚከተለው መርምሯል።

ተጠሪዎች በሥር ፍ/ቤት በመሠረቱት ክስ የጠየቁት በአቶ ዮሴፍ ጅሎ እና በተጠሪ መሃከል የተደረገው ውል እንዲፈርስ በመሆኑ 3ኛ ወገን በሌሎች ተዋዋይ ወገኖች የተደረገውን ውል እንዲፈርስ ሊጠይቁ የሚችሉበትን የሕግ መሠረት መመርመሩ ተገቢ ሆኖ አግኝተነዋል። ስለግዴታ መቅረት የሚመለከተው የፍትሐብሔር ሕጉ ውስጥ አንድ ውል ስለሚፈርስበትና ስለሚሠረዝበት ሁኔታ ተደንግጎ እናገኛለን። በዚህም መሠረት አንድ ውል የተደረገበት ጉዳይ ወይም ምክንያት ከሕግ ውጪ ወይም ለሕሊና ተቃራኒ ወይም ለውሉ አፃፃፍ የተደነገገውን ፎርም ያልጠበቀ የሆነ እንደሆነ ከተዋዋዮቹ አንዱ ወይም ማንኛውም ጥቅም ያለው ሰው ውሉ እንዲሰረዝ ለመጠየቅ እንደሚችል በፍ/ሕ/ቁ 1808/2/ ሥር ተመልክቷል። በዚህ ድንጋጌ መሠረት ከተዋዋዮቹ በተጨማሪ ሌላ 3ኛ ወገን የውሉን መፍረስ ለመጠየቅ የሚችለው ውሉ የተደረገበት ጉዳይ /Object of the contract/ ሕገ ወጥ ወይም ኢሞራላዊ ሲሆን ወይም ውሉ በሕጉ የተመለከተውን የአፃፃፍ ፎርም ሣይከተል ሲቀር ነው። በሌላ በኩል ግን በፈቃድ ጉድለት ወይም በችሎታ ማጣት የተነሣ ውሉ እንዲፈርስ መጠየቅ የሚችለው ውሉ በተደረገ ጊዜ ፈቃዱን ያልሰጠው ወይም ችሎታ ያልነበረው ተዋዋይ ወገን ብቻ ለመሆኑ የፍ/ሕ/ቁ 1808/1/ ያመለክታል።

ወደተያዘው ጉዳይ ስንመለስ የሥር ፍ/ቤት ውሉ እንዲፈርስ የወሰነው አቶ ዮሴፍ የጋራ የሆነውን ንብረት ክፍፍል ሣይደረግበት አጠቃለው መሸጣቸው ውሉን ሕገወጥ ያደርገዋል በሚል ነው። ነገር ግን ለክርክሩ ምክንያት የሆነው ውል የተደረገበት ጉዳይ ወይም ምክንያት የቤት ሽያጭ ነው። ይህ ደግሞ ሕገ ወጥ ጉዳይ ነው የሚባል አይደለም ውሉ የተደረገበት ጉዳይም ሕገወጥ ባለመሆኑ 3ኛ ወገኖች ውሉ እንዲፈርስ የሚጠይቁበት ምክንያት አይኖርም።

በሌላ በኩል ደግሞ በፈቃድ ጉድለት ምክንያት ውሉ እንዲፈርስ መጠየቅ የሚችለው ይኸው ፈቃዱን አልሠጠሁም ወይም ችሎታ አልነበረኝም የሚለው ተዋዋይ ወገን ብቻ በመሆኑና ተጠሪዎችም ተዋዋይ ወገኖች ያልነበሩ ወይም ከተዋዋይ ወገኖች አንደኛውን የሚወክሉ ወይም የሚተኩ ባለመሆናቸው ውሉ እንዲፈርስ ለመጠየቅ በሕጉ መብት

አልተሰጣቸውም። በመሆኑም ፍ/ቤቶች ተጠሪዎች ጥያቄ ውሉ እንዲፈርስ በመወሰናቸው የሕግ ስህተት ፈጽመዋል።

ው ሣ ኔ

1/ የፌ/መ/ደረጃ ፍ/ቤት በመ/ቁ 313 በ05/05/95 የሰጠው ውሣኔ እና የፌ/ከፍተኛ ፍ/ቤት በመ/ቁ 18052 በ16/03/96 የሰጠው ትዕዛዝ ተሸሯል።

2/ ተጠሪዎች ክርክር የተነሣበት ውል እንዲፈርስ ለመጠየቅ የሚያስችል መብት የላቸውም።

3/ ወጪና ኪሣራ ግራ ቀፊ ይቻላል።

መዝገቡ ተዘግቷል። ወደ መ/ቤት ይመለስ።

የማይነበብ የአምስት ዳኞች ፊርማ አለበት።

ነ/ዓ

ዳኞች፡- አቶ መንበረፀሐይ ታደሰ

አቶ አብዱልቃድር መሐመድ

ወ/ሮ ደስታ ገብሩ

አቶ መስፍን ዕቁበዮናስ

ወ/ሪት ሃሩት መለሰ

አመልካች፡- ዩናይትድ ቴክኒካል ኢኮኑመንት ኩባንያ

ተጠሪ፡- የኢትዮጵያ ሞተርና መሳንዲስነት ኩባንያ

ስለ ውል መፍረስ - ሀጋዊ ደንብን ያልተከተለ ውል ስለሚፈርስበት

ሁኔታ እና የውል መፍረስ በተዋዋይ ወገኖች ላይ የሚያወጣው ውጤት

- የፍ/ብ/ሀ/ቁ 1716(1)፣ 1815፣ 1816 እና 1817

የፌዴራል ጠቅላይ ፍርድ ቤት በአመልካችና በተጠሪ መካከል የተደረገው የመኪና ሽያጭ ውል ከፈረሰ በኋላ ገንዘቡ ለአመልካች ተመልሶ በመንግስት የተወረሰችው መኪና ወደ ጅቡቲ ትመለስ በማለት የከፍተኛው ፍርድ ቤት የፌዴራል መጀመሪያ ደረጃ ፍርድ ቤት የሰጠውን ውሳኔ በማሻሻል የወሰነውን በማፅናቱ የቀረበ አቤቱታ።

ሁ ሳ ኔ ፡- የፌዴራል ጠቅላይ ፍርድ ቤት ይግባኙን በተመለከተ የሰጠው ውሳኔ እና የፌዴራል ከፍተኛ ፍርድ ቤት ወደ ጅቡቲ ትመለስ በማለት የሰጠው ውሳኔ ተሸሯል የፌዴራል መጀመሪያ ደረጃ ፍርድ ቤት ውሳኔ ፀንቷል።

- ውል እንዲፈርስ ከተወሰነ በኋላ ተዋዋዮች ከውሉ በፊት ወደ ነበሩበት እንዲመለሱ የሚወሰነው በውሉ ምክንያት የተሰራውን ሥራ ለማፍረስ የማይቻል ወይም አስቸጋሪ ካልሆነ ነው።

ዳኞች፡- አቶ መንበረፀሐይ ታደሰ

አቶ አብዱልቃድር መሐመድ

ወ/ሮ ደስታ ገብሩ

አቶ መስፍን ዕቁበዮናስ

ወ/ሪት ሃሩት መለሰ

አመልካች፡- ዩናይትድ ቴክኒካል ኢኮኖሚክስ ኩባንያ

ተጠሪ፡- የኢ.ዮ.ጽ.ዋ. ምክር ቤት መሥሪያ ቤት ኩባንያ

መዝገቡ ተመርምሮ የሚከተለው ፍርድ ተሰጥቷል፡፡

ፍርድ

ይህ ጉዳይ የጀመረው የአሁን አመልካች በፌዴራል የመጀመሪያ ደረጃ ፍ/ቤት በተጠሪው ላይ ባቀረበው ክሥ መነሻ ነው፡፡

የክሱ ፍሬ ነገር ከሣሽ ላንድክሩዘር መኪና ለመግዛት ፈልጎ ተከሣሽን የመሸጫ ዋጋ ጠይቆ ጥያቄው በተከሣሽ ተቀባይነት በማግኘቱ ተከሣሹ ባቀረበው የመኪና መሸጫ ዋጋ ተስማምቶ ከሣሽ ገንዘቡን የክፈለ መሆኑን፤ ነገር ግን መኪናው በተከሣሽ ላይሰንስ ጉምሩክ መጋዘን ከገባች በኋላ መኪናው በሕገወጥ መንገድ ስለገባች ማውጣት አትችሉም ሲል ጉምሩክ ስለከለከለ ውሉ ውድቅ ሆኖ ገንዘቡን ከነወለዱ እንዲመለስ ይወሰንልኝ የሚል ነው፡፡

የሥር ተከሣሽ የአሁን ተጠሪም ቀርቦ ከተከራከረ በኋላ ፍ/ቤቱ ውሉ የተደረገው ያለውጭ ምንዛሪ ክፍያ ወደ ሀገር ውስጥ ለሚገቡት ዕቃዎች ሐምሌ 12/1988 ከወጣው ደንብ በኋላ የተደረገ ስለሆነ፤ ውሉም ከዚህ ደንብ ጋር የሚቃረን በመሆኑ በፍ/ሕ/ቁጥር 1716/1/ መሠረት ፈራሽ ነው፡፡

ውሉ ፈራሽ ነው ከተባለ ደግሞ ውጤቱ ተዋዋይ ወገኖች ወደነበሩበት ሁኔታ ሊመለሱ እንደሚገባ የፍ/ሕ/ቁጥር 1815/1/ ስለሚደነግግ በክሥ አቤቱታው ላይ የተመለከተውን ብር 177,184.23 /አንድ መቶ ሰባ ሠባት ሺህ አንድ መቶ ሠማንያ አራት ብር ከሃያ ሦስት ሣንቲም/

የኢትዮጵያ ብር ወይም 26037.36 /ሃያ ስድስት ሺህ ሠላሣ ሰባት ብር ከሠላሣ ስድስት ሣንቲም/ የአሜሪካን ዶላር ተከማሽ ለከማሽ ይክፈል፤ ዳኝነት በታሪፋ ልክ፤ የጠበቃ አበል 15% ልዩ ልዩ ወጪ 100 /አንድ መቶ ብር/ ጨምሮ ለከማሽ እንዲከፍል ሲል ወስኗል።

የአሁን ተጠሪም በዚህ ውሣኔ ቅር በመሰኘት ይግባኝ ለፌዴራል ክፍተኛ ፍ/ቤት በማቅረብ ፍ/ቤቱ የይግባኙን ክርክር መርምሮ በፌ/መ/ደረጃ ፍ/ቤት ውሉ ሊፈርስ ይገባል በማለት የተሰጠውን የውሣኔ ክፍል በማጽናት ነገር ግን ውሉ ፈርሶ ተዋዋይ ወገኖች ወደነበሩበት ይመለሱ ሲባል ከሣሽ ለመኪናው የክፈለው ገንዘብ ይመለስለት ማለት ሲሆን፤ ተከማሹም ከውሉ በፊት ወደነበረበት ሁኔታ የሚመለሰው በውሉ ምክንያት ከጅቡቲ ወደ ሀገር ውስጥ ያስገባው መኪና ወደ ጅቡቲ ሲመለስለት በመሆኑ የሥር ፍ/ቤት እንዱን ወገን ወደነበረበት ሁኔታ እንዲመለስ አድርጎ ሌላውን ወገን ባለበት ሁኔታ በመተው የሰጠውን ውሣኔ አሻሽላን ከላይ በተገለፀው ሁኔታ ወደነበረበት ይመለሱ ሲል ውሣኔ ሠጥቷል።

በዚህ ውሣኔ የሥር ከሣሽ ቅር በመሰኘት ለፌ/ጠ/ፍ/ቤት የይግባኝ ቅሬታ ሲያቀርብ ተከማሹም መስቀለኛ ይግባኝ አቅርቧል።

የፌ/ጠ/ፍ/ቤት ዋናውን ይግባኝ በተመለከተ የሕግም ሆነ የፍሬ ነገር መሠረት የለውም በማለት፤ መስቀለኛ ይግባኙም በሥር ፍ/ቤቶች ተመሣሣይ ውሣኔ የተሰጠበት ስለሆነ በአዋጅ ቁጥር 25/88 አንቀጽ 9 መሠረት በይግባኝ ደረጃ ሊታይ አይችልም በማለት መዝገቡን ዘግቶ መልሶለታል።

እንግዲህ የሥር ከሣሹ ማለትም የአሁን አመልካች በ25/8/96 ጽፎ ያቀረበው የሠበር አቤቱታ የፌዴራል ክፍተኛ ፍ/ቤት መኪናዋ ወደ ጅቡቲ ትመለስ የሚለው ተጨማሪ የውሣኔ ክፍል አፈፃፀሙን የተወሳሰበ ስላደረገውና የፌ/ጠ/ፍ/ቤትም ይህንኑ ማረም ሲገባው ማለፉ ሥነ ሥርዓትን የሚቃረን በመሆኑ ይህ ተሻሽሎ የፌ/መ/ደረጃ ፍ/ቤት ውሣኔ ይፀናልን በማለት በዝርዝር አመልክቷል።

የማመልከቻ ግልባጭ ለተጠሪው ደረሰ ጥር 19/1997 ጽፎ ባቀረበው መልስ አመልካቹ የፌ/ጠ/ፍ/ቤት ውሣኔ ከሰጠ በኋላ አፈፃፀሙ እንዲቀጥል ለክፍተኛ ፍ/ቤት ጥያቄ ማቅረባቸው በውሣኔው እንደተስማሙበት

የሚቆጠር ነው ለዚህ ችሎት ባቀረቡት የሰበር አቤቱታም ውሣኔው መሠረታዊ የሕግ ስህተት ያለበት መሆኑን አላሳዩም፤ ውሉ ሊፈርስ ይገባል ሲባል ተዋዋይ ወገኖች ወደነበሩበት ሁኔታ ይመለሱ መባሉም ትክክል ነው አመልካች መኪናውን አልተረከቡም ለሚሉት እስተደሞ ያለቀሰት ክርክር ስለሆነ አሁን ሊነሣ አይገባውምና አቤቱታው ተሠርዞ ተገቢው ኪሣራ ተቋርጦልን እንሠናበት በማለት የተከራከረ ሊሆን አመልካችም አቤቱታውን በሚያጠናክር መልኩ የመልስ መልስ ሰጥቷል።

በዚህ መዝገብ የቀረበው ክርክር ከፍ ብሎ በዝርዝር የተመለከተው ሲሆን ውሣኔ ሊያገኝ የሚገባው ጭብጥ፤ በአመልካችና በተጠሪው መካከል የነበረው የመኪና ሽያጭ ውል ፈርሶ ወደነበሩበት ይመለሱ ሲባል ለአመልካቹ ገንዘቡ እንዲመለስለት ብቻ ሳይሆን ከጅቡቲ ወደብ መጥታ ጉምሩክ መጋዘን ገብታለች የተባለችውም መኪና ወደ ጅቡቲ መመለስ አለባት ተብሎ የተሰጠው ውሣኔ ተገቢ ነው? አይደለም? የማለው ነው።

በመሠረቱ በአመልካችና በተጠሪ መካከል የነበረው የመኪና ሽያጭ ውል እንዲፈርስ በሥር ፍ/ቤቶች በተሠጠው ውሣኔ ላይ አቤቱታ ያልቀረበበት ስለሆነ ይህን ነጥብ መመርመሩ አስፈላጊ አይደለም። የተጠሪው ክርክር ውሉ ይፍረስ ከተባለ ውጤቱ በፍ/ሕግ ቁጥር 1815/1/ መሠረት ተዋዋዮች ወደነበሩበት ይመለሳሉ ስለሚል በዚህ ሁኔታ መመላለስ ስለአሰብን የፊ/ከፍተኛ ፍ/ቤት ከሣሹ ገንዘቡን እንዲያገኝ ከተወሰነ መኪናዋም ወደጅቡቲ እንድትመለስ መወሰኑ ተገቢ ነው ሌላ አመልካች በበኩሉ መኪናዋ ወደ ጅቡቲ ትመለስ ከተባለ ውሣኔው ሲፈፀም የማይችል ይሆናል ባይ ነው።

አከራካሪዋ መኪና ከጅቡቲ ወደብ መጥታ ጉምሩክ መጋዘን ከገባች በኋላ በሕገ ወጥ መንገድ ወደ ሀገር ውስጥ ገብታለች ተብሎ ጉምሩክ ለከሣሽ ሊሰጥ አለመቻሉንና በዚህ ምክንያት በመንግሥት ስለመወረሷ ራሱ የሥር ተከሣሽ የአሁን ተጠሪ በሥር ፍ/ቤት ካቀረበው ክርክር መረዳት ይቻላል።

እንግዲህ ምንም እንኳን የፍ/ሕ/ቁጥር 1815/1/ አንድ ውሉታ ሲሠረዝ ወይም ሲፈርስ ተዋዋዮችን በተቻለ መጠን ውለታው ከመደረጉ በፊት ወደነበሩበት እንዲመለሱ የማደነግግ ቢሆንም መኪናዋ ለመንግሥት

በውረስ የገባች መሆኑ እየተረጋገጠ ወደ ጅቡቲ ትመለስ ተብሎ መወሰኑ የተሠራውን ሥራ ለማፍረስ የማይቻል ወይም አስቸጋሪ ያደርገዋል።

እንደዚህ ዓይነት ሁኔታ ባጋጠመ ጊዜ ደግሞ የፍ/ሕግ ቁጥር 1816 እና 1817 የፍ/ሕ/ቁጥር 1815 ልዩ ሁኔታ (exceptions) ሆነው መፍትሄ ይሰጣሉ።

ይኸውም በተለይ ለዚህ ጉዳይ ተጠቃሽነት ያለው የፍ/ሕ/ቁጥር 1817/1/ ... የተሠራውን ሥራ ለማፍረስ የማይቻል ሲሆን ወይም አስቸጋሪ ሆኖ ሲገኝ ወይም ከፍ ያለ መሠናክል የሚያመጣ ሲሆን የተሰሩት ሥራዎች እንደረገ ይቀራሉ ይላል።

ይሁንና የፌ/ክፍተኛ ፍ/ቤት ይህን ድንጋጌ በሚቃረን ሁኔታ መኪናዋ በመንግሥት መወረሱን እየተረዳ ወደ ጅቡቲ ትመለስ ሲል የሰጠው የውሣኔ ክፍል መሠረታዊ የሕግ ሥህተት ያለበት ነው ብለናል።

የፌ/ጠ/ፍ/ቤትም ይህን ሥህተት እንዲያርም የቀረበለትን ይግባኝ ያለመቀበሉ ሊታረም የሚገባው ሆኖ ተገኝቷል።

ው ሣ ኔ

የፌ/ጠ/ፍ/ቤት በፍ/ይ/መ/ቁ 11936 ጥር 26/96 በዋለው ችሎት ዋናውን ይግባኝ በተመለከተ የሰጠው የውሣኔ ክፍል በፍ/ሥ/ሥ/ሕ/ቁ 348/1/ ተሸሯል።

የፌ/ክ/ፍ/ቤት በይ/መ/ቁ. 216/94 በ24/7/95 በዋለው ችሎት መኪናዋ ወደ ጅቡቲ ትመለስ በማለት የሰጠውን የውሣኔ ክፍል ብቻ በፍ/ሥ/ሥ/ሕ/ቁጥር 348/1/ ተሸሯል።

የፌ/መ/ደረጃ ፍ/ቤት በፍ/መ/ቁጥር 492/90 በ4/11/93 በዋለው ችሎት የሰጠውን ውሣኔ በፍ/ሥ/ሥ/ሕ/ቁጥር 348/1/ መሠረት በማጽናት ወስነናል። የውሣኔው ግልባጭ ለሥር ፍ/ቤት ይድረሰው መዝገቡ ተዘግቷል። ለመ/ቤት ይመለስ።

የማይነበብ የአምስት ዳኞች ፊርማ አለበት።

የሰበር መ.ቁ. 15631
ታህሣስ 17 ቀን 1998 ዓ.ም.

- ዳኞች:- 1. መንበረፀሐይ ታደሰ
2. ሐገሥ ወለዱ
3. ዳኚ መላኩ
4. አሰግድ ጋሻው
5. ሂሩት መለሰ

አመልካቾች:- 1ኛ. የሻረግ መንግሥቱ
2ኛ. ሰገዴ መንግሥቱ
ተጠሪ:- እማሆይ የሻረግ ፈረደ

ስለ ይርጋ - የወራሽነት ጥያቄን ለማቅረብ ስለተወሰነው ጊዜ - የይርጋ
ጥያቄ በፍርድ ቤት ተቀባይነት የማይኖርበት ሁኔታ - የፍ/ብ/ሀ/ቁ
10001/2፣ 1168፣ 1845፣ 1853

የአማራ ብሔራዊ ክልላዊ መንግሥት ጠቅላይ ፍርድ ቤት የአሁን
አመልካቾች ተጠሪዋ የሟች አባታችን የአቶ መንግሥቱ ዘወልዴን ቤት
ሊያስረክቡን ይገባል በማለት ያቀረቡትን ክስ መርምሮ የሰሜን ጎንደር
ከፍተኛ ፍርድ ቤት የሰጠውን ውሳኔ በመሻር የጎንደር ወረዳ ፍርድ ቤት
ክሱ በይርጋ ቀሪ ሆኗል በማለት ያፀናውን ውሳኔ በመቃወም የቀረበ
አቤቱታ።

ዉሳኔ:- በክልሉ ጠቅላይ ፍርድ ቤት የተሰጠው ውሳኔ ፀንቷል።

1. ውሎች ንብረትን በተመለከተ በ1675 መሠረት የሚደረግ ስምምነት
በመሆኑ በዚህ መሠረት ትርጉም የሚሰጠው የውል ሰነድ ሳይኖር
በፍ/ብ/ሀ/ቁ. 1845ን በተመለከተ የሚሰጥ ውሳኔ የለም።
2. የማይንቀሳቀስ ንብረት ባለፊጅ /ባለይዞታ/ የሆነ ሰው የዚህኑ ንብረት
ግብር ባለማቋረጥ 15 ዓመት ከክፈለ ሌላ ይገባኛል የሚል ሰው
እንዲሰጠው ሊጠይቀው አይችልም።

ታህሣስ 17 ቀን 1998 ዓ.ም.

- ዳኞች:- 1. መንበረዐሐይ ታደሰ
2. ሐገሥ ወለዱ
3. ዳኝ መላክ
4. አሰግድ ጋሻው
5. ሂሩት መለሰ

አመልካቾች:- 1ኛ. የሻረግ መንግሥቱ

2ኛ. ሰገዴ መንግሥቱ

ተጠሪ:- እማሆይ የሻረግ ፈረደ

መዝገቡ ተመርምሮ የሚከተለው ፍርድ ተሰጥቷል፡፡

ፍ ር ድ

በዚህ መዝገብ ለሰበር ለቀረበው አቤቱታ መነሻ የሆነው የአማራ ብሔራዊ ክልላዊ መንግሥት ጠቅላይ ፍ/ቤት በፍ/ይ/መ/ቁ. 364 በይግባኝ ደረጃ ቀርቦለት በነበረው ጉዳይ ሲያከራክር ቆይቶ የካቲት 16 ቀን 1996 ዓ/ም መረምሮ የሰሜን ጉንደር ክፍተኛ ፍ/ቤት የሰጠውን ውሣኔ በመሻር የአሁኑ አመልካቾች ተጠሪዋ የሟች አባታችን የአቶ መንግሥቱ ዘወልዴን ቤት ሊያስረክቡን ይገባል በማለት ያቀረቡት ክስ በይርጋ ቀሪ ሆኗል በሚል የሰጠው ውሣኔ ነው፡፡ የክልሉ ጠቅላይ ፍ/ቤት በዚህ ውሣኔው ክርክሩን በመጀመሪያ ደረጃ ያየው የጉንደር ከተማ ወረዳ ፍ/ቤት ክስ በፍትሐብሔር ሕግ ቁጥር 1000 /1/2/ እና 1845 መሠረት በይርጋ ቀሪ ሆኗል በሚል የወሰነው በሕጉ አግባብ ነው በማለት አጽንቶታል፡፡

አመልካቾች አባታችን አቶ መንግሥቱ ዘወልዴ ከሞቱ በኋላ በውርስ ሊተላለፍልን የሚገባውን ቤት የካቲት 8 ቀን 1962 ዓ/ም በተደረገ ስምምነት ተረክበን ተጠሪዋ ባይወልዱንም እናታችን ናቸው ብለን በማሰብ እንዲቀመጡበት ያደረገነውንና በአክብሮት ሣንጠይቃቸው የቆይነውን ንብረት እንዲያስረክቡን በማለት ያቀረብነው ክስ በይርጋ ቀሪ ሆኗል በሚል በተሰጠው ውሣኔ መሠረታዊ የሕግ ስህተት ተፈጽሟል በሚል ለሰበር

አቤቱታ አቅርበዋል። አመልካቾች ንብረቱን ሣንጠይቅ የቆየነው በቤተዘመድ ግንኙነት ምክንያት ተጠሪዋን በመፍራትና በማክበር ስለሆነ ፍ/ቤቱ የይርጋውን ክርክር በፍትሐብሔር ሕግ ቁጥር 1853/1/ መሠረት ሊቀበለው አይገባም ባዮች ናቸው።

አቤቱታው ተመርምሮ ጉዳዩ ለሰበር ችሎት እንዲቀርብ በመወሰኑ በአመልካቾች በኩል የቀረበው ማመልከቻ ለአሁኗ ተጠሪ እንዲደርሳቸው ተደርጎ ሐምሌ 18 ቀን 1996 ዓ/ም የተፃፈ መልስ አቅርበዋል። አመልካቾች በበኩላቸው የመልስ መልስ ሰጥተውበት ተከራክረዋል።

በተጠሪዋ በኩል የቀረበው ክርክር ሊታይ አመልካቾች እኔን የእንጀራ እናታቸውን በማክበርም ሆነ በመፍራት መብታቸውን ሣይጠይቁ ቆይተዋል ሊባል ስለማይችል ፍ/ቤት ይርጋ አልቀበልም የሚልበት ምክንያት የለም የሚል ይዘት ያለው ነው።

ችሎቱም የአሁኑ አመልካቾች ከ1962 ዓ/ም በፊት የሞቱትን የአባታችንን ቤት ይዘው የሚገኙት የአሁኗ ተጠሪ ሊያስረክቡን ይገባል በሚል ያቀረቡት ክሥ በይርጋ ቀሪ ሆኗል አልሆነም፤ ፍ/ቤት ይርጋ አልቀበልም የሚልበት የሕግ ምክንያት አለ ወይንስ የለም የሚለውን ከሕጉ ጋር በማገናዘብ መርምሯል።

ክርክሩን በመጀመሪያ ደረጃ ያየው የጉንደር ከተማ ወረዳ ፍ/ቤትም ሆነ የክልሉ ጠቅላይ ፍ/ቤት የአሁኑ አመልካቾች ከአባታችን በውርስ ሊተላለፍልን የሚገባውን ቤት የአሁኗ ተጠሪ ምንም አይነት መብት ሣይኖራቸው ለማስረከብ ፈቃደኛ ባለመሆን ይዘው ስለሚገኙ ሊያስረክቡን ይገባል በሚል ያቀረቡትን ክስ በፍትሐብሔር ሕግ ቁጥር 1845 መሠረት በአሥር አመት ይርጋ ቀሪ ሆኗል በማለት ሊወሰኑ የቻሉት የካቲት 8 ቀን 1962 ዓ/ም ተደርጓል የተባለውን ውል መነሻ በማድረግ ነው። ከሰነዱ እንደሚታየው ግን ቤቱን የአሁኗ ተጠሪ ለቀው ለሚቹ ለአቶ መንግሥቱ ዘውልዴ ወራሾች ማሥረከባቸው እና ሌሎችን ንብረቶችም ስለመከፋፈላቸው

ከመገለጹ በቀር የሚቼ የአባታቸው ሚስት በቤቱ እየተጠቀሙበት ይቆዩ ወይም ይኑሩበት የሚል ነገር የለውም። ከዚህ ሌላ ቤቱ በሚች ሚስት ይዞታ ሥር ቆይቶ ወደፊት በዚህ ጊዜ ለወራሾች ያስረከባሉ የሚል የውል ቃል የለውም። በሰነዱ ላይ የሰፈረው በሕግ የውል ትርጉም የሚሰጠው አይደለም። ውል ማለት ደግሞ በፍትሐብሔር ሕግ ቁጥር 1675 ላይ እንደተመለከተው ንብረታቸውን የሚመለከቱ ግዴታቸውን ለማጽደቅ ወይም ለመለወጥ ወይም ለማስቀረት ባላቸው ተወዳዳሪ ግንኙነት በሁለት ወይም በብዙ ሰዎች መካከል የሚደረግ ሥምምነት ስለሆነ በዚህ መሠረት የውል ትርጉም የሚሰጠው ነገር ሣይኖር ውል አለ የሚል መነሻ በመያዝ ይርጋን በሚመለከት ተፈጻሚ የሚሆነው ስለውሎች በጠቅላላው በሚለው የፍትሐብሔር ሕግ ክፍል ተጽፎ የሚገኘው በፍ/ብ/ሀ/ቁ. 1845 ላይ የተመለከተው የአሥር አመት ጊዜ ነው ብሎ መወሰን ትክክል አይደለም። በአሁኑ አመልካቾች በኩል የቀረበው የካቲት 8 ቀን 1962 ዓ/ም የተፃፈው ሰነድ ከፍትሐብሔር ሕግ ቁጥር 1845 ጋራ በተያያዘ የሚያስነሣው የይርጋ ጥያቄ ስለሌለ በዚህ ጉዳይ የተጠቀሰው የይርጋ ሕግ አግባብነት የለውም።

በሌላም በኩል የአሁኗ ተጠሪ ክስ በይርጋ ቀሪ ሆኗል በማለት ሲከራከሩ የነበሩት የካቲት 8 ቀን 1962 ዓ/ም ተፃፈ የተባለውን ሰነድ መነሻ በማድረግ ብቻ ሣይሆን ቤቱ ከ1943 ዓ/ም ጀምሮ ባለማቋረጥ ግብር እየከፈልኩበት ንብረቴ ሆኗል፤ ከሃያ ሰባት አመት በላይ በስሜ ስንብርበት ቆይቼ የቤቱ የቦታ ይዞታም ሆነ የቤቱ ባለቤትነት ሥም በሥሜ ሊሆን ችሏል በሚል ምክንያት ጭምር ሊሆን እነዚህ የተረጋገጡ ፍሬ ነገሮች መሆናቸውን ከመዝገቡ ለመረዳት ተችሏል። ከእነዚህ ፍሬ ነገሮች በመነሣት በሕጉ በኩል ያለው ሲታይ የፍትሐብሔር ሕግ ቁጥር 1168/1/ የማይንቀሳቀስ ንብረት ባለእጅ /ባለይዞታ/ የሆነ ሰው የዚሁኑ ንብረት ግብር ባለማቋረጥ 15 ዓመት በሥሙ ከከፈለ የዚሁ ሀብት ባለቤት ይሆናል በሚል ደንገጉ ይገኛል። ሕጉ ይርጋ አዘል ስለሆነ የማይንቀሳቀስ ንብረት

ባለእጅ /ባለይዞታ/ የሆነው ሰው የዚህን ንብረት ግብር ባለማቋረጥ ለ15 ዓመት በሥሙ ከከፈለ ሌላ ይገባኛል የሚል ሰው እንዲሰጠው ሊጠይቀው አይችልም። በሕጉ ለባለይዞታው መብቱ ይረጋል። የአሁኗ ተጠሪም ለክርክሩ መነሻ የሆነው ቤት ባለይዞታ በመሆን የዚሁን ንብረት ግብር ባለማቋረጥ ከ15 ዓመት በላይ በሥማቸው ሊከፍሉ ስለቆዩ በሕጉ የዚሁ ሀብት ባለቤት ሆነዋል። የአሁኑ አመልካቾች አባት ከ1962 ዓ/ም በፊት የሞቱ ስለሆነ ከዚህ ጊዜ ጀምሮ በተጠሪዋ ይዞታ ሥር የቆየውን ቤት ከሃያ ስምንት አመት በኋላ እንዲያስረክቧቸው ያቀረቡት ክሥ በይርጋ ቀሪ አይሆንም በሚል የሚያቀርቡት ክርክር ተቀባይነት የለውም።

አመልካቾች ክስ ሣናቀርብ የቆየነው ተጠሪዋ የሚቼ አባታችን ሚስት በመሆናቸው በመፍራትና በማክበር በመሆኑ ፍ/ቤት ይርጋውን ሊቀበለው አይገባም በሚል ያነሱትን ክርክር በተመለከተም በእርግጥ ፍ/ቤት ይርጋን አልቀበልም የሚልባቸው ምክንያቶች አሉ። እነዚህ ምክንያቶች በፍትሐብሔር ሕግ ቁጥር 1853 የተዘረዘሩት ሊሆኑ ከእነዚህ መካከል ባለገንዘቡ የሚፈልገውን ያልጠየቀበት ምክንያት ባለዕዳውን የመፍራትና የማክበር ስሜት መኖር አንዱ ነው። አመልካቾች ከሃያ ስምንት አመት በላይ ተጠሪዋ ቤቱን እንዲያስረክቡን ሣንጠይቅ የቆየነው የአማታችን ሚስት ስለሆኑ አንደኛው ስለምናያቸው የመፍራትና የማክበር ስሜት አድርገን ነው ይበሉ እንጅ የክልሉ ጠቅላይ ፍ/ቤት አመለካቾች አባታቸው ከሞቱ በኋላ የአባታችንን ንብረት አካፍይን ወይም አስረክቢን የሚል ጥያቄ አንስተው ሽማግሌዎች ሰብስበው የካቲት 8 ቀን 1962 ዓ/ም በተፃፈ ሰነድ በተደረገ እርቅ ንብረት መከፋፈላቸው መገለጹና በዚሁ ሰነድ አማካኝነት ቤቱን ተረክቦን ነበር ማለታቸው ሲታይ ከዚህ በኋላ ሣይጠይቁ የቆዩት ተጠሪዋን በመፍራትና በማክበር ምክንያት ነው ለማለት አይቻልም በሚል ሣይቀበላቸው ቀርቷል። በአመልካቾች በኩል ተጠሪዋን የመፍራትና የማክበር ስሜት ነበረ አልነበረም ለሚለው ፍ/ቤት መፍራትም ሆነ ማክበር

አልነበረም የሚል ድምዳሜ ላይ ከደረሰ ወደ ፍሬ ነገር ጥያቄ ስለሚያመገን በሰበር ደረጃ ሊመረመር አይችልም። በሰበር ደረጃ ሊታይ የሚችለው የሥር ፍ/ቤት የመፍራትና የማክበር ስሜት መኖሩን አረጋግጦ ይርጋን አልቀበልም ለማለት የሚያስችል የሕግ ምክንያት አይደለም በሚል ወስኖ ቢገኝ ነው። ስለዚህ አመልካቾች ያቀረቡት ክስ በይርጋ ሕግ ቀሪ መሆኑ ቢረጋገጥም ፍ/ቤት ይርጋውን አልቀበልም የሚልበት የሕግ ምክንያት አለ በሚል ያቀረቡት ክርክር ተቀባይነት የለውም።

ከፍ ሲል እንደተገለፀው የክልሉ ጠቅላይ ፍ/ቤት የካቲት 8 ቀን 1962 ዓ/ም በተፃፈው ሰነድ በአመልካቾችና በአሁኗ ተጠሪ መካከል ቤቱን በሚመለከት የተደረገ የውል ስምምነት እንዳለ አድርጎ በመመልከት ይህንኑ መነሻ በመድረግ ለተነሣው የይርጋ ጥያቄ የሚመለከተው የይርጋ ሕግ በፍትሐብሔር ሕግ ቁጥር 1845 ላይ የተመለከተው የአሥር አመት ጊዜ ነው ማለቱ የተሣሣተ ሆኖ ቢታይም ክሱ ከፍትሐብሔር ሕግ ቁጥር 1168 አንፃር ሲመረመር በይርጋ ቀሪ ከመሆን የሚድን ሆኖ ስላልተገኘ በውጤቱ ላይ የሚያመጣው ለውጥ የለም። ክሱ በይርጋ ቀሪ ሆኗል ተብሎ መወሰኑ ተቀባይነት የሚሰጠው ነው።

ው ሣ ኔ

1. በአሁኑ አመልካቾች በኩል የቀረበው ክሥ በይርጋ ቀሪ መሆኑ ስለተረጋገጠ የክልሉ ጠቅላይ ፍ/ቤት የሰጠው ውሣኔ በፍ/ሥ/ሥ/ሀ/ቁ 348/1/ መሠረት ፀንቷል።
2. በዚህ መዝገብ በተደረገው ክርክር ምክንያት የደረሰውን ወጪና ኪሣራ ግራ ቀኝ የየራሳቸውን ይቻሉ።

ጉዳዩ ስለተወሰነ መዝገቡ ተዘግቷል። ይመለስ።

የማይነበብ የአምስት ዳኞች ፊርማ አለበት።

29-06-98

ዳኞች፡- አቶ መንበረፀሐይ ታደሠ

አቶ አብዱልቃድር መሐመድ

አቶ መስፍን ዕቁበዮናስ

አቶ ጌታቸው ምህረቱ

ወ/ሪት ሂሩት መለስ

አመልካች፡- አቶ ታምራት መሸሻ

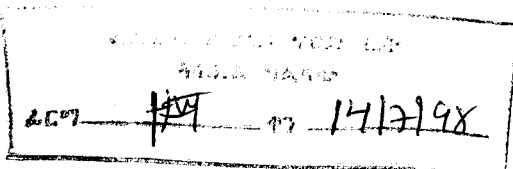
ተጠሪ፡- አቶ ኃይሉ ፊጣ

መዝገቡ ተመርምሮ የሚከተለው ፍርድ ተሰጥቷል፡፡

ፍ ር ድ

አቤቱታው ሊቀርብ የቻለው የደቡብ ምዕራብ ሸዋ ከፍተኛ ፍ/ቤት በመ.ቁ. 02272 በ28/8/96 ዓ.ም. የሠጠውን ውሣኔ፤ የኦሮሚያ ጠቅላይ ፍ/ቤት እና ሠበር ችሎት በመ.ቁ. 13459 በ18.8.97 እና በመ.ቁ. 27422 በ24.9.97 በማፅናታቸው ነው፡፡

ለሠበር አቤቱታ ምክንያት የሆነው ክርክር የአሁን መልስ ሰጪ በአፈፃፀም ክስ በአሁን አመልካች ላይ በዋናው ውሣኔ ላይ እንዲከፍል የተወሰነውን ብር 5050.00/አምስት ሺ አምሳ ብር/ እንዲከፍል ከጠየቀ በኋላ አፈፃፀሙን በማቋረጥ 10 ዓመት ካለፈ በኋላ መዝገቡን በማንቀሳቀስ አፈፃፀሙን ቢቀጥልም ጉዳዩ የቀረበለት የደቡብ ምዕራብ ሸዋ ከፍተኛ ፍ/ቤት የአሁን አመልካች ክሱ መቅረብ ያለበትን የይርጋ ጊዜ በተመለከተ ያስረዳው ነገር የለም በማለት ወስኖአል፡፡ ጉዳዩን በይግባኝ ያዩትም የኦሮሚያ ጠቅላይ ፍ/ቤት እና ሠበር ችሎት ይግባኝን ሳይቀበሉት ቀርተዋል፡፡ የአሁን



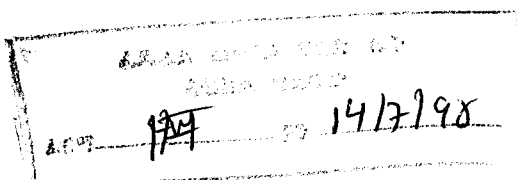
አመልካች የሠበር አቤቱታ ዋነኛ የቅሬታ ነጥብም ፍ/ቤቱ በፍ/ብ/ሥ/ሥ/ህግ ቁጥር 384/ሀ/ መሠረት የአፈፃፀም ክስ ከተቋረጠ በኋላ 10 ዓመት ከ3ወር በኋላ በመቅረቡ በይርጋ የሚታገድ በመሆኑና አመልካችም ልጠየቅ እንደማይገባኝ እያመለከትኩ ፍ/ቤቱ አፈፃፀሙን ቀጥሎ እንዲታይ የሠጠው ትዕዛዝ መሠረታዊ የሕግ ትዕዛዝ ያለው በመሆኑ እንዲሻር በማለት ነው።

የሠበር ችሎቱ ጉዳዩ በሠበር እንዲታይ በመወሰኑ መልስ ሰጪ በጉዳዩ ላይ ያላቸውን የቃል ክርክር እንዲያሠሙ ተደርጓል። የክርክራቸው መሠረታዊ ይዘትም የአሁን አመልካቾች በዋናው ጉዳይ ላይ ይግባኝ ብለው ስንከራከር በመቆየታችን አፈፃፀሙን ያቋረጥኩት ይግባኝ ካለቀ በኋላ እንደገና አንቀሳቀስኩ ይሄ ደግሞ አስር ዓመቱን አያሳልፍም በማለት ተከራክረዋል። አመልካችም በክርክራቸው አቋማቸውን አጠናክረው ተከራክረዋል።

በዚህ መዝገብ የቀረበው ጉዳይ በሥነ ሥርዓት ሕጎች ላይ የተደነገጉትን የጊዜ ገደቦችን ፍ/ቤቶች በራሳቸው አነሳሽነት ተፈፃሚነታቸው ሊከታተሉ ይገባል ወይንስ እንደ ሥረ ነገር የይርጋ ህጎች በተከራካሪ ወገን ካልተነሡ እንደተተወ ይቆጠራል የሚሉትን የሕግ ነጥቦች የሚያስነሳ በመሆኑ ፍ/ቤቱ ይህንኑ ነጥብ መርምሯል።

ከሥር ፍ/ቤት መዝገብ ለመረዳት እንደቻልነው ፍ/ቤቱ አፈፃፀሙ እንዲቀጥል ያዘዘው የአሁን አመልካች ክስ መቅረብ ያለበትን የይርጋ ጊዜ በመለከተ ክርክሩን በቃል በሚያስረዳበት ጊዜ ያስረዳው አንዳችም ነገር የለም በማለት ነው።

የፍ/ብ/ሥ/ሥ/ህግ ቁጥር 384 መሠረት " አንድ የተለየ ነገር እንዳይፈፀም ፍርድ ቤቱ ከሚሠጠው የማገጃ ትዕዛዝ በቀር ፍርድ እንዲፈፀም ማመልከቻ ቀርቦ ዓስር ዓመት ከቆየና ይህ ጊዜ ካለፈ በኋላ ሌላ ማመልከቻ በማቅረብ ነገሩን ለማንቀሳቀስና ፍርድ እንዲፈፀም ለመጠየቅ አይቻልም" በማለት ይደነግጋል።



የፍ/ብ/ሥ/ሥ/ህግ የሙግትን ሂደት ለመከታተል የሚያስችሉ የተለያዩ የጊዜ ገደቦችን ያስቀመጠ መሆኑን፤ አላማቸውም በሙግት ሂደት የሚከናወኑ ተግባራት በሕጉ በተቀመጠው አሊያም ፍ/ቤቱ በሚወሰነው የጊዜ የገደብ ውስጥ መከናወን ያለበት መሆኑን፤ ካልሆነ ሕጋዊ ውጤት እንደሌላቸው፤ የፍ/ብ/ሥ/ሥ/ህጉ አላማ ደግሞ ለፍ/ቤት የሚቀርቡ ክርክሮች ባነሠ ወጪ በተቀላጠፈ እና ፍትሐዊ በሆነ ሥርዓት እልባት እንዲያኙ ማድረግ በመሆኑ የተዋዋሩትን ጥቅም ለመጠበቅ ከተደነገገው የዋናው ሕግ አላማ የተለየ እና ፍርድ ቤቶችም በሥነ ሥርዓት ሕጉ በግልፅ የሠፈረ የጊዜ ገደብ ካለፈ በኋላ የሚቀርብን ክስ በራሳቸው አነሳሽነትም ቢሆን ውድቅ ማድረግ ትክክለኛ አካሄድ ለመሆኑ ይህ የሠበር ፍ/ቤት በመዝገብ ቁጥር 17361 ሐምሌ 25 ቀን 1997 ዓ.ም. በሠጠው ውሣኔ ትርጉም ሠጥቶበታል።

በዚህ መዝገብ ከቀረበው ጉዳይ ለመረዳት እንደቻልነው የአሁን ተጠሪ ታህሣስ 14 ቀን 1986 ዓ.ም. ውሣኔ የተወሰነለት ሲሆን በውሣኔውም መሠረት የአፈፃፀም ክስን በ30/7/96 ዓ.ም. ካቀረበ በኋላ አፈፃፀሙን በማቋረጥ እንደገና በመጋቢት 30 ቀን 1996 ዓ/ም የሥር ፍ/ቤትን የአፈፃፀሙን መዝገብ አንቀሳቅሷል። ይህ ደግሞ የሚያሳየው ተጠሪው የአፈፃፀሙን መዝገብ ካቋረጠ በኋላ 10 ዓመት ከ3ወር በኋላ ማንቀሳቀሱን ነው። ይህም የሥነ ሥርዓት ሕጉ ቁጥር 384 /ሀ/ ያስቀመጠውን የ10 ዓመት የጊዜ ገደቡን ማለፉን የሚያረጋግጥ ነው። በሥነ ሥርዓት ሕጉ ገደብ ያልጠበቀ ነገር በሚቀርብለት ጊዜ ደግሞ ፍ/ቤቱ የተከራካሪ ወገኖችን ተቃውሞ ሳይጠብቅ በራሱ ተነሳሽነት ውድቅ ማድረግ ሲኖርበት የደቡብ ምዕራብ ሸዋ ከፍተኛው ፍ/ቤት ተቃውሞውን ተጠሪው አንስቶ አልተከራከረም በማለት የሠጠው ውሣኔ የሕግ ስህተት ያለበት በመሆኑ የሕግ ስህተት ተፈፅሟል። የአሮሚያ ጠቅላይ ፍ/ቤት እና የሠበር

ፌዴራል ጠቅላይ ፍርድ ቤት
ካብላ ገልጽ
ፊርማ ቀን 14/7/98

ችሎቱ ይህንን ስህተት ማረም ሲኖርባቸው ውሳኔውን ማፅናታቸው ስህተት በመሆኑ ውሳኔው ተሽሯል።

ው ሣ ኔ

- የሥር ፍ/ቤቶች ውሳኔ ተሽሯል።
- ተጠሪ 10 ዓመት ካለፈ በኋላ የአፈፃፀሙን መዝገብ ለማንቀሳቀስ ያቀረቡት ጥያቄ በይርጋ ታግዷል።
- ግራ ቀኙ ወጪአቸውን ይቻቻሉ።

የማይነበቡ የአምስት ዳኞች ፊርማ አለበት።

4/ይ. ፊርማ 14/7/98